



PROSPECTUS



PROSPECTUS

This Prospectus provides detailed information about the Bank and the Offer. Potential investors in respect of the Offer Shares are advised to read this document carefully and retain it for future reference. In the event that a potential investor is not clear about the action to take, he/she should consult his/her stock broker, banker, lawyer, auditor or any other financial, legal and tax advisor for guidance and carefully review the risks associated with an investment in the Bank.

CAUTION: This document is important and requires your careful attention.

This document is a prospectus inviting the public to acquire the Offer Shares under the terms of application set out herein. If you wish to apply for the Offer Shares then you must complete the procedures for application and payment set out in Part Nine of this document.

A copy of this Prospectus has been delivered to the Registrar General of Companies for registration. The Registrar General has not checked and will not check the accuracy of any statements made and accepts no responsibility for it or for the financial soundness of the Bank or the value of the Offer Shares.

For information concerning certain risk factors which should be considered by prospective investors, see “Risk Factors” commencing on page 63 hereof.

This Prospectus is issued in compliance with the requirements of the Registrar General’s Instructions No. 01/2010/ORG of 12/04/2010 relating to the form and content of the Prospectus as amended by the Registrar General’s Instructions No. 02/2010/ORG of 16/11/2010 (“Prospectus Instructions”) issued pursuant to the Law No. 07/2009 relating to Companies (the “Companies Act”), and the requirements of the Capital Markets Advisory Council (CMAC) and the requirements of the Rwanda Stock Exchange.

A copy of this Prospectus has been delivered to CMAC for approval. Permission has been granted by CMAC for Bank of Kigali to offer to the public the Offer Shares. Application has been made for listing of the Bank’s securities offered by this Prospectus to CMAC. The fact that CMAC may approve the listing of the Shares is not to be taken in any way as an indication of the merits of the Bank or of the Shares. CMAC takes no responsibility for the contents of this Prospectus, makes no representations as to its accuracy or completeness and expressly disclaims any liability whatsoever for any loss howsoever arising from or in reliance upon any part of the contents of this Prospectus.

PROSPECTUS

by

Bank of Kigali Limited

(Incorporated in the Republic of Rwanda, Company Code 100003458)

And previously known as Banque de Kigali SA

(“Bank of Kigali”, or the “Bank”)

for the Offer of New Shares

By Bank of Kigali

and

Sale Shares

by the Government of Rwanda (“GoR”)

of

300,304,400 ORDINARY SHARES WITH A PAR VALUE RWF10.00 EACH AT AN OFFER PRICE OF RWF 125.00 PER SHARE

and

Listing of the entire issued share capital of the Bank on the Rwanda Stock Exchange

APPLICATION LIST OPENS: 30 June 2011

APPLICATION LIST CLOSES: 29 July 2011

An application has been made to the Rwanda Stock Exchange for the Listing of the Shares of the Bank, under the abbreviation **BOK**. Listing is expected to become effective on **29 August 2011**. The Rwanda Stock Exchange assumes no responsibility for the correctness of any of the statements made or opinions or reports expressed or contained in this Prospectus.



Sole Bookrunner



Lead Sponsoring Broker



Co-Sponsoring Broker



Transaction Lawyers



Transaction Lawyers

This Prospectus is dated 30 June 2011 and is valid for 6 months from this date.

IMPORTANT INFORMATION

Potential investors are expressly advised that an investment in the Offer Shares entails certain risks and that they should therefore carefully review the entire contents of this Prospectus. Furthermore, before making an investment decision, potential investors should consult their stock broker, banker, lawyer, auditor or other financial, legal and tax advisors for guidance and carefully review the risks associated with an investment in the Bank.

Responsibility Statements

The Prospectus has been seen and approved by the Directors and the Promoter of Bank of Kigali and they collectively and individually accept full responsibility for the accuracy of the information given and confirm that, after having made all reasonable inquiries, and to the best of their knowledge and belief, there are no false or misleading statements or other facts the omission of which would make any statement herein false or misleading.

The Lead Transaction Advisor acknowledges that based on all the available information and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning the Offer and it has satisfied itself that any profit and cash flow projections (for which the Directors are fully responsible) prepared for inclusion in this Prospectus has been stated by the Directors after due and careful enquiry and have been duly reviewed by the Reporting Accountants.

Selling Restrictions

A description of these and certain other restrictions to which the Offer and sale of the Offer Shares are subject are set out in full in the section of this Prospectus entitled “Part One: Summary of the Offer - Selling Restrictions”

Potential investors should not assume that the information in this Prospectus is accurate as at any date other than the date of this Prospectus. No person is or has been authorised to give any information or make any representation in connection with the Offer and Listing, other than as contained in this Prospectus. Delivery of this Prospectus at any time after the date hereof will not under any circumstances, create any implication that there has been no change or that the information set out in this Prospectus is correct at any time since its date.

The Offer does not constitute an offer to issue or sell, or the solicitation of an offer to subscribe for or buy, securities in any jurisdiction in which such an offer or solicitation would be unlawful. The Offer consists of an offering outside the United States of America (the United States) of shares pursuant to Regulation S (Regulation S) under the US Securities Act 1933, as amended (the Securities Act).

The Offer Shares have not been, and will not be, registered under the Securities Act or with the regulatory authority of any state or jurisdiction of the United States or under the applicable laws of the United Kingdom, Canada, Australia or Japan and may not be offered, sold, pledged or otherwise transferred in the United States, subject to certain exceptions, to any national, resident or citizen of the United Kingdom, Canada, Australia or Japan. Neither this document, nor any copy of it, may be sent to or taken into the United States, Canada, Australia or Japan.

Supplementary Prospectus

If, prior to the Listing of the Shares, a significant new development occurs in relation to the information contained in this Prospectus or a material mistake or inaccuracy is found in this Prospectus that may affect the assessment of the Bank, a supplement to this Prospectus will be published.

Statements contained in any such supplement (or contained in any document incorporated by reference therein) shall, to the extent applicable (whether expressly, by implication or otherwise), be deemed to modify or supersede statements contained in this Prospectus or in a document that is incorporated by reference in this Prospectus. Any statements so modified or superseded shall not, except as so modified or superseded, constitute a part of this Prospectus.

Forward Looking Statements

This Prospectus contains forward-looking statements relating to the Bank's business. These forward-looking statements can be identified by the use of forward-looking terminology such as believes, expects, may, is expected to, will, will continue, should, would be, seeks or anticipates or similar expressions or the negative thereof or other variations thereof or comparable terminology, or by discussions of strategy, plans or intentions.

These statements reflect the current views of the Bank with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of the Bank to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements.

Some of these factors are discussed in more detail under Risk Factors. Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Prospectus as anticipated, believed, estimated or expected.

The Bank does not intend, and does not assume any obligation, to update any industry information or forward looking statements set out in this Prospectus.

Market Share and Other Information

The Bank obtained the market and competitive position data, including market forecasts, used throughout this prospectus from internal surveys, market research, publicly available information and industry publications. We have made these statements on the basis of information from third-party sources that we believe are reliable, such as the EIU Country Report, the NISR, the IMF, BNR, Bank of Kigali annual reports, CMAC, MINECOFIN, the CIA World Fact Book, the RDB, among others. Industry and government publications, including those referenced here, generally state that the information presented therein has been obtained from sources believed to be reliable, but that the accuracy and completeness of such information is not guaranteed. Although we have no reason to believe that any of this information or these reports is inaccurate in any material respect, we have not independently verified the competitive position, market share, market size, market growth or other data provided by third parties or by industry or other publications. The Bank and the Lead Transaction Advisor do not make any representation as to the accuracy of such information.

Presentation of Financial Information

The financial information of the Bank set forth herein has, unless otherwise indicated, been derived from the Bank's audited balance sheets and statements of operations, cash flows and changes in shareholders' equity as of and for the years ended 31 December 2010, 2009 and 2008 (the "Annual Financial Statements") and unaudited and reviewed financial statements as of and for the three months ended 31 March 2011 and 2010 (the "Interim Financial Statements") set forth elsewhere in this Prospectus, (together, the "Financial Statements"). The Bank's Annual Financial Statements were prepared on the basis of IFRS and in a manner required by the Companies Act of Rwanda and Laws and Regulations governing Banks in Rwanda.

The Directors authorized the creation of a general provision of RwF 1,000 million against loans and advances as of 31 March 2011. The provision was accounted for as a reduction of equity ("other reserves") as of 31 March 2011. Other than such provision, Management believes that the Interim Financial Statements are substantially in compliance with IFRS.

Certain amounts that appear in this Prospectus have been subject to rounding adjustments. Accordingly, figures shown as totals in certain tables may not be the precise arithmetic sum of the figures that precede them.

Currency and Exchange Rates

In this Prospectus, all references to "Rwandan Franc" and "RwF" are to the lawful currency of the Republic of Rwanda; all references to "dollars," "U.S. dollars" and "US\$" are to the lawful currency of the United States of America; all references to "euros" or "€" are to the currency introduced at the start of the third stage of European economic and monetary union pursuant to the Treaty establishing the European Community, as amended; and all references to "pounds sterling" or "GBP" are to the lawful currency of the United Kingdom.

The following table sets forth, for the periods indicated, the average and period-end official rates set by the BNR, in each case for the purchase of RwF, all expressed in RwF per U.S. dollar.

	High	Low	Average	Period End
	(RwF per U.S. dollar)			
2011 (to and including 23 June)	601.74	594.95	599.35	601.44
2010	594.45	571.14	583.26	594.45
2009	571.24	558.90	568.29	571.24
2008	562.50	542.71	546.96	558.90

Source: BNR

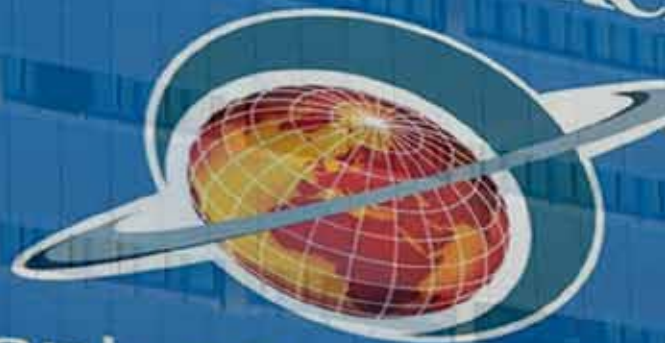
The BNR's RwF per U.S. dollar average exchange rate as reported on 23 June 2011 was RwF 601.44. See "Risk Factors—Risks Relating to the Bank's Business and Industry-Market Risks".

Solely for the convenience of the reader, this Prospectus contains translations of certain RwF amounts into U.S. dollars at exchange rates established by the BNR and effective as of the date of the relevant financial information. The foregoing exchange rates may differ from the actual rates used in the preparation of the financial statements of the Bank and other financial information appearing in this Prospectus. The inclusion of these exchange rates is not meant to suggest that the RwF amounts actually represent such U.S. dollar amounts or that such amounts could have been converted into U.S. dollars at any particular rate or at all.



BANK OF KIGALI

The Banker



Bank of the Year 2019
RWANDA

KIGALI



BANK OF

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TERMS & DEFINITIONS

TERM	DEFINITION
“ADMIN”	Administration
“AFD”	Agence Française de Développement
“ADB”	African Development Bank
“AGM”	Annual General Meeting of shareholders as defined in the Articles of the Bank
“Applicant”	An entity or person that applies for the Offer Shares
“Application Form”	The application form for purchase of the Offer Shares
“Articles”	The memorandum and articles of association of the Bank
“Auditor”	Ernst & Young (Rwanda) SARL
“Authorised Cheque”	Bankers or Authorised Selling Agents cheque
“Authorised Selling Agents” or “ASA”	The licensed brokers, licensed commercial banks and the Receiving Bank listed in Appendix IX
“Authorized Share Capital”	RwF 7,024,600,000 divided into 702,460,000 shares each of a par value of RwF10
“Bank of Kigali” or “Bank” or “Issuer”	Bank of Kigali Limited, a Bank incorporated in Rwanda on 22 December 1966 with company registration number 100003458 and whose registered office is located in Kigali.
“Bankers Cheque / Draft”	A cheque / draft issued by a commercial bank licensed by BNR
“Belgolaise”	Belgolaise S.A., a Bank incorporated in Belgium
“Blueprint”	Blueprint published by CMAC relating to the Rwanda OTC Market dated November 2007
“BNR”	Banque Nationale du Rwanda / National Bank of Rwanda
“BoD” or “Board” or “Directors”	The Bank of Kigali board of directors, which comprises the persons named in Part Five as the directors of the Bank
“BRALIRWA”	Brasseries et Limonaderies du Rwanda
“BRD”	Rwanda Development Bank or Banque Rwandaise de Développement
“BVPS”	Book Value Per Share
“Cabinet”	The Cabinet of the Government of the Republic of Rwanda
“Caisse Sociale du Rwanda”	Social Security Fund of Rwanda
“CAGR”	Compound annual growth rate
“CAR”	Capital Adequacy Ratio which equals Total Capital divided by risk weighted assets
“CDSC Rwanda”	CDSC Registrars Rwanda Limited
“Closing Date”	29 July 2011
“CMA”	The proposed Capital Market Authority, Rwanda
“CMAC”	Capital Markets Advisory Council
“COMESA”	Common Market for East and Southern Africa
“Companies Act”	The Law No. 07/2009 of 27/04/2009 relating to Companies as amended from time to time
“Core Capital” or “Tier I Capital”	Permanent shareholders' equity in the form of issued and fully paid up shares plus all disclosed reserves, less goodwill and any intangible assets
“Co-Sponsoring Broker”	Dyer & Blair Rwanda Limited
“CSD”	Central Securities Depository
“CSD 1R Form”	CSD Account Opening Form
“CSD 5R Form”	CSD Pledge Form
“CSD Law”	The Law Governing the Holding and Circulation of Securities No. 26/2010 of 28/5/2010 gazetted on 28 May 2010
“Domestic Pool”	The pool of shares set aside for application by Retail East Africans including Directors and Employees
“East African”	Citizens of the East African Community including corporations incorporated in the EAC
“East African Community” or “EAC”	The regional intergovernmental organization whose current partner states include the Republic of Rwanda, the Republic of Kenya, the United Republic of Tanzania, the Republic of Uganda, and Republic of Burundi, set up by treaty, with its headquarters in Arusha, Tanzania
“EFT”	Electronic Funds Transfer
“EGM”	A special meeting of shareholders convened in accordance with the Articles of the Bank other than the AGM
“EIB”	European Investment Bank
“EIU”	Economic Intelligence Unit
“Employee”	Any person in the employment of the Bank of Kigali as at the date of this Prospectus
“EPS”	Earnings Per Share
“ESOP”	Employee Share Ownership Plan of the Bank as described in this Prospectus
“EU”	European Union
“Euro”	The lawful currency of the 17 members of the European Union which have entered into an Economic and Monetary Union
“Euro Zone”	17 member nations of the 27 member states of the European Union
“FIN”	Finance
“Foreign Investors”	Investors who are not East Africans
“Foreign Currency” or “USD”	United States Dollars, the legal tender of the United States of America
“GDP”	Gross Domestic Product

TERMS & DEFINITIONS

“GoR” or “Government” or “Promoter” or “Vendor”	The Government of the Republic of Rwanda or The State of Rwanda
“HR”	Human Resources
“ICT”	Information and Communications Technology
“IFRS”	International Financial Reporting Standards
“IMF”	International Monetary Fund
“International Pool”	The pool of shares set aside for application by Foreign Investors
“Issued Shares”	The 500,500,000 Shares issued by the Bank as at the date of this Prospectus
“IT”	Information Technology
“Lead Sponsoring Broker”	African Alliance Rwanda Limited
“Lead Transaction Advisor” or “Sole Bookrunner”	Renaissance Capital (Kenya) Limited
“Legal Advisors”	Mboya & Wangong’u Advocates and RR Associates & Co. Advocates
“Listing”	Admission of the Shares to the official list of the Rwanda Stock Exchange
“MFI”	Micro-finance Institution
“MINECOFIN”	Ministry of Finance and Economic Planning , Rwanda
“NBA”	Non-Business Associations
“New Shares”	166,837,000 shares offered by the Bank
“NGO”	Non- Governmental Organization
“NISR”	National Institute of Statistics of Rwanda
“NPL”	Non Performing Loans
“OCIR Café”	National Coffee Board
“OCIR The”	National Tea Board
“Offer”	The offer for sale to the general public of the Offer Shares
“Offer Shares”	New Shares and Sale Shares
“Office National des Postes”	National Post Office
“Opening Date”	30 June 2011
“P/BV”	Price-book value ratio
“PE”	Price-earnings ratio
“POS”	Point of Sale
“Prospectus”	This Prospectus dated 30 June 2011
“Prospectus Instructions”	Instructions of the Registrar General No. 01/2010/ORG of 12/04/2010 relating to the form and content of a Prospectus as amended from time to time
“Qualified Institutional Investor” or “QII”	Any entity including Collective Investment Schemes established in the EAC and licensed by the relevant capital markets, insurance or retirement benefits regulator to collect and manage funds on behalf of third parties
“RAMA”	La Rwandaise D’Assurance Maladie (National Insurance Health Fund)
“RDB”	Rwanda Development Board
“Receiving Bank”	Bank of Kigali Limited
“Registrars”	CDSC Rwanda
“Reporting Accountants”	Ernst & Young (Rwanda) SARL
“Regulation S”	Regulation S under the Securities Act
“Retail East Africans”	East Africans other than QIIs
“RS”	Rwanda Standard as set and/or administered by the Rwanda Bureau of Standards
“RSE”	Rwanda Stock Exchange
“Rwanda OTC Market” or “ROTC Market”	Rwanda Over the Counter Market
“RwF”	Rwandan Francs, the official currency of the Republic of Rwanda
“SACCO”	Savings and Credit Cooperative Organization
“Sale Shares”	133,467,400 shares on sale by GoR
“Securities Act”	United States Securities Act of 1933
“Shares”	Ordinary shares in the capital of the Bank
“Shareholders”	Persons who are on the register of members at the relevant time
“SME”	Small and Medium Enterprise
“Supplementary Capital” or “Tier II Capital”	Includes 25% of revaluation reserves, subordinated debt, permanent debt and any other form of capital as determined by the BNR
“Time”	Any reference to time in this Prospectus shall refer to 2 hours in advance of Greenwich Mean Time (GMT) being the local time in Rwanda
“Total Capital” or “Net Worth”	Core Capital plus Supplementary Capital
“Transaction Advisors”	The entities listed from page x as advisors to the Bank on Initial Public Offer and Listing
“USD” , “US Dollars” , “US cents” , “US\$” or “\$”	The official currency of the United States of America
“VISA”	Registered trademark of Visa Inc.
“ZAR”	South African Rand, official currency of the Republic of South Africa

ADVISORS TO THE OFFER

LEAD TRANSACTION ADVISOR, SOLE BOOKRUNNER & FINANCIAL ADVISOR	
Renaissance Capital (Kenya) Limited Purshottam Place, 6th Floor Westlands Road, Chiromo P.O. Box 40560-0100, Nairobi, KENYA Tel: +254 20 368 2000 Fax: +254 (20) 368 2339 Email: infokenya@rencap.com Web: www.rencap.com	
LEAD SPONSORING BROKER	CO-SPONSORING BROKER
African Alliance Rwanda Limited Centenary House, 6th Floor Avenue de la Paix P.O. Box 638 Kigali, RWANDA Tel.: +250 785 694490 Email: securitiesrw@africanalliance.com Web: www.africanalliance.com	Dyer & Blair Securities Rwanda Limited Chadel Building, 3rd Floor Avenue de la Mille Collines P.O. Box 5292 Kigali, RWANDA Tel.: +250 782 498 750 Email: shares@dyerandblair.com Web: www.dyerandblair.com
REPORTING ACCOUNTANTS'	
Ernst & Young Rwanda SARL Bank of Kigali Building Avenue de la Paix P.O. Box 3638 Kigali, RWANDA Tel: +250 788 309 977 / +250 788 303 322 Fax: +250 571 059 Email: info@rw.ey.com Web: www.ey.com	
TRANSACTION LAWYERS	
RR Associates & Co. Advocates 2nd Floor, Concorde House Boulevard de l'Umuganda, Kacyiru P.O. Box 958 Kigali, RWANDA Tel: +250 255 102476 Email: arugango@rrassociateslaw.com Web: www.rrassociateslaw.com	Mboya and Wangong'u Advocates Lex Chambers, Maji Mazuri Road P.O. Box 74041 - 00200 Nairobi, KENYA Tel: +254 20 434 8356/ 60 Email: pwaiyaki@mboyawangongu.com Web: www.mboyawangongu.com
RECEIVING BANK	
Bank of Kigali Limited Company Code: 100003458 6112, Avenue de la Paix P.O. Box 175 Kigali, RWANDA Tel: +250 252 593100 / +250 0788143000 Fax: +250 252 573461 / +250 252 575504 Email: bk@bk.rw Web: www.bk.rw	
PUBLIC RELATIONS CONSULTANT	REGISTRARS
Vantage Communications La Bonne Adresse House, 2nd Floor P.O BOX 1891 Kigali, RWANDA Tel: +250 785 315525 Fax: +256 414 510391 Email: tomara@rw.vantagecom.net Web: www.vantage.co.ug	CDSC Registrars Rwanda Limited Ecobank Building, 5th Floor Avenue de la Paix P.O. Box 7286 Kigali, RWANDA Tel: +250 784 110636 Email: registrar@cdsckenya.com Web: www.cdsckenya.com

OFFER TIMETABLE

Offer Timetable	
International Bookbuilding opens (International Pool)	17 June 2011
International Bookbuilding closes (International Pool)	23 June 2011
Opening of Offer Period (Domestic Pool)	30 June 2011
Close of Offer Period (Domestic Pool)	29 July 2011
Announcement of allotment results	12 August 2011
Last date for payment of Shares under International Pool and QII sub-pools	18 August 2011
Dispatch of CSD Statements and commencement of collection of refunds from ASAs	22 August 2011
Admission to Listing, and commencement of trading of the Shares, on the Rwanda Stock Exchange	29 August 2011

The Offer Timetable and, in particular, the Offer Period is subject to amendment and extension if agreed by Bank of Kigali, CMAC and the RSE. Any such amendment or extension will be announced publicly through a press advertisement.

OFFER STATISTICS

Offer Statistics		
Offer Price per Offer Share	RwF	125.00
Par value of each Offer Share	RwF	10.00
Authorised share capital of the Bank	RwF	7,024,600,000
Total number of issued shares		500,500,000
Number of New Shares		166,837,000
Number of Sale Shares		133,467,400
Total number of Offer Shares (New Shares plus Sale Shares)		300,304,400
Gross proceeds of the Offer	RwF	37,538,050,000
Net profits for the twelve (12) month period ended 31.12.2010	RwF Millions	6,179
EPS for the twelve (12) month period ended 31.12.2010 (based on 500,500,000 shares following a Share split)	RwF / Share	12.34
Implied PE (historical) based on the EPS for the twelve (12) month period ended 31.12.2010		10.1x
Forecast full year net profits for the twelve months ending on 31.12.2011	RwF Millions	7,700
Forecast EPS as at 31.12.2011 (based on increased number of issued shares assuming full subscription of New Shares)	RwF / Share	11.54
Implied PE as at 31.12.2011 based on the Forecast EPS		10.8x

DIRECTORS AND CORPORATE INFORMATION

For more information about the Directors, please refer to Part 3 of this Prospectus.

Current Directors of Bank of Kigali

Lado GURGENIDZE (Georgian and British) <i>Chairman</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA	Apollo M. NKUNDA (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA
Perrine MUKANKUSI (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA	Alphosine NIYIGENA (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA
Dativa MUKESHIMANA (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA	Sudadi S. KAYITANA (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA
Marc HOLTZMAN (American) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA	Caleb RWAMUGANZA (Rwandan) <i>Non-Executive Director</i> Avenue de la Paix P.O. Box 175 Kigali, RWANDA

Corporate Information

Registered Office	Bank of Kigali Avenue de la Paix P.O. Box 175 Kigali, RWANDA Tel: +250 252 587200 / 252 582 993 E-mail: bkipo@bk.rw Web: www.bk.rw
Company Secretary	Frances IHOGOZA Bank of Kigali Avenue de la Paix P.O. Box 175 Kigali, RWANDA
Auditors	Ernst & Young (Rwanda) SARL Certified Public Accountants Bank of Kigali Building Avenue de la Paix P.O. Box 3638 Kigali, RWANDA
Lawyers	Mr. Emmanuel RUKANGIRA P.O. Box 3270 Kigali, RWANDA Mr. Athanase RUTABINGWA P.O. Box 6886 Kigali, RWANDA
Principal Banker	Banque Nationale du Rwanda P.O. Box 531 Kigali, RWANDA

LETTER FROM THE MINISTER OF FINANCE AND ECONOMIC PLANNING



Dear Prospective Investor,

On behalf of the Government of Rwanda, I am pleased to announce yet another fundamental step in the development of our financial sector. The Government is offering 133,467,400 ordinary shares representing 20% of Bank of Kigali Limited to the public. The shares being offered by the Government are in addition to the 166,837,000 newly created shares representing 25% that will also be offered to the public, through an Initial Public Offering (IPO).

Bank of Kigali becomes the second domestic company to go public through the Rwanda Capital Market. It follows BRALIRWA Limited, which listed in January this year. This offer of shares by the Government is a continuation of its commitment to enhance the development of the capital market as part of the Financial Sector Development Program (FSDP) launched four years ago.

The development of the capital market in Rwanda is a deliberate strategy to enhance the long-term capital formation and access to long term financing for both private and public sectors. The Government is keen to create the culture of savings and investment through wide spread ownership of shares and other financial assets among the population. Therefore, the Government identified the capital market as a channel for long term savings mobilization and an opportunity to promote public ownership through the accelerated privatization programme.

Bank of Kigali Limited is a leading Bank in Rwanda and has been one of the most profitable companies in the country over the years. For the financial year ending 31 December 2010, the Bank reported net income of RwF 6,179 million and has been amongst the best and largest taxpayers in the country. The Government is giving an opportunity to the public to share the success of a well managed and financially sound Bank.

In order to ensure a stable market in the price of the Bank's shares following the Listing, the Government does not intend to dispose of any additional shares in the Bank held by it or the Social Security Fund of Rwanda for a period of at least 180 days following the Listing of the Bank's shares on the Rwanda Stock Exchange.

This Prospectus sets out the details of the Offer and the Listing of the Bank's Shares on the Rwanda Stock Exchange. I urge all potential investors to take interest and read the full Prospectus to understand the potential rewards and risks related to investing in the Bank.

To the potential investors who have looked to Rwanda as an investment destination, this is the opportunity. Finally, I wish Bank of Kigali and the Rwanda Capital Market a successful IPO.

A handwritten signature in black ink, appearing to be 'John RWANGOMBWA', written over a horizontal line.

John RWANGOMBWA
MINISTER



Dear Prospective Investor,

Bank of Kigali is delighted to join the Government of the Republic of Rwanda in offering to the public Shares in the Bank.

Founded 45 years ago in Rwanda, we currently serve over 60,000 customers through our expanding network of 33 branches and have grown to become the leading Bank in the country by assets, loans, deposits and shareholders' equity. The following awards received by the Bank are evidence of the growing international recognition of our sustained progress:

- Bank of the Year (Rwanda) in 2009 and 2010 from *The Banker*;
- Best bank in Rwanda in 2009 and 2010 from *emeafinance*; and
- Best Tax Payer of the Year (2002 – 2009) from the Rwanda Revenue Authority.

We expect that the proceeds of the 166,837,000 New Shares will help us execute our strategy of evolving into a universal bank with a ubiquitous branch network and modern, high-capacity electronic banking channels, and fund the further growth of our loan book while reducing the asset/liability maturity gap.

On behalf of the Directors, the Management and the staff, I wish to thank most sincerely all those people who have supported us on this journey. I would particularly like to acknowledge the support of our shareholders, the Government of Rwanda and Caisse Sociale du Rwanda, and, above all, our clients. This Prospectus sets out the details of the Offer and the Listing of Bank of Kigali's Shares on the Rwanda Stock Exchange. Please read the Prospectus in full to obtain a better understanding of the opportunity to join us.

A handwritten signature in black ink, appearing to be 'L. GURGENIDZE', written over a horizontal line.

Lado GURGENIDZE
Chairman

EXECUTIVE SUMMARY

THIS SUMMARY MUST BE READ AS AN INTRODUCTION TO THIS PROSPECTUS AND ANY DECISION TO INVEST IN THE BANK'S SHARES SHOULD BE BASED ON THE CONSIDERATION OF THE PROSPECTUS AS A WHOLE.

Overview

Bank of Kigali is a leading banking institution in Rwanda, offering a wide spectrum of commercial banking services to corporate, SME and retail customers. The Bank has approximately 450 employees and serves over 60,000 retail clients. The Bank has a network of 33 branches spread across all provinces and major commercial districts in the country. According to BNR data, Bank of Kigali is the largest bank in the country with leading market share by assets (27%), net loans (31%), customer deposits (26%), and shareholders' equity (32%) as of 31 December 2010. For the twelve months ended 31 December 2010, the Bank generated net income of RwF 6,179 million (US\$ 10.4 million), had total assets of RwF 197,677 million (US\$ 332.5 million) and shareholders' equity of RwF 31,870 million (US\$ 53.5 million). The Bank's CAR was 20% as at 31 December 2010.

Founded in 1966 as a joint venture between Belgolaise S.A. and the GoR, Bank of Kigali is now a dominant player in the Rwandan banking sector and is widely regarded as a reliable financial institution with a highly recognised brand and strong reputation for customer focus, outstanding service and robust balance sheet.

Since the mid-1990s, Rwanda has benefited from political, social and macroeconomic stability coupled with improvements in real income and the resulting high rate of upward social and economic mobility. During this period, the Rwandan financial services industry has experienced substantial growth, as economic stability and growth, increased employment rates and rising purchasing power of the Rwandan population have been contributing to an increase in penetration of financial products and services. Nonetheless, the penetration of banking products and services remains low in Rwanda compared to that of other emerging markets, including its East African peers. The ratio of total banking sector assets to GDP was approximately 22% in Rwanda in 2010 as compared to 66% and 33% in neighbouring Kenya and Uganda, respectively, implying significant headroom for banking sector growth in Rwanda.

It is expected that banking penetration will continue to increase as a result of a relatively stable macroeconomic environment and continued economic growth, as banks operating in Rwanda expand their branch networks and upgrade electronic banking channels in order to reach the under-banked and un-banked segments of the Rwandan population, which, according to estimates, account for up to 90 % of the population. The Rwandan financial market is relatively highly concentrated, with the three largest banks accounting for approximately 65% of total loans and 59% of total deposits as of 31 December 2010 according to the BNR.

The Business of the Bank

The Bank's two principal business areas are retail banking and corporate banking. In addition, the Bank has completed the preparatory work and intends to offer domestic private banking services imminently.

The Bank is a leader in the Rwandan retail banking market, currently serving over 60,000 retail clients through its branch network and electronic distribution channels. The Bank's retail banking activities include retail lending (including micro-financing loans, mortgage loans, general consumer loans, automobile loans, payroll loans and overdrafts and credit cards), current, savings and term deposit accounts, bank card products and services, ATM services, Internet and SMS banking, utilities and other bill payments, money transfers and remittances, standing orders, direct deposit services for wages and other monetary entitlements and other retail banking services. As of 31 May 2011, the Bank had the second largest branch network in Rwanda, with 33 branches, including full-service flagship branches, service centres and smaller-scale sales outlets and the second largest ATM network in Rwanda, comprising 26 ATMs. As at 31 December 2010, the Bank's retail banking business had customer deposits and loans of RwF 36,401 million and RwF 20,738 million respectively, representing 27% and 20% of the Bank's total customer deposits and loans respectively.

The Bank is the leader in the Rwandan corporate banking market. The Bank's banking services consist primarily of account administration and cash management services, payroll services and corporate lending, as well as a range of trade finance operations (including invoice discounting, letters of credit and bank guarantees) and, foreign exchange transactions. The Bank provides loans and other credit-related products in RwF and (to qualifying clients) in foreign currencies, principally U.S. dollars, including overdraft facilities, revolving lines of credit, working capital facilities and equipment financing, with most of corporate lending and off-balance sheet exposure secured by commercial mortgages or other collateral. The Bank's corporate clients include large corporates as well as small and medium-size companies and governmental entities. As of 31 December 2010, the Bank served 1,440 corporate customers, 2,297 SME customers and 1,684 NBA customers. As at 31 December 2010, the Bank's corporate banking business had customer deposits and loans of RwF 99,277 million and RwF 84,789 million respectively, representing 73% and 80% of the Bank's total customer deposits and loans respectively.

The following table sets out certain summary financial and operational data for the Bank. The financial data below has been extracted from audited Annual Financial Statements for the years ended 31 December 2010, 2009 and 2008 and unaudited and reviewed Interim Financial Statements for the three months ended 31 March 2011 and 2010.

	Period Ended 31 March		Year Ended 31 December		
Financial Data (RwF Millions)	2011	2010	2010	2009	2008
Assets	211,123	156,494	197,677	151,871	120,746
Net Loans & Advances	104,902	84,509	101,403	77,096	72,094
Total Deposits	161,304	125,634	154,598	124,587	101,138
Shareholders' Equity	32,785	19,391	31,870	21,184	15,897
Net Interest Income	3,633	2,776	12,211	10,197	9,178
Net Non-Interest Income ⁽¹⁾	2,742	1,819	8,936	5,803	4,996
Total Operating Income (Revenue)	6,375	4,595	21,147	16,000	14,174
Total Operating Expenses	3,073	2,152	10,043	7,059	5,673
Profit Before Provisions ⁽²⁾	3,302	2,443	11,058	8,942	8,501
Net Provision Expense ⁽³⁾	463	1,203	2,376	1,500	255
Profit for the period	1,915	850	6,179	5,287	5,654
Operational Data					
Return on Average Assets ⁽⁴⁾	3.7%	2.2%	3.5%	3.9%	4.6%
Return on Average Equity ⁽⁵⁾	23.7%	17.9%	24.5%	30.7%	39.4%
Cost / Income Ratio ⁽⁶⁾	48.2%	46.8%	47.5%	44.1%	39.8%
Capital Adequacy Ratio ⁽⁷⁾	23.1%	17.7%	20.1%	19.9%	14.9%
Net Interest Margin ⁽⁸⁾	8.8%	8.6%	8.3%	8.2%	9.0%
Number of Retail Accounts	74,145	38,451	64,843	49,100	29,724
Number of ATMs	26	6	26	6	6
Number of Branches and Agencies	33	19	33	18	14

Note: Return on Average Assets and Return on Average Equity for the periods ended 31 March 2011 and 31 March 2010 are annualized. The Directors authorized the creation of a general provision of RwF 1,000 million against loans and advances as of 31 March 2011. The provision was accounted for as a reduction of equity ("other reserves") as of 31 March 2011.

- (1) Net non-interest income is net fee and commission income, foreign exchange gains and other income.
(2) Profit before provisions is equal to total operating income less impairment on available-for-sale investments less total operating expenses
(3) Net provision expense is impairment losses on loans and advances less recoveries
(4) Return on average assets equals net income of the period divided by average total assets for the same period.
(5) Return on average equity equals net income of the period divided by average total shareholders' equity for the same period.
(6) Cost/income ratio equals total recurring operating costs for the period divided by total operating income.
(7) Capital Adequacy Ratio equals Total Capital divided by risk weighted assets.
(8) Net interest margin equals net interest income for the period divided by average interest earning assets for the same period.

Competitive Strengths

Management believes that the Bank has the following competitive strengths:

- leading market position;
- an evolving and diversified product offering;
- a widely-recognised and trusted retail brand and franchise;
- a wide and expanding distribution network;
- strong corporate customer relationships;
- experienced management;
- diversified Board combining local and international experience;
- access to long-term wholesale funding; and
- market-dominant size of equity capital.

The Bank's Strategy

Management's objective is to maximize shareholder value by further developing the Bank into the leading universal bank in Rwanda and increasing its market share in all relevant sectors of the Rwandan financial services industry. The key elements of the Bank's business strategy are:

Build a Ubiquitous Branch Footprint throughout the Country

Bank of Kigali currently has 33 full-service branches and smaller service centres spread across the major commercial centres in the country. The Bank intends to expand its branch footprint in Rwanda to over 60 branches and service centres in the next two years. By creating a ubiquitous branch footprint, the Bank expects to tap into the large under- and un-banked population in Rwanda.

Build Sufficient Channel Capacity

In addition to the expansion of the branch footprint, the Bank intends to further enhance its ATM, POS, mobile and Internet banking channel capacity to be able to serve over 500,000 clients in the next five years. To this end, the Bank expanded in 2010 its ATM network from 6 to 26 ATMs and has additionally purchased 20 high-end ATMs and ensured the interoperability of its ATM acquiring business with that of the other banks in Rwanda. The Bank is in the process of expanding its network of installed POS terminals from 100 as at 31 March 2011 to 500 POS terminals by 31 December 2011, installing the new terminals at the premises of various leading merchants and hospitality sector operators. The Bank has commenced the issuance of ZIPP prepaid cards for the un-banked. The Bank is a principal member of VISA® and commenced, in May 2011, issuing VISA® debit cards.

Expand Retail Product Offering

Bank of Kigali aspires to further increase its market share and diversify its revenue streams and funding base by offering a wide range of retail banking products. The Bank plans to build a market-leading retail sales force to re-balance, over time, the composition of its loan book toward higher-yielding retail lending products, while continuously investing in technology-based delivery systems to ensure their scalability.

Consolidate the Leading Position in Corporate Banking

Bank of Kigali provides local companies with a variety of financial products, utilising its network and local market knowledge to offer customers tailored solutions. The Bank expects to benefit from its leading market position and thereby strengthen its existing relationships and build lasting relationships with new customers, leveraging, where appropriate, its superior domestic lending capacity due to the market-dominant equity capital base.

Create a Universal Banking Platform

The Bank plans to maximize its product-to-client ratio by expanding into private banking and selected other financial services, to the extent permissible under Rwandan banking laws and regulations.

Increase the Maturity Profile of its Liabilities

The Bank plans to leverage its superior access to wholesale funding to complement its deposit funding base and reduce the liquidity gap. To this end, the Bank intends to continue raising long-term funding from various International Financial Institutions.

Maintain Profitable Growth

The Bank intends to continuously improve its risk management policies and procedures and pursue disciplined capital management. Management believes that it is possible to achieve the Bank's growth and market share objectives without sacrificing profitability and additionally intends to pursue a dividend policy that is compatible with the Bank's growth potential.

PART ONE
SUMMARY OF THE OFFER

Important Notice:

This section is not intended to and does not provide full information for prospective investors intending to apply for the Offer Shares offered pursuant to this Prospectus. This Prospectus should be read and considered in its entirety.

The Offer

Legal Status of the Bank

The Bank was incorporated in the Republic of Rwanda on 22 December 1966 under the name Banque de Kigali. The name of the Bank was changed to “Bank of Kigali” by a resolution of the shareholders dated 24 January 2011. The Bank is incorporated as a public company limited by shares. Its main object is to carry out for itself or on behalf of other parties all types of banking operations. It is licensed to carry out banking activities in the Republic of Rwanda.

At an EGM held on 4 May 2011, the shareholders of Bank of Kigali approved the new Memorandum and Articles of association of the Bank required to be adopted to make it compliant with the Companies Act.

Legal basis of the Offer

The transaction will involve an offer for subscription of New Shares in the Bank in order to raise capital for expansion purposes as well as an offer of existing shares by the GoR to facilitate the partial divestiture in the Bank.

At an EGM on 28 March 2011 the shareholders of the Bank authorized the issuance of 15,167 shares with a par value of RwF110,000 making the authorized number of shares 60,667.

The Shareholders of the Bank passed the following resolutions in an EGM on 4 May 2011 relating to the Offer:

- Share split at the ratio of 1:11,000 thereby creating 667,337,000 ordinary shares of par value of RwF 10 each;
- Creation of an additional 35,123,000 ordinary shares to be allocated to the ESOP and approval of the ESOP terms and conditions;
- Approval of offer for sale of shares and issue to the public and listing on the RSE, including authorizing directors to seek all necessary authorizations and approvals;
- Waiver by shareholders of right of first refusal and pre-emptive rights on the transfer and offer of shares; and
- Adoption of revised Memorandum & Articles of Association.

Reasons for Privatisation/Divestiture by the GoR

In an effort to encourage private equity investment amongst the citizens of Rwanda and to promote the development of the local capital markets, the GoR has embarked on a privatization programme of state-owned enterprises. The specific objectives of GoR's privatization/divestiture programme include:

- To reduce the shares held by GoR in public companies, thus alleviating the financial burden on its resources through the elimination of subsidies and state investments;
- To reduce its administrative obligations in these enterprises;
- To attract foreign investment in Rwanda and the accompanying transfer of technology and knowhow; and
- To develop and promote Rwanda's capital markets.

RwF 16,683 million of the gross proceeds of the offer will accrue to GoR, proportionately with the ratio of the Sale Shares to the Offer Shares.

Use of Proceeds by the Bank

The Bank expects to raise RwF 20,855 million in gross proceeds from the sale of the New Shares. The Bank intends to deploy the proceeds to reduce its assets and liabilities maturity gap and fund the further growth of its loan book and branch and other channel expansion.

SUMMARY OF THE OFFER

Number of Shares on Offer

The total number of Sale Shares is 133,467,400, and New Shares is 166,837,000. Assuming the total number of Offer Shares is fully subscribed, the total number of Offer Shares will constitute 45% of the issued share capital of the Bank.

The pre and post-Offer shareholding structure is shown in the table below:

Shareholder	Pre – Offer		Post - Offer	
	No. of Shares	% of Issued Shares	No. of Shares	% of Issued Shares
Government of Rwanda	332,002,000	66.33%	198,534,600	29.75%
Social Security Fund Of Rwanda	168,443,000	33.65%	168,443,000	25.25%
PRIME Holding S.A.R.L	11,000	0.002%	11,000	0.00%
OCIR Cafe	11,000	0.002%	11,000	0.00%
OCIR The	11,000	0.002%	11,000	0.00%
National Post Office	11,000	0.002%	11,000	0.00%
RAMA	11,000	0.002%	11,000	0.00%
Offer Shares	-	0.00%	300,304,400	45.00%
TOTAL	500,500,000	100.00%	667,337,000	100.00%

Directors and Employees Share Allocation and Incentive Scheme

Pursuant to a shareholder resolution dated 4 May 2011, the Bank intends to offer some of the New Shares to its Directors and Employees. 7,200,000 Offer Shares (the “ESOP Shares”) may be subscribed for by the Directors and eligible Employees and each ESOP Share so subscribed shall entitle the purchaser to receive, free of charge, a warrant (the “Warrant”) issued by the Bank. Each Warrant, which shall be non-transferable, shall entitle its holder (the “Warrant Recipient”) to purchase from the Bank, not earlier than the first anniversary of the close of the Offer (the “Vesting Date”), and not later than the sixth anniversary of the close of the Offer, one newly issued Share of the Bank for the cash consideration equal to the Offer Price and payable in full at the time of the purchase. The Warrant Recipients shall continue to serve as Directors or be employed by the Bank, as the case may be, on the Vesting Date in order for their Warrants to vest. Pursuant to a shareholder resolution dated 4 May 2011, a sufficient number of Shares have been created and authorised for issue upon demand in connection with the exercise of the Warrants described above.

All Employees that are Warrant Recipients are entitled to purchase the ESOP Shares with a five-year loan from the Bank for up to 75% of the purchase price. The loans will be made by the Bank in RwF at the interest rate of 7% (seven percent) per annum and shall be repayable in 60 equal monthly instalments.

Status of the Offer Shares

The Offer Shares rank *pari passu* in all respects with the Issued Shares, including the right to participate in full in all dividends and/or other distributions declared in respect of such Share upon the allotment of the Offer Shares.

The Offer Shares will be freely transferable and will not be subject to any restrictions on marketability or any rights of first refusal on transfer.

Structure and Allocation of the Offer

In order to strike a balance between retail and institutional investors as well as local and international investors, the Offer is structured into two main pools, Domestic and International. The Domestic Pool consists of three sub-pools (Retail East Africans, Employees and Directors and QIIs).

40% of the Offer has been earmarked for the International Pool and the balance of 60% of the Offer Shares for the Domestic Pool. Within the Domestic Pool, 27.6% of the Offer Shares have been reserved for Retail East Africans, 2.4% for Employees and Directors, 15% for QIIs in Rwanda and the remaining 15% of the Offer for QIIs in East Africa other than in Rwanda.

Over-allotment Option

The Offer does not include an option for the issue of additional shares beyond the Offer Shares in the event of an over-subscription of the Offer Shares.

Lock-up Agreements

The Bank has agreed with the Lead Transaction Advisor, subject to certain exceptions, not to offer, sell, or dispose of any shares of its share capital or securities exercisable for any Shares of the Bank's share capital during the 180-day period following the date of allotment. The Government of Rwanda has similarly agreed to not to sell, dispose or otherwise transfer its shareholding or the shareholding of the Caisse Sociale du Rwanda in the Bank.

Eligibility to the pools and sub-pools

The following describes who is eligible to participate in each of the pools and the sub pools.

Domestic Pool

The Domestic Pool is comprised of the following sub-pools:

- i) Retail East Africans;
- ii) Employees and Directors;
- iii) QII Rwanda; and
- iv) QII EAC (other than Rwanda).

Retail East Africans sub-pool

East Africans (as defined in this Prospectus) excluding QIIs are eligible to apply only for the 82,891,400 Offer Shares reserved under this sub-pool.

Employees and Directors Pool

Employees and Directors (as defined in this Prospectus) are eligible to apply only for the 7,200,000 Offer Shares reserved under this sub-pool.

QII Rwanda

QIIs (as defined in this Prospectus) that are incorporated or registered in Rwanda are eligible to apply only for the 45,045,600 Offer Shares reserved under this sub-pool.

QII EAC

QIIs (as defined in this Prospectus) that are incorporated or registered in any of the EAC countries, other than in Rwanda, are eligible to apply only for the 45,045,600 Offer Shares reserved under this sub-pool.

International Pool

Persons who are not Retail East Africans, Employees and Directors or QIIs are entitled to apply for Shares reserved under the International Pool.

Foreign Investors are only eligible to apply for Shares under the International Pool, if it is permissible under the laws of their residency or location for them to receive the Prospectus and participate in the Offer and provided that the Offer to such entity complies with the selling restrictions set out in the section headed *Selling Restrictions*.

The table below gives a summary of the Offer Structure & Allocation.

POOL	SUB-POOL	NUMBER OF SHARES	ALLOCATION %
Domestic Pool	Retail East Africans	82,891,400	27.60%
	Employees and Directors	7,200,000	2.40%
	QII-EA	45,045,600	15.00 %
	QII-Rwanda	45,045,600	15.00 %
International Pool		120,121,800	40.00%
TOTAL OFFER		300,304,400	100.00%

Minimum number of Shareholders

A minimum number of shareholders is not a requirement of the Prospectus Instructions. However, CMAC guidelines to listing equities state that in order to achieve a listing on the RSE, a company must have a minimum number of 50 shareholders.

Minimum number of Offer Shares per Application

The minimum number of Shares per application is 100 Offer Shares. Applicants applying for more than the minimum number of Offer Shares may apply for such higher number in multiples of 100 Offer Shares.

SUMMARY OF THE OFFER

Stock Exchange Listing

Approval of the Offer and the Listing has been received from CMAC and permission for the Listing has been received from RSE, subject to procuring a minimum number of 50 shareholders holding in aggregate at least 25% of the total issued shares of Bank of Kigali. It is expected that trading in the Shares will commence on or about 29 August 2011. Shares will be electronically credited to successful Applicants' respective CSD Accounts.

Extension of the Offer

Any extension of the Offer Period will be subject to approval of the BoD, CMAC and the RSE.

Underwriting

The Offer Shares will not be underwritten.

Allotment Policy

The responsibility for allotting the Offer Shares lies with the Issuer and the Vendor under the recommendation of the Lead Transaction Advisor. Where valid Applications for Offer Shares received in any pool or sub-pool are equal to or less than the Offer Shares reserved for that pool or sub-pool respectively, the Applicants will be allotted in full the number of the Offer Shares applied for by them. In the event of an under-subscription in the Domestic Pool, the Offer Shares not subscribed for in the Domestic Pool will be allocated to the International Pool and vice versa.

Further to the above provisions, the following policies will apply to the sub-pools and pool highlighted below:

Allotment Policy in the Retail East Africans sub-pool

The following allotment policy will apply to the Retail East African sub-pool:

If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the Retail East Africans sub-pool, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the sub-pool are fully exhausted, provided however that Rwandan citizens will be given priority in allotment for up to 60% of the Offer Shares reserved under the Retail East Africans sub-pool.

Allotment Policy in the QII Rwanda and QII EAC sub-pools

If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the QII Rwanda and QII EAC sub-pools, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the particular sub-pool are fully exhausted.

Allotment Policy in the International Pool

Applications in the International Pool will be submitted to the Bookrunner by the Authorized Selling Agents and the Bookrunner will subsequently enter each Application into the institutional book of demand.

The Bookrunner will seek to build a book of demand consisting of a mix of investors who are likely to be long term holders of the securities or providers of liquidity. Some or all the following factors will determine the allocations to each Applicant:

- investor's price limit, and the level;
- the size of the investor's expressed interest (both absolute and relative to the investor's portfolio or assets under management);
- the investor's interest in, and past dealings in other issues in the banking industry in emerging markets;
- the extent to which the investor's expressed interest and the size of the allocation requested appears consistent with the investor's expressed investment strategy and objectives and purchasing capacity;
- the timeliness of the investor's indication of interest;
- the nature and level of interest shown by the investor in the issuer and the offering, for example its involvement in roadshows, meetings and valuation discussions and other contact with the issuer;
- the category or description into which the investor falls (e.g. retail fund, tracker fund, emerging markets specialist, industry specialist fund);
- the geographic spread of investors in the book of demand;
- the need to comply with applicable selling restrictions or other relevant legal or regulatory restrictions in each jurisdiction where potential investors are located;
- based on experience, the investor's likely long-term interest in the issuer (whether in the market or potential future offerings);
- any indication or reasonable belief that an investor has exaggerated its indication of interest in anticipation of being scaled back; and
- the desirability of avoiding allocations in inconvenient or uneconomic amounts.

The Bookrunner will prepare an allocation recommendation for the International Pool, in order to create an optimal international shareholder base and promote a favourable aftermarket in the stock. The final decision on allocation of the International Pool will rest with the Issuer and the Vendor.

In the event of an over-subscription in the International Pool and additional Shares not subscribed for in the Domestic Pool are allocated to the International Pool, Applicants in the International Pool will be allotted such increased number of Offer Shares based on their respective initial expressed interest in the bookbuilding (described above).

If the results of the subscription for the Offer Shares make the above allotment policy impractical, then an amendment to the allotment policy shall be made with the approval of CMAC, the Issuer and the Vendor, and such amendment will be announced within 24 hours of the grant of such approval.

The Vendor and the Issuer reserve the right to accept or refuse any application in their sole discretion, either in whole or in part, or to accept some applications in full and others in part, or to abate any or all applications in such manner as they may determine. Any irregular, incomplete or suspected multiple applications may be rejected.

The Lead Transaction Advisor will notify CMAC of the allotment results as approved by the Issuer and the Vendor and announce the same by advertisement in the press within 21 days of the Closing Date.

Status of Applicant

Every Applicant is required to complete the declaration on the Application Form declaring the pool or sub-pool to which the Applicant is eligible to apply for shares and submit together with the application documentation supporting such eligibility.

Application and Payment Procedures

The summarized procedures below should be read in conjunction with the detailed instructions for applying for shares as contained in part nine of this Prospectus, “Procedures for, and Terms and Conditions of, Application and Allotment” and the instructions on the Application Form.

Copies of this Prospectus, together with the Application Forms and CSD account opening forms CSD 1R, may be collected during the hours from 8:00am to 5:00pm on any day (except Saturdays, Sundays and public holidays) from 30 June to 29 July 2011 from any of the ASAs listed in Appendix IX of this Prospectus.

Applications may be made only on the relevant Application Form, a copy of which is attached to this Prospectus (whether or not printed as a separate document). Each Application Form must be supported by payment for an amount equivalent to the value of shares applied for by the Applicant. Payment may be in the form of cash or a valid banker's draft/cheque in RwF. In the case of banker's draft/cheques, payments should be made in favour of any of the banks listed below:

AUTHORISED SELLING AGENTS	ACCOUNT No.
Bank of Kigali Limited	BANK OF KIGALI – IPO Account number: 040-9900735-75
Ecobank Limited	BANK OF KIGALI – IPO Account number: 001 006 38087297 01
KCB	Bank of Kigali Limited –IPO Account Account number: 4400633640
FINA Bank	BK IPO Collection Account Account Number: 2600101054 (Rwanda) Account Number: 1195500024 (Uganda) Account Number: 1164000297 (Kenya)
BCR	BK IPO Payables Account Number: 8888884-16-94
African Alliance Rwanda Limited	African Alliance Rwanda IPO Account Number: 040-0350607-80
Dyer and Blair Investment Bank	Dyer and Blair Client IPO Account Account Number: 040-0352912-59

The completed Application Form, together with the necessary cash, or banker's draft/cheque, should be submitted to any of the ASAs by 5:00pm on 29 July 2011.

SUMMARY OF THE OFFER

Foreign Investors and QIIs will not be required to provide payment or bank guarantees on application. Payment for the Offer Shares applied for by Foreign Investors and QIIs will be made upon allotment and within two working days of the announcement of allotment results. By submitting an Application Form, each Foreign Investor and QII binds itself to the Issuer and to the Vendor to pay in full the value of Offer Shares allotted to them.

Refunds Policy

In the event of an oversubscription, all Applicants that have not been allotted in full the number of Offer Shares applied for by them will be refunded an amount equivalent to the value of the Offer Shares not allotted. Applicants should indicate on the Application Forms their preferred mode of receiving refunds. Refunds will be made available to Applicants no later than 14 working days after the announcement of allotment results. Refunds will be made available to Applicants no later than 14 working days after the announcement of allotment results by way of EFT to the bank account specified in the Application Form.

Any refunds to Retail East Africans outside of Rwanda, with the exception of QIIs, will be made by way of EFT in the foreign currency specified by the Applicant on the Application Form, at the cost of the respective Applicant and at the prevailing exchange rate specified by the Receiving Bank at the time of refund.

Rejections Policy

Please refer to part nine of this Prospectus for the detailed application procedures.

Applications received after 5:00pm on the Closing Date will not be considered and personal cheques will not be accepted.

Applications will only be considered if received through any of the ASAs. Accordingly, the Lead Transaction Advisor, the GoR and Bank of Kigali will accept no responsibility for any applications that are, or may be, misdirected.

Applications can be rejected if full value of the Offer Shares applied for is not received.

Applications may be rejected for the following reasons:

- a) Missing or illegible name of primary or joint Applicant in any Application Form;
- b) Missing or incorrect CSD account number;
- c) Missing or illegible identification number, including corporation registration number, or in the case of Rwandan residents, missing or illegible alien registration number;
- d) Missing or illegible address (either postal or street address);
- e) Missing residence and citizenship indicators (for primary Applicant in the case of an individual) or missing residency for tax purposes for corporate investors;
- f) Insufficient documentation is forwarded including missing tax exemption certificate copies for companies that claim to be tax exempt;
- g) In the case of nominee applications, incomplete information or lack of declaration from the agent submitting the application;
- h) Missing or inappropriately signed Application Form including (for manual application only):
 - Primary signature missing from Signature Box 1;
 - Joint signature missing from Signature Box 2 (if applicable);
 - Two directors or a director and company secretary have not signed in the case of a corporate application;
- i) Number of Offer shares does not comply with the rules as set out in Prospectus;
- j) Amount as payment for number of Offer Shares Applied for is less than the correct calculated amount;
- k) Authorized Cheque has unauthenticated alterations;
- l) Authorized Cheque is not signed or dated or if amount in figures and words does not tally.

Selling Restrictions

Each of the following selling restrictions apply equally to the Domestic Pool and to the International Pool.

General

- a) Each of the Authorised Selling Agents has acknowledged to the Bank and the GoR that no action has been or (except to the extent indicated below) will be, taken in any jurisdiction by any of the Authorised Selling Agents, the Bank or the GoR that would permit a public offering of the Offer Shares, or possession or distribution (in electronic form or hard copy form) of the Prospectus (in preliminary or final form) or any other offering or publicity material relating to the Offer Shares, in any country or jurisdiction where action for that purpose is required. Each Authorised Selling Agent has undertaken that it will comply with all applicable laws and regulations in each jurisdiction in which it offers, sells or delivers Offer Shares or has in its possession or distributes (in electronic form or hard copy form) the Prospectus (in preliminary or final form) or any such other material, in all cases at its own expense.
- b) Each of the Authorised Selling Agent has also undertaken to the Bank and the GoR to ensure that no obligations are imposed on the GoR, the Bank, any Authorised Selling Agent in any such jurisdiction as a result of any of the foregoing actions. The GoR, the Bank and the Lead Transaction Advisor will have no responsibility for, and each Authorised Selling Agent will obtain, any consent, approval or permission required by it for, the acquisition, offer, sale or delivery by it of the Offer Shares under the laws and regulations in force in any jurisdiction to which it is subject or in or from which it makes any acquisition, offer, sale or delivery. No Authorised Selling Agent is authorised to make any representation or use any information in connection with the Offer and sale of the Offer Shares other than as contained in the Prospectus (in final form) or any amendment or supplement to it; and
- c) The distribution (in electronic form and hard copy form) of this Prospectus and the Offer is restricted by law in certain jurisdictions. Persons into whose possession this Prospectus may come are required by the Bank and GoR to inform themselves about and to observe such restrictions. This Prospectus may not be used for or in connection with any offer to, or solicitation by, anyone in any jurisdiction or in any circumstances where such offer or solicitation is not authorised or is unlawful.

United States

The Offer Shares have not been and will not be registered under the Securities Act or with the regulatory authority of any state or jurisdiction in the United States, and may not be offered, sold, exercised, pledged, taken up, delivered, renounced or otherwise transferred in or into the United States. There will be no public offering of the Offer Shares in the United States.

The Offer Shares have not been approved or disapproved by the SEC, any state securities commission in the United States or any other regulatory authority in the United States, nor have any of the foregoing authorities passed upon or endorsed the merits of the offering of the Offer Shares or the accuracy or adequacy of this document. Any representation to the contrary is a criminal offence in the United States.

The Offer Shares offered outside the United States are being offered in reliance on Regulation S under the Securities Act.

United Kingdom

- a) No Offer Shares have been marketed to, or are available for subscription or purchase in whole or part by, the public in the United Kingdom. This Prospectus does not constitute an offer or solicitation of an offer in the United Kingdom to subscribe for or buy any securities in Bank of Kigali or any other entity; and
- b) This Prospectus is being distributed only to, and directed only at, persons: (i) having professional experience in matters relating to investments and who fall within the definition of “investment professionals” in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (“FPO”); or (ii) high net worth bodies corporate, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the FPO; or (iii) to whom the Prospectus may lawfully be communicated (each, a “relevant person”) and must not be acted on or relied on by any person who is not a relevant person. In the United Kingdom any investment or investment activity to which this Prospectus relates is only available to and will only be engaged in with relevant persons. Any person who is not a relevant person should not act or rely on this document or any of its content. In addition to the foregoing restrictions, in relation to persons who are in the United Kingdom, this Prospectus is made and directed only at persons falling within the meaning of “qualified investors” as defined in Section 86 of the Financial Services and Markets Act 2000.

South Africa

This Prospectus does not constitute an offer for the sale of or subscription for, or the solicitation of an offer to buy and subscribe for, shares to the public as defined in the South African Companies Act, No. 61 of 1973 (as amended or otherwise). This Prospectus does not, nor is it intended to, constitute a prospectus prepared and registered under such Companies Act.

It may only be distributed in South Africa to:

- a) banks, mutual banks or insurers acting as principal or those who are wholly owned subsidiaries of any such banks, mutual banks or insurers acting as agents in the capacity of authorised portfolio manager for a registered pension fund or as manager for a registered collective investment scheme as registered under the applicable South African legislation; and
- b) Addressees acting as principals, who are willing to subscribe for Offer Shares to a value of at least ZAR 100,000, provided in either case that they are persons whose ordinary business or part of whose ordinary business is to deal in shares, whether as principals or agents. Qualifying South African residents wishing to participate in the Offer should be aware that they may be required to comply with South African exchange control requirements and should seek advice from a person properly qualified to advise them if they are in any doubt as to what this may involve. Please note that neither the Bank nor the GoR is responsible for obtaining any exchange control consents that any investor may need in order to participate in the Offer.

Canada, Australia and Japan

The Offer Shares have not been and will not be registered under the applicable securities laws of Canada, Australia or Japan. Each Authorised Selling Agent and the Transaction Advisors has represented and agreed that the Prospectus may not be distributed in, and the Offer Shares may not be offered or sold in Canada, Australia or Japan or to, or for the account or benefit of, any resident of Canada, Australia or Japan.

PART TWO
BUSINESS OVERVIEW OF BANK OF KIGALI LIMITED

Introduction

Bank of Kigali is the leading bank in Rwanda in terms of assets, deposits, loans and shareholders' equity. The Bank is also the most profitable bank in Rwanda, accounting for above 50% of the total banking sector profits in each of the last three financial years. The Bank is represented in all provinces and all major economic districts in Rwanda. As of 31 December 2010, the Bank had the second largest branch network in the country with 33 branches.

History and Key Milestones

The Bank was incorporated in the Republic of Rwanda on 22 December 1966. It was founded as a joint venture between GoR and Belgolaise, with each owning 50% of the ordinary share capital. The Bank commenced operations in 1967 with its first branch in Kigali. Belgolaise was a subsidiary of Fortis Bank operating in Sub-Saharan Africa and in 2005 began to withdraw from its operations in Africa in line with Fortis' strategy. Belgolaise still exists as a corporate entity under Belgian Law and is part of the BNP Paribas Fortis Group. In 2007 the GoR acquired the Belgolaise shareholding in Bank of Kigali, thereby increasing its direct and indirect shareholding in the Bank to 100% of the entire Issued Shares. In 2011, the Bank changed its name under the new law relating to companies from Banque de Kigali S.A to Bank of Kigali Limited.

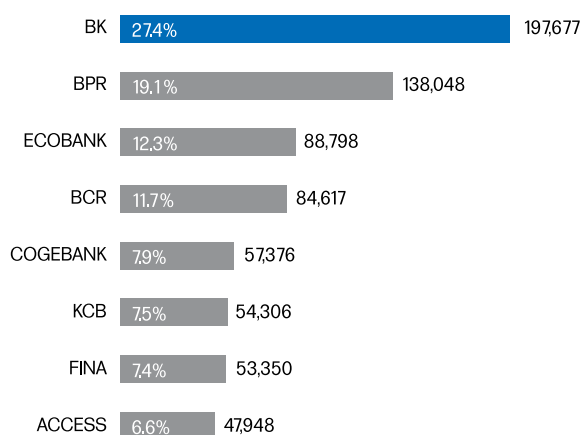
Recent important milestones on the Bank's history are summarised below:

Year	Milestone
2000	Started offering Western Union international money transfers
2005	Launched the internet banking service
2007	The GoR acquired the 50% equity interest in the Bank from Belgolaise
2008	The Bank's modern headquarters in downtown Kigali are completed
2009	The Bank signed a €5 million credit line agreement with EIB for private sector SME lending International Directors elected to the Board New strategy formulated, calling for the Bank to pursue branch ubiquity and universal banking Bank of the Year (Rwanda) Award received from <i>The Banker</i> magazine Best Bank in Rwanda received from <i>emeafinance</i> magazine
2010	Opened 15 new branches and service centres Rated A+/A1/ by Global Credit Rating Company (South Africa) Received the Bank of the Year (Rwanda) and Best bank in Rwanda awards from <i>The Banker</i> and <i>emeafinance</i> , respectively, for the second consecutive year
2011	Signed a US\$20 million dollar credit line and a €6 million sub-risk participation fund with the ADF

Market Position

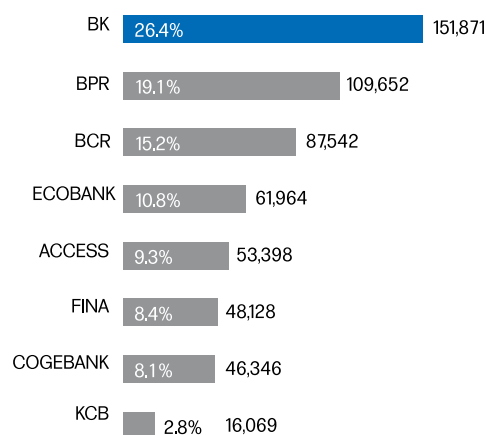
The charts below show that Bank of Kigali had the leading market share in total assets, deposits, loans and shareholders' equity as at 31 December 2010 and 2009.

Total Assets - 2010 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

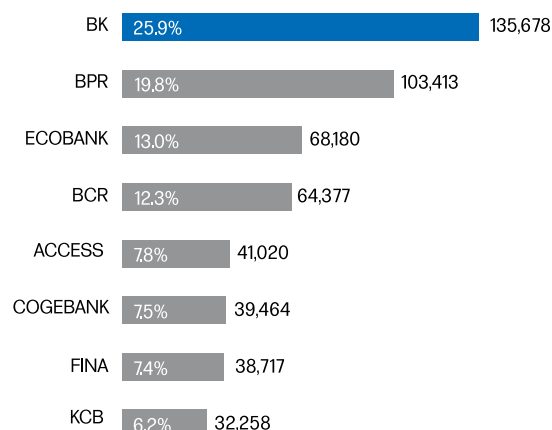
Total Assets - 2009 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

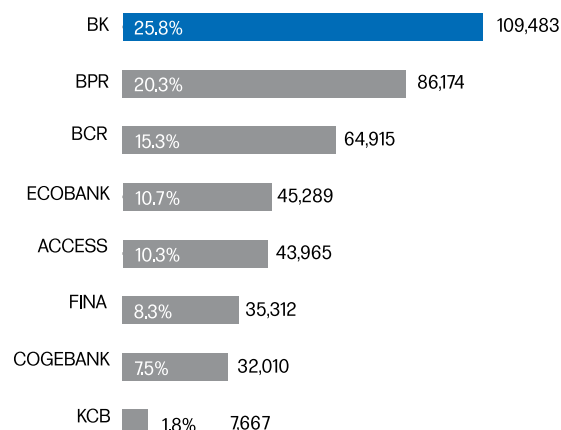
BUSINESS OVERVIEW

Total Deposit - 2010 (RwF Millions)



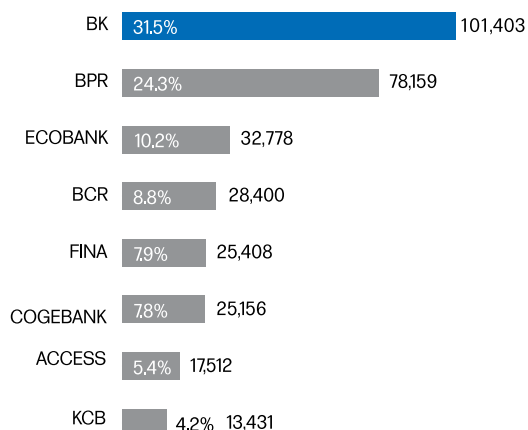
Source: Published Financial Statements Financial Year 2010

Total Deposit - 2009 (RwF Millions)



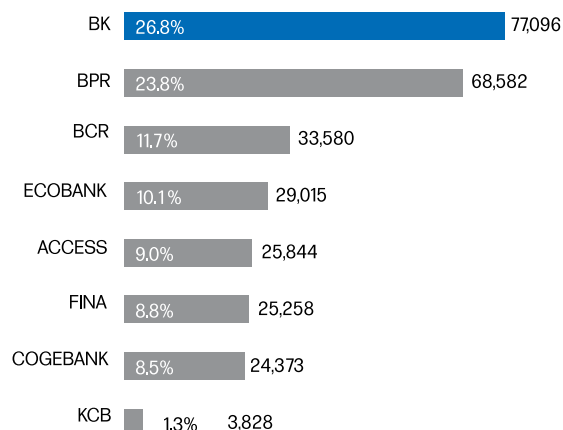
Source: Published Financial Statements Financial Year 2010

Total Loans - 2010 (RwF Millions)



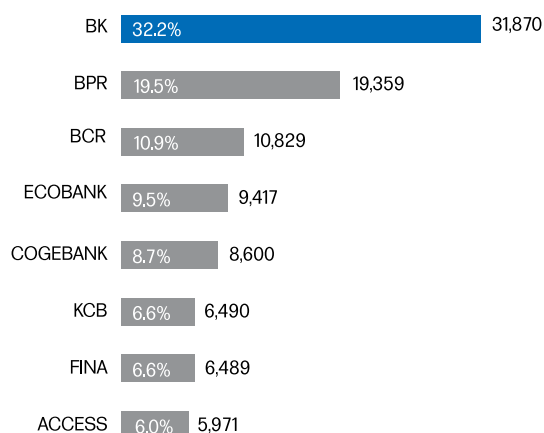
Source: Published Financial Statements Financial Year 2010

Total Loans - 2009 (RwF Millions)



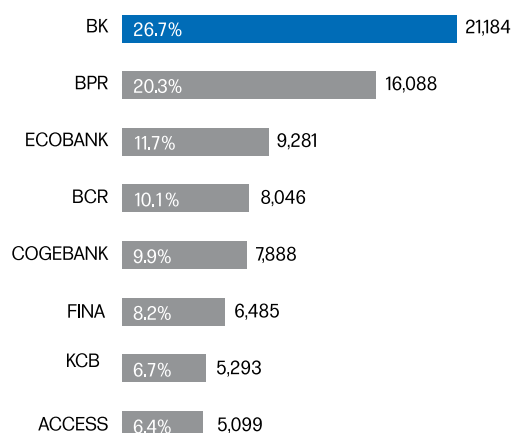
Source: Published Financial Statements Financial Year 2010

Shareholders' Equity - 2010 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

Shareholders' Equity - 2009 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

Management believes that the size of the Bank and its market leadership provides it with significant opportunities to harness economies of scale and to efficiently meet the evolving needs of its customers.

Competitive Advantages of Bank of Kigali

Management believes that the Bank has the following competitive strengths:

- leading market position;
- an evolving and diversified product offering;
- a widely-recognised and trusted retail brand and franchise;
- a wide and expanding distribution network;
- strong corporate customer relationships;
- experienced management;
- diversified Board combining local and international experience;
- access to long-term wholesale funding; and
- market-dominant size of equity capital

Leading Market Position

According to BNR data, Bank of Kigali is the leading bank in Rwanda with leading market share by assets (27%), net loans (31%), customer deposits (26%), and shareholders' equity (32%) as of 31 December 2010. The size and market leadership provides the Bank with exceptional competitive opportunities including the ability to meet its customers' evolving needs.

An Evolving and Diversified Product Offering

The Bank offers a wide range of retail and corporate banking products to its customers. Retail banking products include: retail lending (including micro-financing loans, mortgage loans, general consumer loans, automobile loans, payroll loans and overdrafts and credit cards), current, savings and term deposit accounts, bank card products and services, ATM services, Internet and SMS banking, utilities and other bill payments, money transfers and remittances, standing orders, direct deposit services for wages and other monetary entitlements.

Corporate banking products include: account administration and cash management services, payroll services and corporate lending, trade finance (including invoice discounting, letters of credit and bank guarantees) and foreign exchange transactions. The Bank provides loans and other credit-related products in RwF and (to qualifying clients) in foreign currencies, principally U.S. dollars, including overdraft facilities, revolving lines of credit, working capital facilities and equipment financing, with most of corporate lending and off-balance sheet exposure secured by commercial mortgages or other collateral.

While the basket of products currently offered is very diverse, the Bank is continuously developing new products and services to meet the needs of its customers.

A Widely Recognised and Trusted Retail Brand and Franchise

Bank of Kigali has been in Rwanda for 45 years and management believes that the Bank has built a very strong brand that is commonly associated with superior customer service and innovative products. In recognition of the Bank's service quality and market position, it received the Bank of the Year (Rwanda) and Best Bank in Rwanda awards from *The Banker* and *emeafinance*, respectively, in 2009 and 2010.

A Wide and Expanding Distribution Network

As of 31 May 2011, the Bank had the second largest branch network in Rwanda, with 33 branches, including full-service flagship branches, service centres and smaller-scale sales outlets and the second largest ATM network in Rwanda, comprising 26 ATMs. The branch network has rapidly grown, increasing from 18 as of 31 December 2009 to 33 as of 31 May 2011. The branch network is spread across all provinces and major commercial districts in the country and enables the Bank to service its customers' needs across Rwanda.

Strong Corporate Customer Relationships

The Bank's corporate clients include large corporates as well as small and medium-size companies and governmental entities. As of 31 December 2010, the Bank served 1,440 corporate customers, 2,297 SME customers and 1,684 NBA customers. Due to the Bank's long presence in the Rwandan banking market (45 years) and its diverse product base, the Bank has built strong relationships with corporate clients.

Experienced Management

Bank of Kigali has a highly skilled management team that has substantial experience in the financial sector. Management's expertise is exhibited by the strong financial performance of the Bank in the last three years, a period which saw Rwanda

BUSINESS OVERVIEW

experience the liquidity crisis, entry of foreign competitors into the market and challenges posed by the global financial crisis.

Diversified Board Combining Local and International Experience

Bank of Kigali has a Board composed of eight directors who have a mixture of local knowledge and experience as well as experience in international banking and financial markets. The diverse backgrounds of the Directors allow the Board to effectively execute its business strategy while applying international best practices.

Access to Long-Term Wholesale Funding

The Bank is rated A+/A1 by Global Credit Rating Company (South Africa) and as of the date of this Prospectus had secured long-term funding from EIB and AFD of Euro 5 million and US\$ 20 million respectively. In addition, the Bank is in the process of negotiating a long-term credit line with the principal amount exceeding US\$ 10 million. The Bank has access to long-term wholesale funding that is important in widening the maturity of its loan products.

Market-Dominant Size of Equity Capital

As at 31 December 2010, the Bank had shareholders' equity of RwF 31,870 million, the largest of all banks in Rwanda. In addition, the Bank is sufficiently capitalised with a CAR of 20% as at 31 December 2010. The size of the Bank's capital enables it to individually lend to customers who have large borrowing needs and also offer longer maturing loan products.

Bank of Kigali's Strategy

Management's objective is to maximize shareholder value by further developing the Bank into the leading universal bank in Rwanda and increasing its market share in all relevant sectors of the Rwandan financial services industry. The key elements of the Bank's business strategy are:

Build a Ubiquitous Branch Footprint throughout the Country

Bank of Kigali currently has 33 full-service branches and smaller service centres spread across the major commercial centres in the country. The Bank intends to expand its branch footprint in Rwanda to over 60 branches and service centres in the next two years. By creating a ubiquitous branch footprint, the Bank expects to tap into the large under- and un-banked population in Rwanda.

Build Sufficient Channel Capacity

In addition to the expansion of the branch footprint, the Bank intends to further enhance its ATM, POS, mobile and Internet banking channel capacity to be able to serve over 500,000 clients in the next five years. To this end, the Bank expanded in 2010 its ATM network from 6 to 26 ATMs and has additionally purchased 20 high-end ATMs and ensured the interoperability of its ATM acquiring business with that of the other banks in Rwanda. The Bank is in the process of expanding its network of installed POS terminals from 100 as at 31 March 2011 to 500 POS terminals by 31 December 2011, installing the new terminals at the premises of various leading merchants and hospitality sector operators. The Bank has commenced the issuance of ZIPP prepaid cards for the un-banked. The Bank is a principal member of VISA® and commenced, in May 2011, issuing VISA® debit cards.

Expand Retail Product Offering

Bank of Kigali aspires to further increase its market share and diversify its revenue streams and funding base by offering a wide range of retail banking products. The Bank plans to build a market-leading retail sales force to re-balance, over time, the composition of its loan book toward higher-yielding retail lending products, while continuously investing in technology-based delivery systems to ensure their scalability.

Consolidate the Leading Position in Corporate Banking

Bank of Kigali provides local companies with a variety of financial products, utilising its network and local market knowledge to offer customers tailored solutions. The Bank expects to benefit from its leading market position and thereby strengthen its existing relationships and build lasting relationships with new customers, leveraging, where appropriate, its superior domestic lending capacity due to the market-dominant equity capital base.

Create a Universal Banking Platform

The Bank plans to maximize its product-to-client ratio by expanding into private banking and selected other financial services, to the extent permissible under Rwandan banking laws and regulations.

Increase the Maturity Profile of its Liabilities

The Bank plans to leverage its superior access to wholesale funding to complement its deposit funding base and reduce the maturity gap between assets and liabilities. To this end, the Bank intends to continue raising long-term funding from various International Financial Institutions.

Maintain Profitable Growth

The Bank intends to continuously improve its risk management policies and procedures and pursue disciplined capital management. Management believes that it is possible to achieve the Bank's growth and market share objectives without sacrificing profitability and additionally intends to pursue a dividend policy that is compatible with the Bank's growth potential

Principal Operations of the Bank

The principal functions at Bank of Kigali are as shown below:

- Retail banking;
- Corporate banking;
- Asset-liability management;
- Information technology; and
- Human resources.

Retail Banking

The retail banking division targets all individuals ranging from the low income segment to the high net worth individuals. As of 31 December 2010, the Bank had a total of 64,843 retail accounts.

The table below presents a breakdown of the number of retail loan and deposit accounts for the period indicated.

		Year ended 31 December		
Retail Accounts	31 March 2011	2010	2009	2008
Loans	23,648	15,131	11,524	9,145
Deposits	50,497	49,712	30,376	20,579
Total Accounts	74,145	64,843	41,900	29,724

Source: Bank of Kigali

The range of products and services that the Bank offers its retail customers includes:

- Current accounts, savings accounts and time deposits;
- Mortgage loans;
- Consumer loans including micro-finance loans;
- Asset leasing; and
- Overdraft facilities.

The Bank aims to become the bank of choice for its customers across all the income groups.

Deposit Taking Activity

The Bank offers its customers a variety of deposit products such as:

- Non-interest earning current accounts or demand deposits with debit cards, SMS and Internet banking;
- Savings accounts; and
- Time deposits, which normally have a maturity of up to 12 months.

The table below shows a breakdown of deposits by product type as of the dates and amounts indicated below.

		Year ended 31 December		
Retail Deposits	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Demand Deposits	33,303	31,732	23,757	20,839
Time Deposits	5,793	4,212	3,958	3,356
Savings Deposits	544	457	134	-
Total Deposits	39,640	36,401	27,849	24,195

Source: Bank of Kigali

Interest rates

Interest rates range between 3% - 5% for savings deposits and 9% - 11% for term deposits.

BUSINESS OVERVIEW

Retail Lending

The Bank makes credit available to its customers through the various loan products listed in the table as of the dates and amounts indicated below.

		Year ended 31 December		
Retail Loans	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Mortgages	10,950	10,065	7,353	6,871
Consumer Loans	10,160	8,219	5,680	4,197
Overdrafts	3,506	2,012	930	1,060
Other	1,019	442	34	1,471
Total Loans	25,635	20,738	13,997	13,599

Source: Bank of Kigali

For all its retail loan products the Bank charges interest rates that range from 17.25% - 19.25%.

Consumer loans

Consumer loans are granted to individuals who have a regular income or pension. Consumer loans typically have maturities of up to 24 months.

Overdrafts

Overdrafts are subject to a limit for each customer as established by the Bank. Overdraft loans typically have maturities of 30 days.

Mortgages

The Bank offers mortgage loans for the purchase of real estate. The Bank offers a mortgage product with monthly fixed repayment instalments for a period of up to 10 years. The loan-to-value ratio of mortgage loans is 70%.

Corporate Banking

The Bank's corporate banking customers include corporate entities, SMEs and NBAs. As of 31 December 2010, the Bank had approximately 1,440 corporate customers, 2,297 SME customers and 1,684 NBA customers. Corporate customers are generally companies with annual gross revenues above RwF 600 Million or approximately US\$1 Million, SMEs are companies with annual gross revenues of up to RwF 600 Million while NBAs are not for profit entities like churches, NGOs and schools.

The table below presents a breakdown of the number of corporate loan and deposit accounts for the period indicated.

		Year ended 31 December		
Corporate Accounts	31 March 2011	2010	2009	2008
Loans	3,220	2,757	1,567	1,823
Deposits	8,638	5,873	4,968	5,236
Total Accounts	11,858	8,630	6,535	7,059

Source: Bank of Kigali

The table below shows the breakdown of corporate loans and deposits by client type as at the dates and in the amounts indicated below.

		Year ended 31 December		
Corporate Loans	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Corporates	61,549	61,817	46,033	46,608
SMEs	21,400	20,623	15,184	15,104
NBAs	2,430	2,349	5,700	3,500
Total Loans	85,379	84,789	66,917	65,212

Source: Bank of Kigali

		Year ended 31 December		
Corporate Deposits	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Corporates	83,224	76,533	58,737	52,868
SMEs	11,691	11,463	12,116	8,025
NBAs	13,111	11,281	10,781	8,750
Total Deposits	108,026	99,277	81,634	69,643

Source: Bank of Kigali

Economic Sector Risk Concentrations

The Bank serves corporate customers across all industry sectors in Rwanda. The table below shows the breakdown of the loan portfolio by industry as at the dates and for the periods indicated.

	31 March 2011		Year ended 31 December					
			2010		2009		2008	
RwF Millions	Amount	%	Amount	%	Amount	%	Amount	%
Manufacturing	11,116	10%	11,513	11%	9,747	12%	10,590	13%
Construction	31,245	28%	30,813	29%	21,281	26%	19,750	25%
Commerce, restaurants & hotels	53,293	48%	48,318	46%	37,573	46%	40,775	52%
Transport & Communication	7,632	7%	7,368	7%	6,989	9%	5,717	7%
Others	7,728	7%	7,515	7%	5,324	7%	1,979	3%
Total loans and advances	111,014	100%	105,527	100%	80,914	100%	78,811	100%

Source: Bank of Kigali

Deposit Taking Activity

The principal deposit products offered to corporate customers include:

- Demand deposits which do not bear interest; and
- Time deposits which currently earn up to 9.5 % per annum depending on their maturity and the amount deposited.

The table below shows a breakdown of corporate deposits as at the dates and for the periods indicated.

		Year ended 31 December		
Corporate Deposits	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Demand Deposits	74,415	70,309	55,676	49,266
Time Deposits	33,611	28,968	25,958	20,377
Total Deposits	108,026	99,277	81,634	69,643

Source: Bank of Kigali

Corporate Lending

The Bank avails credit to its corporate customers through various products as illustrated in the table below for the periods indicated.

		Year ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Capital Expenditure Loans	42,498	43,640	31,210	28,063
Commercial Mortgage Loans	17,489	18,118	19,209	16,744
Working Capital	17,034	14,892	13,354	14,655
Overdraft	8,358	8,139	3,144	5,750
Total Corporate Loans	85,379	84,789	66,917	65,212

Source: Bank of Kigali

The average interest rates on corporate loan products range from 15.0% to 17.25% as of 31 December 2010.

BUSINESS OVERVIEW

Loan Approval Procedure

The Bank evaluates borrowers on the basis of their credit history, financial conditions of their current operations, economic viability and feasibility of their business plans, quality of collateral, compliance with environmental, safety and social policies, and the primary source of repayment.

Applications for loans by corporate customers are initially submitted to the relationship officer responsible for the particular customer. The relationship officers undertake preliminary loan appraisal to ensure that all the relevant supporting data including financial statements, cash flow projections, confirmation of legal status and proof of ownership of collateral are included before submitting them to the credit analysts.

Credit analysts then carry out overall appraisal of applicants businesses assessing their suitability as customers of the Bank and appraising their business operations or projects to be funded as well as applicant's creditworthiness. Analysts then present their recommendation to the Credit Manager who conducts a further review to ensure that all policies and procedures have been complied with and a comprehensive analysis has been done.

Once the Credit Risk Manager's review is complete, the loan application and Credit Risk Manager's report are submitted to the appropriate level of the Credit committee, depending on the overall exposure. The Credit Committee then makes the final decision, which is signed by all members of the Credit Committee in attendance at the relevant meeting. However, for any loan application which would result in a single-customer exposure exceeding RwF 1,000 million, the approval of the full Board must be sought. A similar procedure is followed for retail loans, but since these loans are significantly smaller than corporate loans, they only need approval from the Management Committee and its subcommittee which include the Head of Credit and Head of Retail.

Monitoring

The Bank has procedures requiring regular monitoring of its loans and its loan portfolio pursuant to defined procedures. In addition to monitoring borrowers' compliance with their obligations under the relevant loans, the Bank reviews all available information on borrowers' activities, including annual financial reports. In relation to its loan portfolio, the Bank also monitors the level of non-performing loans and the concentration and volume of loans to any particular borrower, group of borrowers or industry sector.

Files in the performing and watch categories are actively managed by the corporate and retail relationship departments. In the event that a payment is not made when due, the borrower is contacted by one of the Bank's relationship officers to ascertain the reason for non-payment, and the Bank revises its rating of the borrower and the risk-weighting accorded to such borrower and adjusts its provisioning accordingly. Default interest accrues until payment is made. Those in substandard and doubtful categories are actively managed by the Credit Risk Department. Files in loss category are managed by the legal services section with the assistance of outsourced legal services providers.

Collateral

The Bank typically requires collateral as security for the loans and credit facilities that it grants. The main forms of security and collateral are mortgages, fixed assets and equipment, guarantees, rights to claim amounts on the borrower's current account with the Bank and, in the case of related parties, company's shareholders consent. Under the Bank's internal guidelines, collateral should be provided (where it is required) to cover outstanding liabilities during the entire duration of a transaction. The evaluation report of the proposed collateral, which is prepared by BNR approved Evaluation experts, is submitted to the Credit Committee, together with the loan application and credit analysts report.

The Credit Administration and security documentation officers are responsible for preparing mortgage agreements, monitoring and registering collateral taken with the Registrar General at RDB. When evaluating collateral, the Bank discounts 30% or 50% of the valued price of residential or commercial mortgages respectively in determining their fair value as stipulated in the BNR guidelines. The Bank is in the process of developing a collateral monitoring system. The frequency of a collateral review will depend on the type of collateral taken. In normal circumstances, collateral is generally expected to be realized within a maximum period of three to six months after procedures with the Registrar General for registered collateral or the commercial courts for unregistered collateral.

Breakdown of Loans and Advances to Customers by Type of Collateral

		Year Ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Loans Collateralised by:				
Real estate	45,979	38,549	13,446	15,257
residential real estate	5,509	4,322	1,585	1,831
other real estate	40,470	34,227	11,861	13,426
Cash Deposits	16,947	17,763	10,302	7,385
Guarantees	2,579	1,937	2,024	388
Banks	993	326	2,123	2,568
Unregistered collateral	40,778	42,731	49,466	48,226
Sub Total	107,276	101,306	77,361	73,824
Unsecured exposure	3,738	4,221	3,553	4,987
Gross Total Loans and Advances	111,014	105,527	80,914	78,811

Assessments of Provisions for Loan Impairment

Pursuant to BNR regulations, the Bank establishes provisions for impairment losses of financial assets when there is objective evidence that a financial asset or group of financial assets is impaired. The Bank creates provisions by reference to the particular borrower's financial condition and the number of days the relevant loan is overdue.

If in a subsequent period the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognised impairment loss is reversed.

The determination of provisions for impairment losses is based on BNR regulations and on an analysis of the assets at risk and reflects the amount which, in the judgment of Management, is adequate to provide for losses incurred. Provisions are made as a result of an individual appraisal of financial assets.

The change in impairment of interest earning assets is charged to the profit and loss account and the total impairment of interest earning assets is recognized through the use of an allowance account which is deducted in arriving at the net loan balances shown in the balance sheet. Factors that the Bank considers in determining whether there is objective evidence that an impairment loss event has occurred include BNR regulations, information about the debtors liquidity, solvency and business and financial risk exposures, levels of and trends in delinquencies for similar financial assets, national and local economic trends and conditions and the fair value of collateral and guarantees. These and other factors may, either individually or taken together, provide sufficient objective evidence that an impairment loss has been incurred in a financial asset or group of financial assets.

Estimates of losses involve an exercise of judgment. While it is possible that in particular periods the Bank may sustain impairment losses that are substantial relative to the allowance account for provisioning of interest earning assets, it is the judgment of Management that the allowance account for interest earning assets is adequate to absorb losses incurred on the assets at risk. The Bank monitors its loan portfolio on a monthly basis to determine whether estimates of losses should be increased or decreased.

Refer to Part Six for BNR regulation on provisions.

Refer to the Accountants' Report (Appendix II) for the IFRS requirements on provisions.

As of 31 March 2011, the Bank's allowance for loan impairment was RwF 6,113 million (including the RwF 1,000 million of general reserves created) or approximately 65.0% of the NPLs compared to RwF 4,124 million, coverage of 45.8 % as of 31 December 2010.

BUSINESS OVERVIEW

Movements in the provision for loan impairment

RwF Millions	Corporate loans	SME Loans	Loans to individuals				Other	Total
			Consumer	Mortgages	Micro overdrafts	Overdrafts		
Provision for loan impairment at 1 January 2008	5,372,836	1,285,336	149,094	39,126	7,801	18,207	1,096,079	7,968,478
Provision for impairment during the year	1,645,639	600,873	216,665	81,978	-	106,423	161,480	2,813,058
Amounts written off during the year as uncollectible	1,465,786	373,747	154,948	-	-	7	191,123	2,185,611
Recoveries during the year	1,604,577	51,818	144,743	58,798	1,991	4,915	12,509	1,879,351
Provision for loan impairment at 1 January 2009	3,948,112	1,460,644	66,068	62,306	5,810	119,707	1,053,927	6,716,574
Provision for impairment during the year	3,752,049	94,038	107,044	838,492	-	190,081	256,198	5,237,901
Amounts written off during the year as uncollectible	3,344,355	692,434	24,502	527,094	-	99,953	316,755	5,005,093
Recoveries during the year	2,281,387	-	52,481	-	5,494	76,043	715,937	3,131,342
Provision for loan impairment at 1 January 2010	2,074,418	862,248	96,128	373,703	316	133,793	277,433	3,818,040
Provision for impairment during the year	3,059,012	2,639,504	318,199	98,047	-	-	-	6,114,762
Amounts written off during the year as uncollectible	87,860	1,401,773	36,509	265,944	-	83,754	234,883	2,110,723
Recoveries during the period	2,637,611	607,927	319,146	133,373	6	-	-	3,698,063
Provision for loan impairment at 1 January 2011	2,407,959	1,492,052	58,672	72,434	310	50,039	42,550	4,124,016
Provision for impairment during the year	225,091	1,008,484	74,261	-	-	289,761	-	1,597,597
Recoveries during the period	280,424	-	-	-	-	312,266	16,328	609,018
Provision for loan impairment at 31 March 2011	2,352,626	2,500,536	132,933	72,434	310	27,534	26,222	5,112,595

Asset-Liability Management

Asset-liability management entails planning of the Bank's balance sheet in terms of the structure of the assets and liabilities and optimization of surplus funds.

Funding

The principal sources of funding for the bank are deposits from customers. Historically, the bank had had no access to long term funding given the absence of a developed domestic capital market in Rwanda and the lack of mobilization of funds from international markets. Customer deposits combined with capital and other similar instruments enables the Bank cover most of its liquidity requirements.

The table below shows the funding structure of the Bank as at the dates and the amounts indicated below.

	31 March 2011 RwF Millions	Year ended 31 December		
		2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Deposits	147,666	135,678	109,483	93,838
Due to banks	13,637	18,921	15,104	7,300
Shareholders' equity	32,785	31,870	21,184	15,897
Other	17,035	11,208	6,100	3,711
Total	211,123	197,677	151,871	120,746

Source: Bank of Kigali

To shore up its funding and to effectively manage its maturity gap, the Bank has secured the following sources of medium and long-term funding.

On 5 November 2009, the Bank signed a senior loan agreement with the European Investment Bank which allows the Bank to borrow the RwF equivalent of 5 million Euros for a 7 year term. The loan carries a fixed interest rate of 11%. The first drawdown occurred on 15 February 2011 and to date the Bank has drawn down Euro 2.1 million.

On 4 May 2011, the Bank signed a senior loan agreement with the Agence Française de Développement, which allows the Bank to borrow 20 million US dollars for a 10 year term. The loan carries a floating interest rate of LIBOR + 3.54%. No drawdown has occurred to date.

In addition, the Bank is in the process of negotiating a long-term credit line with the principal amount exceeding US\$ 10 million.

Treasury

The treasury function manages the Bank's surplus funds. As the capital markets in Rwanda are still at their infancy, there are limited products that the Bank can invest its surplus funds in. Currently, the Bank invests its funds in GoR treasury bills and bonds and holds them to maturity. The tenor on the longest available bond is 5 years.

The Bank is also an active dealer in the foreign currency market where it offers its clients spot foreign currency transactions on various foreign currencies.

The table below shows the financial investments portfolio for the period as at the dates and for the periods indicated.

		Year ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Treasury bills	9,986	1,444	3,648	4,495
Treasury Bonds	2,225	3,781	8,665	-
Total Financial Investments	12,211	5,225	12,313	4,495

Source: Bank of Kigali

Bank of Kigali's correspondent banking operations include trade financing and facilitating receipts and payments in foreign currencies on the Bank's account and on behalf of customers. Majority of the transactions are in USD, Euro and the GBP. Trade financing activities consist of import and export financing. Import financing generally involves letters of credit in the relevant foreign currency of the commercial transaction. Export financing generally involves pre-export financing, and consists of an advance to an exporter.

Information Technology

The Bank continuously invests in new technology and renewal of equipment and infrastructure in order to serve its customers effectively, improve profitability and grow its business.

The Bank's infrastructure environment can be divided into the following groups:

- **Data Centres** - The Bank's Data centre provides centralised banking solutions and other applications for all 33 branches and agencies. The data centre provides a secure and environmentally controlled facility to house the computing systems.
- **Data Communications** - The Bank uses a fiber optic backbone, WIMAX, leased lines and APN Access points for data communication to network all its branches and Head office. All branches and ATMs of Bank of Kigali are currently integrated and customers can carry out financial transactions (like obtaining statements, money, withdrawals and payments) in all branches and ATMs.
- **Information Security** - The Bank has put in place a robust Information Security Management System to ensure confidentiality, integrity, and availability of its IT resources. The security environment entails an authentication and authorization system based on mainframe infrastructure, a secure internal network protected by a complex set of firewalls, continuous monitoring of incoming traffic and protection of work stations with anti-virus software. The Bank has an updated IT Security Policy, standards and guidelines, which have been formulated to address the evolving threat landscape and its endeavour to provide safe technology enabled services to its customers.
- **Disaster Recovery Plan ("DRP")** - The Bank has implemented a DRP which includes setting of a hot disaster recovery site situated in one of the branches outside Kigali. The DRP aims at ensuring the Bank would continue its operations with minimal disruptions in the event of a disaster.

The table below shows information technology investment expenditure for the Bank for the periods indicated.

		Year ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
IT investment expenditure	1,333	1,760	1,038	797

Source: Bank of Kigali

BUSINESS OVERVIEW

Human Resources

Bank of Kigali recognises that its employees are its most important resource and are key to the achievement of the Bank's objectives. The achievement of the Bank's strategic objectives is dependent on having the right number of staff, with the right knowledge, skills and competencies deployed in the right roles and at the right time.

The Bank aims to attract and retain qualified and competent staffs who are dedicated to the values and objectives of the Bank and to their professional and career progression.

In order to achieve this, the Bank's staff is entitled to staff benefit scheme that includes the following:

- **Staff loans** - The Bank offers salary advances, personal loans, vehicle loans and mortgage loans to its staff. Staff loans preferential rate is pegged to the RRA reference rate (interbank commercial rate which is currently 7%) with a maximum tenor of 15 years. The maximum loan granted to an employee will be calculated based on his monthly net salary with the monthly instalment payment not exceeding 30% of the net salary while also considering the remaining period before the staff reaches the retirement age. The collateral required depends on the retail lending product but collateral must be provided for all loan products that require collateral. As at 31 March 2011, RwF 137 million of staff loans was uncollateralized, representing 7% of total staff loans. The uncollateralized loans are salary advances which are usually one month's net salary and are repayable within three months.

Staff Loans	31 March 2011 RwF Millions
Secured Loans	1,830
Unsecured Loans	137
Total	1,967

- **Free medical cover** - The Bank maintains an in house dispensary that provides full medical cover to all staff and up to four dependants. In the event that the in house dispensary cannot meet an employee's medical needs, the Bank will pay for medical care provided externally but within Rwanda. For the three months ending on 31 March 2011, total medical expenses were RwF 33 million and RwF 134 million for the 12 months ending on 31 December 2010.

		Year ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
Medical fees	22	96	62	31
Pharmacy fees	11	38	48	38
Total staff medical fees	33	134	110	69
Per capita medical fees (RwF)	72.33	294.03	364.47	235.79

Source: Bank of Kigali

- **Defined Contribution Plan** - The Bank offers retirement pension to employees. The Bank's participation is fixed at 5% of the employee's gross salary while the worker's contribution is fixed at 3% of his/her gross salary. Additionally, the Bank contributes 5% of the employee's net salary to a defined contribution scheme managed by an insurance provider while the employee's contribution is 3% of the net salary.

		Year ended 31 December		
	31 March 2011 RwF Millions	2010 RwF Millions	2009 RwF Millions	2008 RwF Millions
NSSF	77	161	112	97
Complementary pension	34	118	65	48
Total	111	279	177	145

Source: Bank of Kigali

- **Annual performance bonus** - All staff members are entitled to receive an annual performance bonus. In 2010, the annual performance bonus was set by the Directors at 8% of the pre-bonus profit before tax and has been set by the Directors at 15% of profit before tax for 2011. There were 441 bonus recipients in 2010 and 294 recipients in 2009. In the event that the profit target is not reached, this bonus is reduced to reflect the shortfall from the target.

	2010	2009
	RwF Millions	RwF Millions
Minimum	0.2	0.2
Maximum	25	20
Average	2	1

- **Training and development** - The Bank has a policy of providing continuous training to its employees in order to enable them to improve their skills to create a more efficient team, committed to values of the Bank. Every employee of the Bank is required to attend a minimum of two operational trainings per year.

Performance management entails setting objectives based on the balanced scorecard principles which include: financial, customer, internal processes, learning and growth and personal values key performance indicators. The evaluation of performance is carried out half-yearly in order to address areas that may need improvement and at year end.

As of 31 December 2010, the Bank had 454 full time, permanent employees and this number stood at 447 as of 31 March 2011. The table below shows the breakdown of the Bank's full time permanent employees for the dates indicated.

		Year ended 31 December		
	31 March 2011	2010	2009	2008
Front Office	264	266	203	200
Back Office	152	157	84	82
Support Staff	31	31	16	13
Total Employees	447	454	303	295

Source: Bank of Kigali

Subject to the rules of the ESOP, Employees will be entitled to acquire additional Shares under the ESOP as more particularly described in part one of this Prospectus.

Risk Management

Refer to the Accountants Report, Appendix II for detailed information on the Bank's risk management.

Anti-Money Laundering Procedures

The Bank has procedures and operative documents aimed at preventing money laundering and terrorist financing in accordance with the Rwandan Law No 47/2008, including a general anti-money laundering policy and internal control procedures and rules on counteracting money laundering and financing of individuals and legal entities engaged in terrorist activities.

Anti-money laundering procedures include:

- "*know-your-customer*" procedures that require clear identification of clients, verification of their identity and appraisal of risk of their engaging in money laundering and/or terrorist financing;
- "*know your correspondent bank*" procedures that carefully screen the Bank's potential partners with regard to their anti-money laundering policies and prohibits dealing with shell banks; and
- "*know your beneficiary*" procedures that require clear identification of the beneficiary in a transaction. The Bank practices a risk-based approach and therefore enhanced due diligence procedures are implemented if the risk of particular clients engaging in money laundering and/or terrorist financing is determined to be significant. The Bank also holds staff accountable with regard to KYC and AML.

The policy lists the list of suspicious transactions that Employees must look out for, requires extra vigilance for politically exposed people and prohibits the opening of anonymous accounts and requires that the Bank retains all records. The Bank must retain information on all clients and transactions in which they engage, which facilitates identification of unusual transactions. Such legislation requires the Bank to monitor and report suspicious transactions and activity as defined by the AML policy.

The Bank's Compliance Department monitors client transactions and the activities of all of the Bank's departments for compliance with applicable Rwandan anti-money laundering legislation. The Bank's other departments notify the Compliance Department of suspicious transactions, using the criteria set out in the Bank's internal anti-money laundering regulations. The Compliance Department pays particular attention to transactions involving large sums of money or significant amounts of cash. If monitoring indicates that a client may be engaged in money-laundering or terrorist financing, the level of monitoring of such client is increased. Activities are analysed on an ongoing basis, which allows detection of money-laundering schemes. If necessary, the Compliance Department obtains additional information about a particular transaction's purpose and/or suspends suspicious transactions. The Bank's Compliance Department also provides education and training of personnel regarding the Bank's anti-money laundering procedures.

BUSINESS OVERVIEW

Internal Audit Function

The Internal Audit Department reports directly to the Board. It is responsible for assessing the Bank's internal controls. This ensures the effectiveness of the Bank's operations, reliability of financial and regulatory reporting, safeguard of its assets and compliance with relevant laws, regulations and institutional policies.

As part of its auditing procedures, the Internal Audit Department is responsible for the following:

- Identifying and assessing potential risks regarding the bank's operations;
- Reviewing the adequacy of the existing controls established in order to ensure compliance with the bank's policies, plans, procedures and business objectives;
- Developing internal auditing standards and methodologies;
- Carrying out planned and random inspections of the bank's branches and subdivisions and auditing its subsidiaries;
- Analysing the quality of the bank's products;
- Participating in external audits and inspections by the bnr;
- Making recommendations to management on the basis of external and internal audits to improve internal controls; and
- Monitoring the implementation of auditors' recommendations.

The Board Audit & Risk committee meets on a quarterly basis and the Internal Audit findings are presented to the Audit & Risk committee.

The Internal Audit function also reports on a monthly basis to management:

- a) Current audit engagements & investigations;
- b) Follow ups of implementation of Internal & external audit recommendations; and
- c) Follow ups of implementation of regulatory inspections recommendations.

PART THREE
SHAREHOLDERS, BOARD OF DIRECTORS, SENIOR
MANAGEMENT AND CORPORATE GOVERNANCE

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

Shareholders

Ownership of issued share capital in the Bank

As at the date of this Prospectus the issued share capital and voting rights in the Bank are held as follows:

SHAREHOLDER	NUMBER OF SHARES	% OF ISSUED SHARES
Government of Rwanda	332,002,000	66.33
Caisse Sociale Du Rwanda	168,443,000	33.65
Prime Holding SARL	11,000	0.002
OCIR Café	11,000	0.002
OCIR The	11,000	0.002
Office National des Postes	11,000	0.002
RAMA	11,000	0.002
TOTAL	500,500,000	100.00

Voting Rights

Each Shareholder is entitled to attend general meetings of the Bank and on a poll shall have one vote for each share held.

General Meetings of the Bank

The AGM is held within 6 months of the end of each financial year. EGMs may be called by the Board or on requisition of holders of at least 10% of the voting rights in the Bank. For more details on the general meetings of the Bank refer to the Extracts of the Articles of Association (Appendix V).

Board of Directors of the Bank

Under the Bank's Articles of Association, the Board of Directors is required to consist of a minimum of five directors and a maximum of eleven directors. The Board meets quarterly or may meet more often if the Chairman or a majority of the Board call for a meeting. For more details on Board of Directors of the Bank refer to the Extracts of the Articles of Association (Appendix V).

The table below contains the names, positions and academic/professional qualifications of the Directors.

Name	Year of Birth	Position / Shareholders Representative	Committee Membership	Academic/ Professional Qualification
Lado GURGENIDZE	1970	Chairman and Non-Executive Director	-	MBA
Marc HOLTZMAN	1960	Non- Executive Director	-	BA (Economics)
Sudadi S. KAYITANA	1975	Non- Executive Director	Audit and Risk; Credit	Associate degree in Accounting, ACCA, MCIPS
Perrine MUKANKUSI	1964	Non- Executive Director	Nominations and Remuneration; Asset-Liability Management	MBA, BCOM
Dativa MUKESHIMANA	1968	Non- Executive Director	Audit and Risk; Asset-Liability Management	MSc (Project Management), Bachelor's degree in Economics, with major in money and Banking
Alphonsine NIYIGENA	1970	Non- Executive Director	Audit and Risk; Credit	MBA (Finance)
Apollo M. NKUNDA	1975	Non- Executive Director	Audit and Risk; Nominations and Remuneration	Master's degree in Business and Trade law, LLB
Caleb RWAMUGANZA	1977	Non- Executive Director	Credit; Asset-Liability Management	MA (Management and Finance), Bachelor's degree in Accounting.

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

Board Committees

In line with the BNR guidelines 06/2008 on corporate governance, four Board Committees are in place to support the board in performing its functions particularly in respect to Audit and Risk Management, Credit Risk Management, Asset and Liability Management and Nominations and Remuneration. Setting up and performance of board committees remains instrumental in reinforcing the performance of the Board and underpins its critical responsibilities. In this respect, the board committees have terms of reference which underscore the scope and context of their performance as approved by the board and corporate governance regulation.

Audit and Risk Committee

This is the principal Board Committee that comprises four independent non executive directors. The Committee meets on quarterly basis or more frequently as its business demands. The mandate of the Audit and Risk Committee is to:

- a) Oversee the Bank's financial reporting policies and internal controls;
- b) Review and make recommendations on management internal control programmes
- c) Established to monitor compliance;
- d) Appointment and review of the work of the external auditors;
- e) Review of the work of the internal auditors;
- f) Oversee the development of risk management policies and programmes; and
- g) Identify, monitor and control risk management within the Bank.

The members of the Audit and Risk committee are:

- Sudadi KAYITANA - Chairman;
- Apollo NKUNDA - Member;
- Alphonsine NIYIGENA - Member; and
- Dativa MUKESHIMANA - Member

Credit Committee

The Committee comprises three independent non-executive directors. The Committee meets on monthly basis or as required by the business demands. The functions of the Committee include appraisal and approval of credit applications. The Committee also monitors and reviews credit risk, non-performing assets and ensures adequate provisions are held against identifiable losses in accordance with BNR guidelines. Credit facilities in excess of RwF 250 million require board review and approval through its Board Credit Committee.

In addition, the Board recently revised the Credit Committee threshold, referring the following borrowings to the full Board:

- a) Any new loan facility exceeding of RwF 1 billion and above;
- b) Any additional financing to an existing customer that already has a loan facility of RwF 1 billion and above; and
- c) Any additional financing that would increase the loan facilities to over RwF 1 billion.

The members of the Credit Committee are:

- Sudadi KAYITANA - Chairman;
- Caleb RWAMUGANZA – Member; and
- Alphonsine NIYIGENA - Member

Nominations and Remuneration Committee

The Committee comprises two independent non-executive directors. The nominations and remuneration committee reviews and recommends the remuneration for directors based on the responsibilities allocated to them. The committee carries out regular reviews to ensure that it adequately compensates the directors for the time spent on the affairs of the Bank. The committee also approves the HR policies and remuneration of management and staff of the Bank. The committee meets once a year or more frequently as the business demands.

The members of the nominations and remuneration committee are:

- Apollo NKUNDA - Chairman; and
- Perrine MUKANKUSI - Member

Asset-Liability Management Committee

The Board Asset-Liability Management Committee comprises three independent non-executive directors. The Committee meets quarterly or more frequently as appropriate to monitor and manage the Bank's balance sheet to ensure that various business risks

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

such as liquidity, capital, market and currency risks are monitored and managed.

The members of the assets-liability committee are:

- Caleb RWAMUGANZA - Chairman
- Perrine MUKANKUSI - Member; and
- Dativa MUKESHIMANA - Member

The Board may appoint ad-hoc Committees. For this IPO, the Board nominated an IPO Committee to guide the Board on selection of advisers and the IPO process

Directors' Profiles

Set forth below are the biographies of the Directors.

Lado GURGENIDZE, Chairman of the Board

Mr. GURGENIDZE is Georgian and British and was born in 1970. Mr. GURGENIDZE became chairman of the Board in October 2009. He is a career banker who after a decade spent at several investment banks in Eastern Europe and London, returned to his native Georgia in 2004 and spearheaded in 2004-2007, as Executive Chairman and Chief Executive Officer, a turnaround of Bank of Georgia (LSE: BGEO) and its evolution into the largest bank in country with a 34% market share and market capitalisation exceeding US\$900 million at the time of his departure.

Mr. GURGENIDZE served in 2007-2008 as Prime Minister of Georgia, leading the Georgian economy through the final stage of free-market reforms, including tax cuts, financial services sector reform as well as aggressive privatisation and liberalisation policies.

Since he stepped down as Prime Minister, Mr. GURGENIDZE has been a frequent public speaker on issues of economic liberty and free-market reforms in developing countries and co-chaired in 2009 – 2010, the Emory Center for Alternative Investments.

In September 2009, Mr. GURGENIDZE co-founded Liberty Investments, an investment company focusing on financial services institutions in frontier markets with low corruption, low taxes and open economies. Mr. GURGENIDZE serves as Executive Chairman and CEO of Liberty Bank, the fifth largest bank in Georgia serving approximately 1.3 million clients through over 231 branches.

Mr. GURGENIDZE is the only individual to have been decorated with the Victory Order of St George (in 2008) and the Presidential Order of Excellence (in 2010), the two highest civilian honors in Georgia.

He obtained an MBA from Goizueta Business School of Emory University in 1993, following undergraduate studies at Middlebury College and Tbilisi State University.

Marc HOLTZMAN, Non-Executive Director

Mr. HOLTZMAN is American and was born in 1960. He is the Vice Chairman of Barclays Capital. Prior to joining Barclays Capital in August 2008, he served as Vice Chairman of ABN Amro Bank. He was also co-founder and President of MeesPierson EurAmerica and a Senior Adviser to Salomon Brothers.

Drawing on his early experience in helping develop Central Asia's finance sector, Mr. HOLTZMAN was appointed by Kazakhstan's Prime Minister to serve on the Board of Trustees of The Almaty Regional Financial Centre. In addition, Mr. HOLTZMAN serves as non-executive Chairman of Indus, a leading Indian oil and gas company listed on London's AIM market and as Chairman of CSM GlobalPharma which just embarked on a \$65 million investment in Rwanda to create Sub Saharan Africa's most modern state of the art pharmaceutical manufacturing facility. CSM GlobalPharma has similar projects under development in Poland, Egypt, Zambia, Russia and Mongolia. Mr. Holtzman is also a Member of the Board of Prospect Global Resources, a US based natural resources and mining company.

Mr. HOLTZMAN and his wife Kristen have been active supporters of and fundraisers for The Point Foundation, a UK based philanthropic organization dedicated to rebuilding and funding educational efforts at three Rwandan orphanages. Mr. HOLTZMAN also serves as a member of The Board of Trustees of The Colorado Animal Rescue Shelter.

Mr. HOLTZMAN is widely recognized as a leading authority on economic and political developments in emerging markets. On January 24, 1999, President Aleksander Kwasniewski presented Mr. HOLTZMAN with *The Commander's Cross of the Order of Merit* --- Poland's highest civilian honor for his service to the country. He also served as President of The University of Denver and as Colorado's first Secretary of Technology. Mr. HOLTZMAN draws on almost three decades of political and public service in The United States.

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

He holds a Bachelor of Arts degree in Economics from Lehigh University.

Sudadi S. KAYITANA, Non-Executive Director

Mr. KAYITANA is Rwandan and was born in 1975. He is a practising Accountant with wide experience in finance and audit. He has served in public and private sectors including having worked for the UNDP.

He is a Chartered Accountant (ACCA), qualified professional of supply chain management and is a member of the Institute of Purchasing and Supply (MCIPS). He also holds an Associate degree in Accounting from the National University of Rwanda.

Perrine MUKANKUSI, Non-Executive Director

Ms. MUKANKUSI is Rwandan and was born in 1964. She is an Economic Researcher in the Prime Minister's Office with wide experience in planning, monitoring and evaluation. She held various positions in the Ministry for over 10 years and was Director for Planning in the Ministry of Justice for over 5 years.

She has experience in coordination of projects and programmes, performance reviews at policy and strategic levels.

Ms. MUKANKUSI holds a Master's degree in Business Administration from the School of Finance and Banking in Rwanda and a Bachelor of Commerce degree from Kigali Institute of Science and Technology and Management.

Dativa MUKESHIMANA, Non-Executive Director

Ms. MUKESHIMANA is Rwandan and was born in 1968. She is the Executive Secretary for Duterimbere Asbl, a women's entrepreneurial association and an MFI in Rwanda. Dativa has vast experience with programme management and financing of NGOs.

Ms. MUKESHIMANA has managed institutional finances including resource mobilization and has managed human resources at operation and strategic levels.

She holds a Bachelor's degree in Economics majoring in Money and Banking, from Kigali Independent University and Master of Science degree in Project Management from Bujumbura University in partnership with the InterUniversity Centre of Development Studies of Craydon Australia.

Alphonsine NIYIGENA, Non-Executive Director

Ms. NIYIGENA is Rwandan and was born in 1970. She is the chairperson of the Union Investments Corporation (UIC), Chairperson of Liberal Professionals Chamber, one of the nine chambers of the Rwanda Private Sector Federation.

She serves as Board Member of Motor Guarantee Fund and Rwanda Institute of Administration and Management (RIAM) and Private Sector Federation of Rwanda.

She is the Managing Director of WorldWide Initiatives SARL, a regional consulting firm registered in Rwanda and has conducted consultancies nationally and internationally as an independent consultant in the areas of finance, economic planning and audit. Prior to joining the private sector, Ms. Niyigena served in the Office of Auditor General for 5 years as senior auditor and team leader.

She holds a Master's Degree in Business Administration majoring in Finance from Maastricht University, Netherlands.

Apollo M. NKUNDA, Non-Executive Director

Mr. NKUNDA is Rwandan and was born in 1975. He is a practising lawyer and a partner with Trust Law Chambers. Mr. NKUNDA has over ten years experience in legal practice from both the public and private sector. He specialises in banking and finance law, labour law and government procurement. Prior to joining the private sector, he was head of legal services the National Tender Board, now the Rwanda Procurement Authority.

He holds a Master's in Laws degree in Business and Trade law from Erasmus University Rotterdam, the Netherlands, and a Bachelors of Laws degree from the National University of Rwanda.

He is a member of the Rwanda Bar Association, the East African Law Society, an associate member of the Chartered Institute of Purchasing and Supply, a founding member of the Centre for Arbitration and honorary counsel to the Kigali Golf Club.

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

Caleb RWAMUGANZA, Non-Executive Director

Mr. RWAMUGANZA is Rwandan and was born in 1977. He is the Deputy Accountant General, Treasury Management at MINECOFIN. He has extensive experience in the area of Accounting and Finance and has served in MINECOFIN since 2005 in various capacities including as Technical Assistant to the Secretary to the Treasury. Prior to that, he was Chief Accountant in the Office of the President.

Mr RWAMUGANZA acts as lead negotiator on Government loans, manages execution of public debt obligations and implementation of debt related policy matters.

He holds a Masters of Arts degree in Management and Finance from Southampton Solent University (UK) and a Bachelor of Business Administration degree in Accounting from Nkumba University, Uganda.

Directors Declaration

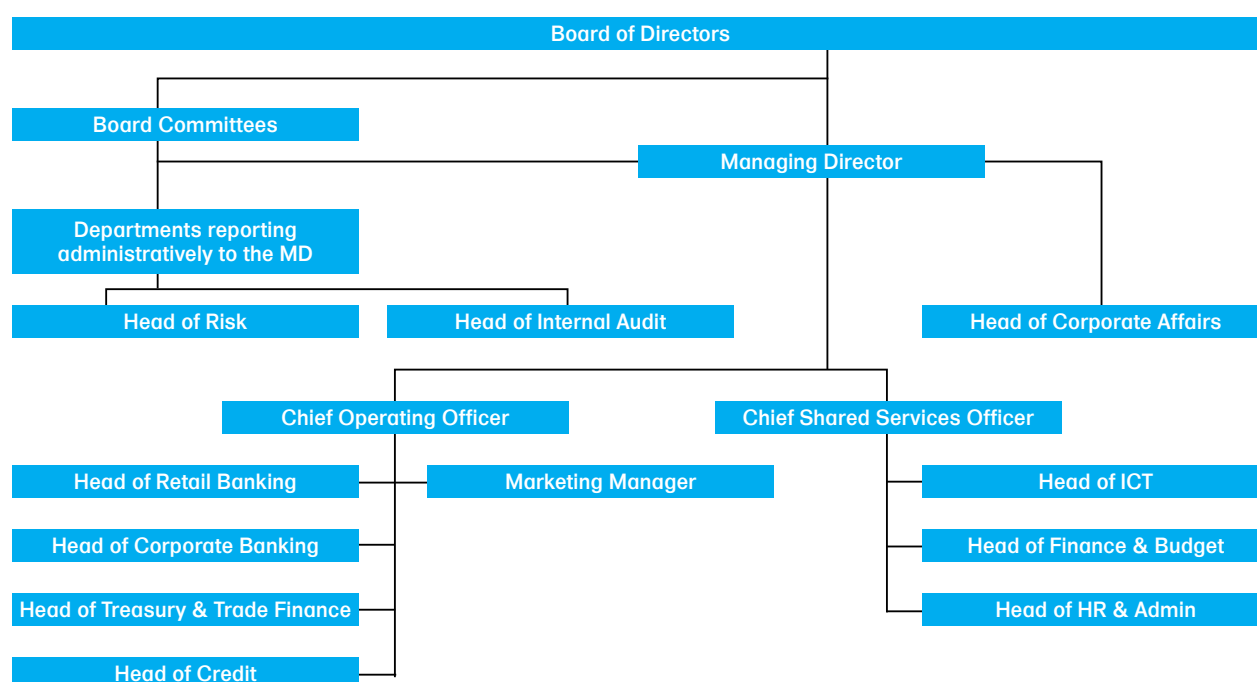
None of the Directors has been, nor is currently, the subject of a filing of a petition for bankruptcy. None of the directors has been convicted of a criminal offence, nor is any director the subject of current criminal proceedings. None of the Directors has been ruled temporarily or permanently unfit to engage in any business practices.

Directors Interest

As of the date of this Prospectus, none of the Directors of the Bank holds a direct or indirect interest in the share capital of the Bank. Other than the ESOP as detailed in Part One of this Prospectus, the Directors do not have any other interest in the Bank.

Management

Below is the management structure of the Bank.



Source: Bank of Kigali

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

The table below contains the names, positions, academic and professional qualifications of the senior management of the Bank.

Name	Year of Birth	Position / Shareholders Representative	Academic/ Professional Qualification
James GATERA	1957	Managing Director	BA, BCOM
Lawson NAIBO	1959	Chief Operating officer	MBA (Strategic Management), BSc (Financial Services), Qualified Accountant and Chartered Banker
Louis RUGERINYANGE	1954	Chief Shared Services Officer	BA(Economics)
Flora NSINGA	1975	Head of HR & Administration	Bachelors Degree in Business Administration (BBA)
John Kaijuka BUGUNYA	1980	Head of Finance & Budget	MBA (Accounting and Finance), ACCA, BBA
Adolphe NGUNGA	1966	Head of Retail Banking	Bachelors Degree in Economics
Martin KANA MULISA	1970	Head of Corporate Banking	MBA , Degree (Management)
Innocent MUSOMINARI	1966	Head of Credit Department	BA (Economics)
Alex NGABONZIZA	1972	Head of ICT	Bachelors Degree (Technical Electro-Mechanical Engineering and IT)
Frances IHOGOZA	1975	Head of Corporate Affairs/Company Secretary	Masters Degree in Public Administration, BCOM
Gerard NYANGEZI	1961	Head of Internal Audit	BCOM, ACCA, ICPAR
Yves GATSIMBANYI	1968	Head of Risk & Compliance	Bachelors Degree in Economics

Profiles of Management

James GATERA, Managing Director

Mr. GATERA is Rwandan and was born in 1957. He became Managing Director of the Bank in 2007. He is a progressive leader with a consistent record of successfully leading complex organisations through change. Under his stewardship, the Bank has been internationally recognised as the ‘Best Bank in Rwanda’ by *emeafinance* and won in 2009 and 2010 the Rwanda ‘Bank of the Year’ award for Rwanda by *The Banker* Magazine of London.

He has vast experience in Corporate Governance and serves on boards of various entities. He is the Chairman of the board of directors of the Office National des Postes. He also serves as a non-executive director on various boards including; Commonwealth Business Council, RAMA, Rwanda Geology and Mines Authority (OGMR) and Magasins Generaux du Rwanda S.A. (MAGERWA).

Mr. GATERA holds a Bachelor of Arts degree in Psychology from Simon Fraser University, Canada and Bachelor of Commerce from National University of Lesotho.

Lawson NAIBO, Chief Operating officer

Mr. NAIBO is Kenyan and was born in 1959. He joined the Bank in 2009 and has wide experience in strategic management processes, financial accounting advisory, corporate governance, risk management and compliance gained over a period of 15 years. Prior to joining the Bank, he was an Associate Director specializing in transaction services due diligence at KPMG in Nairobi. Mr. NAIBO is a qualified business strategy and financial services advisor.

He holds an MBA degree in Strategic Management from University of Nairobi and Bachelor of Science degree in Financial Services from University of Manchester Institute of Science and Technology. He is also a qualified Accountant and Chartered Banker.

Louis RUGERINYANGE, Chief Shared Services Officer

Mr. RUGERINYANGE is Rwandan and was born in 1954. He has been with the Bank for over 30 years, serving in various capacities including a range of management positions. Prior to holding his new role as Chief Shared Services Officer, Louis was the Head of Human Resources & Administration and was responsible for growth in staff numbers and branch network in the Bank over the years. He also played a key leadership role during the 2009 organizational restructuring.

Mr. RUGERINYANGE holds a Bachelors’ degree in Economics from the National University of Rwanda.

Management is aware that Mr. RUGERINYANGE is planning to retire and is formulating a succession plan.

Flora NSINGA, Head of Human Resources & Administration

Ms. NSINGA is Rwandan and was born in 1975. She has been with the Bank since 2008. Prior to joining the Bank, she worked in the telecommunications industry and has about 10 years of experience in Human Resources.

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

Ms. NSINGA has been responsible for growth in branch network and staff since 2008 and she was a focal point in managing the consultants charged with organisational reforms in 2009. She is also responsible for the growth of the branch infrastructure which has seen the Bank's branch network grow from 14 in 2008 to 33 in 2010. She has overseen the Bank's strategic human resources restructuring from a product driven structure to a customer focused structure. In addition, she has overseen the supply and demand side of the Bank's human capital with staff complement of 284 in 2008 to 457 in 2010.

She holds a Bachelor's degree in Business Administration with specialisation in Human Resources from Kigali Institute of Science, Technology and Management.

John Kajjuka BUGUNYA, Head of Finance & Budget

Mr. BUGUNYA is Rwandan and was born in 1980. He has been with the Bank since 2009. He has a wealth of experience from the financial sector having served as a financial consultant and Audit Manager at Ernst & Young in Uganda and the United Kingdom respectively.

He holds a Bachelors degree in Business Administration from Makerere University, and an MBA degree in Accounting & Finance, from Oxford Brookes University, UK. He is also a member of the Association of Certified Chartered Accountants (ACCA).

Adolphe NGUNGA, Head of Retail Banking

Mr. NGUNGA is Rwandan and was born in 1966. He has been in the Bank for over 10 years. During this time he has been responsible for among others, branch management, corporate banking and operations. Prior to joining the Bank, he worked in the banking industry in Burundi.

He is a holder of a Bachelor's degree in Economics from the University of Bujumbura in Burundi.

Martin KANA MULISA, Head of Corporate Banking

Mr. MULISA is Rwandan and was born in 1970. He has been with the Bank since 2009. He has wide experience in credit analysis, relationship management and corporate banking gained from his service in various management positions within the Rwandan banking sector.

Mr. MULISA holds a MBA degree from the School of Finance and Banking in Rwanda and a Bachelor's degree in Management from the National University of Rwanda.

Innocent MUSOMINARI, Head of Credit Department

Mr. MUSOMINARI is Rwandan and was born in 1966. He has been with the Bank since 2004 and has wide experience in credit analysis and management which he gained from working in the Rwandan Banking sector for over seven years.

He holds a Bachelor's degree in Economics from the National University of Rwanda.

Alex NGABONZIZA, Head of ICT

Mr. NGABONZIZA is Rwandan and was born in 1972. He has been with the Bank since 2009. Prior to joining the Bank, he was Head of the Applications Division at the Rwanda Revenue Authority.

He holds a Bachelor's degree in Technical Electro-mechanical Engineering and Information Technology, from the National University of Rwanda.

Frances IHOGOZA, Head of Corporate Affairs/Company Secretary

Ms. IHOGOZA is Rwandan and was born in 1975. She joined the Bank in 2009 with 10 years of experience in public services management. She has served as a Non-Executive Director on the Boards of Directors of various organisations and is trained in Corporate Governance.

She has been instrumental in establishing professional company secretarial services and in-house legal counsel section at the Bank. In addition, in her role as Head of Corporate Affairs she has overseen the development and implementation of the corporate social responsibility policy of the Bank.

Ms. IHOGOZA holds a Masters degree in Public Administration from the University of Liverpool, UK and Bachelor of Commerce degree from Kigali Institute of Science Technology and Management.

SHAREHOLDERS, DIRECTORS, MANAGEMENT & CORPORATE GOVERNANCE

Gerald NYANGEZI, Head of Internal Audit

Mr. NYANGEZI is Rwandan and was born in 1961. He joined the Bank in 2009 and has over 10 years experience in Audit and Finance.

He holds a Bachelor of Commerce degree from Makerere University and a Bachelor of Accounting degree from Transkei University. He is also a member of the Association of Certified Chartered Accountants – UK (ACCA) and Institute of Certified Public Accountants – Rwanda (ICPAR).

Yves GATSIMBANYI, Head of Risk & Compliance

Mr. GATSIMBANYI is Rwandan and was born in 1968. He joined the Bank in early 2010. He has vast experience in the banking sector having served as a bank examiner at BNR for 10 years. Prior to joining the Bank, he worked in the Internal Control and Compliance Department at BNR.

He holds a Bachelor's degree in Economics from the National University of Rwanda.

PART FOUR
COUNTRY OVERVIEW

Political Environment

Rwanda is considered to be a political stable country with a democratic parliamentary system and an independent judicial system. The GoR is committed to effectiveness in service delivery, zero tolerance for corruption, equity, transparency and accountability to ensure sustainable development for all.

The Economy

Rwanda has made substantial progress in stabilizing and rehabilitating its economy since the 1994 genocide. GDP has rebounded and inflation has been curbed. Rwanda is perceived to be at an advanced stage of rehabilitation and is looking to a bright future. Foreign exchange controls have been removed and the banking system is sound and thriving. The country's Vision 2020 objective is to transform the economy from its 90% dependence on subsistence agriculture into a broad based economic engine.

Structure of Rwanda's Economy

The table below shows the percentage contribution to GDP of the agricultural, industrial and services sectors as well as their respective real annual growth rates for the period 2006 to 2010.

Breakdown of GDP by sector for the period 2006 to 2010

STATISTIC	2006	2007	2008	2009	2010
GDP real growth rate	9.2%	7.7%	11.5%	6.1%	7.5%
Agriculture					
% contribution to GDP	38%	36%	32%	34%	32%
Real growth rate	3%	3%	6%	8%	5%
Industry					
% contribution to GDP	14%	14%	15%	14%	15%
Real growth rate	12%	9%	15%	1%	8%
Services					
% contribution to GDP	42%	45%	46%	46%	47%
Real growth rate	13%	12%	15%	6%	10%
Adjustments					
Less: Imputed bank service charge	6%	6%	6%	6%	6%
Plus: VAT and other taxes on products					

Source: NISR

Recent Economic Performance

GDP growth in 2010 was driven by continuing good performance in the agricultural production and significant recovery in services and industry sectors¹.

A Statistical snapshot of Rwanda for the period 2006 to 2010

STATISTIC	2006	2007	2008	2009	2010
Nominal GDP (US\$ in billions)	3.1	3.7	4.7	5.3	5.6
Real GDP Growth	9.2%	7.7%	11.5%	6.1%	7.5%
Population (millions)	9.2	9.6	9.8	10.1	10.4
GDP per Capita (US\$)	333	391	479	520	540
Consumer Price Inflation (annual average)	8.8%	9.1%	15.4%	10.3%	2.3%
Exchange Rate RwF/ 1US\$ (annual average)	558	547	547	568	583

Source: NISR and BNR

Inflation

The Government's fiscal and monetary policy management and coordination has managed to limit inflationary pressures. Inflation fell steadily from 10.3% in 2009 to an estimated 2.3% in 2010 (at average consumer prices). The reduction is attributable to declining food prices during the year following improved harvests².

¹BNR

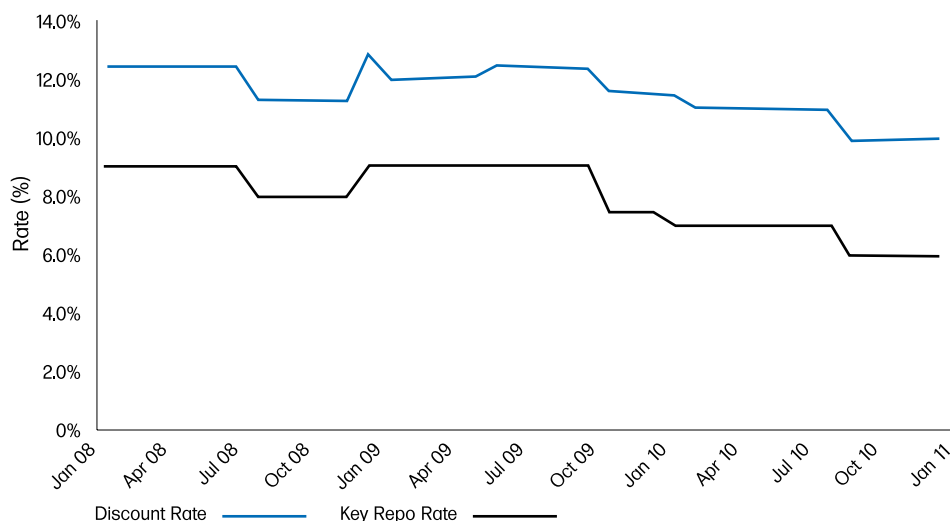
²EIU

COUNTRY OVERVIEW

Monetary Policy

BNR uses the key repo rate and discount rate as its key monetary policy tools. The key repo rate is the rate of interest that banks earn from deposits placed with BNR. The discount rate is the rate of interest that BNR charges banks for short term accommodation. The BNR cut the key repo rate twice in 2010 from 7.5% to 7.0% in April and again in November to 6.0% in a move to stimulate lending in the private-sector. The chart below depicts the changes in BNR policy rates from 2008 – 2010.

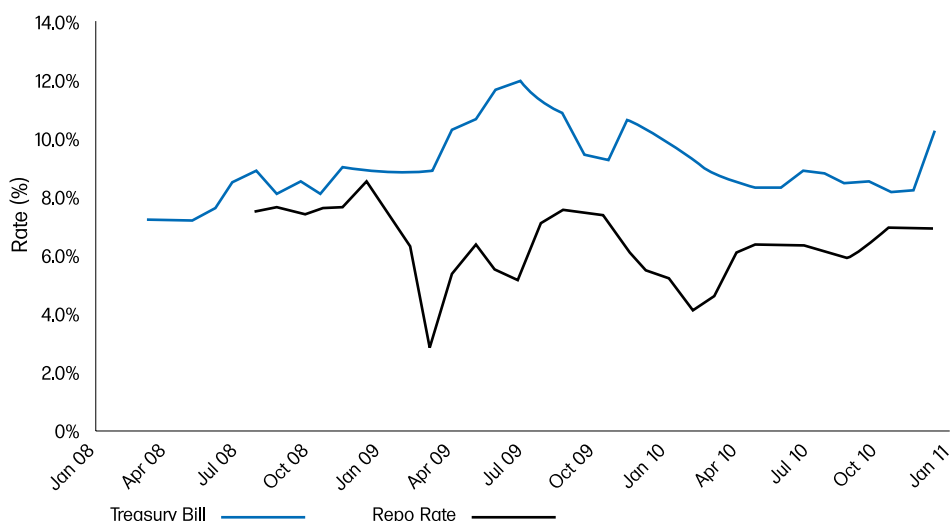
BNR Policy Rates



Source: BNR

The repo rate is the actual average rate that banks earn from deposits placed with BNR. The T-bill rate is the discount rate offered on treasury bills. The chart below depicts the treasury bill and repo rates from 2008 – 2010.

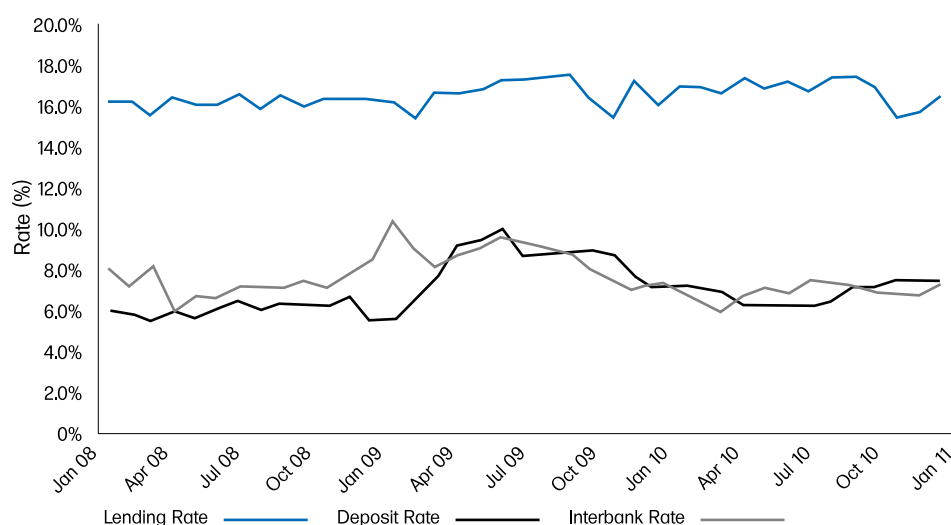
Money Market Rates



Source: BNR

The chart below show the average commercial bank lending, deposit and inter-bank rates from 2008 – 2010.

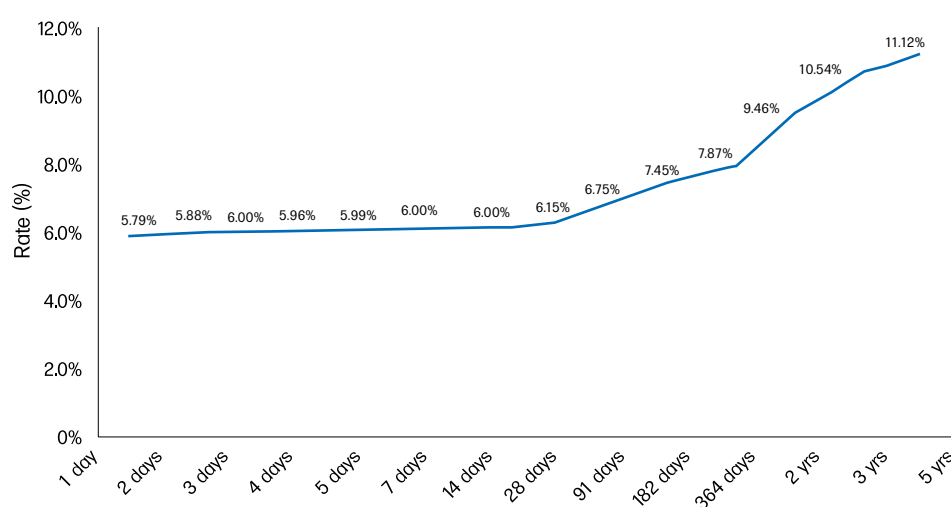
Commercial Bank Rates



Source: BNR

The chart below shows the domestic market interest rate yield curve as of 29 December 2010.

Domestic Market Interest Rates Yield Curve as at 29 December 2010



Source: BNR, Financial Markets Department

Fiscal Policy

The Government's overall macroeconomic strategy continues to focus on reinforcing economic growth by stimulating domestic sources of growth, promoting higher productivity and helping to stabilize the economy. In 2010, domestic revenues increased by 13.6% from RwF 379,300 million in 2009 to RwF 430,800 million.

Rwanda's fiscal deficit position deteriorated from 12.4% of GDP in 2009 to 13.8% of GDP in 2010. However, total grants received increased from RwF 347,400 million in 2009 to RwF 397,400 million in 2010. The increase in the fiscal deficit is attributable to an increase in Government spending from RwF 750,900 million in 2009 to RwF 887,700 million in 2010 or 18.2%³.

In 2010, the IMF approved a three-year unfunded Policy Support Instrument ("PSI") for Rwanda, thereby allowing the Fund to provide technical input into the Country's budgeting process.

³BNR

COUNTRY OVERVIEW

International Trade

Exports grew by 27% in 2010 driven by rising commodity prices following the end of the global recession and increased Rwandan output⁴. Earnings from the coffee sector increased by almost 50% as a result of better prices and higher volumes. Tea export volume increased by 18% in 2010, while the average price was 21% higher than in 2009. Despite the improvement in export performance, the trade deficit remained wide and is expected to remain so in nominal terms as imports continue to outweigh exports. Rwanda's trade deficit increased from RwF 523,000 million in 2009 to RwF 536,000 million in 2010⁵. There was a shift in content of imports between 2009 and 2010 with the main category of imports shifting from capital goods to consumer goods. On the import side it is anticipated that there will be continued growth in capital and consumer goods, exacerbated by high oil prices. Export growth is expected to increase in 2011, benefiting from an expected depreciation in the exchange rate and productivity gains from the ongoing liberalisation of commercial agriculture. The tables below show Rwanda's main trading partners.

Rwanda's Main Trading Partners

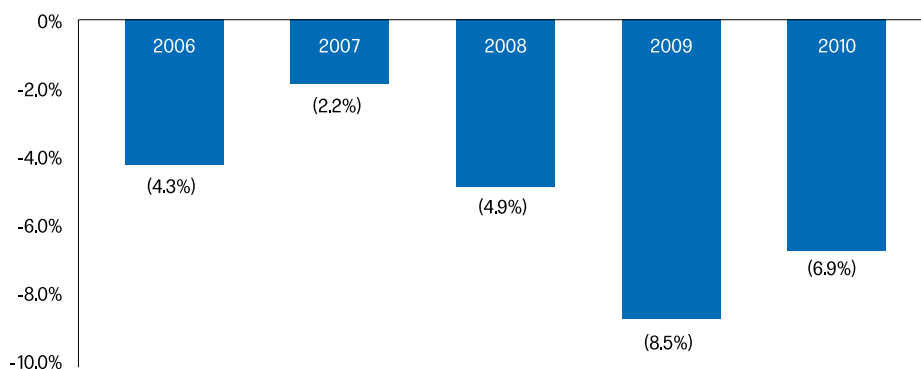
MAIN DESTINATION OF EXPORTS 2009	%	MAIN ORIGIN OF IMPORTS 2009	%
Kenya	33.5	Kenya	16.6
Democratic Republic of Congo	13.4	Uganda	15.0
China	7.0	UAE	6.9
Thailand	6.0	China	6.6

Source: EIU. Derived from partners' trade returns

However, it is forecasted that the rise in export earnings will be dampened by weaker international prices for tea in 2011-12, lower coffee prices in 2012 and a reduction in recorded mining exports. Regional trade will be bolstered by the adoption of the EAC common market protocol in mid-2010, although implementation will be slow in its early years.

Current transfers are expected to record a substantial surplus because of donor inflows and remittances, which will alleviate the pressure from the trade deficit and limit the current-account deficit to a forecast 11.6% of GDP in 2011 and 10% of GDP in 2012⁶.

The table below shows the change in the current account deficit as a percentage of GDP from 2006 to 2010.



Source: IMF

⁴BNR

⁵BNR

⁶EIU

Vision 2020

The major aspiration of Vision 2020 is to transform Rwanda's economy into a middle income economy. This will require achieving annual per capita income of US\$ 900, a poverty rate of 30% and an average life expectancy of 55 years. Vision 2020 aspires for Rwanda to become a modern, strong and united nation, proud of its fundamental values, politically stable and without discrimination amongst its citizens.

Policies and strategies have since been developed based on the six pillars of Vision 2020 which are:

- Good governance and a capable state;
- Human resource development and a knowledge-based economy;
- Private sector-led development;
- Infrastructure development;
- Productive high-value and market-oriented agriculture; and
- Regional and International Integration.

Vision 2020 recognizes that growth must be pro-poor; giving all Rwandans the chance to gain from the new economic opportunities. In order to reach these goals, Vision 2020 envisages the transformation of Rwanda's economy through:

- the promotion of market-based agriculture;
- Introduction of new technologies in the rural/agricultural sector;
- An inclusive market-based private-sector-led economic system;
- A specialization in export-oriented light manufacturing and service industries;
- Making full use of modern information and ICT technologies; and
- Encouraging tourism.

Rwanda's leadership demands that policy, strategies, programmes and investments actually be measured against Vision 2020.

Seven Year Plan

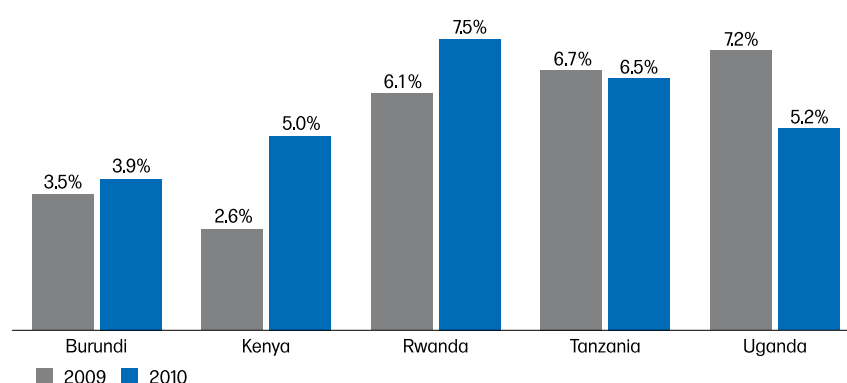
In October 2010, Government announced a new seven year plan designed as a roadmap for transforming Rwanda into a middle-income economy by 2017. The quantitative indicators of the seven year plan include:

- A 30% increase in the level of access to electricity and a surge in national energy production from 80 MW to 1,000 MW;
- The extension of financial services to 80% of the population;
- The construction of 220 more coffee-washing stations in order to enable 80% of the total crop to be fully washed; and
- A 12% rise per year in industrial production.

Regional Integration

Rwanda was admitted to the EAC in July 2007 and to the EAC Customs Union in July 2009 and has ratified the EAC Common Market Protocol. These pacts mean that there should be gradual removal of all cross-border tariffs and non tariff barriers among partner states and the use of Common External Tariffs. The EAC Common Market Protocol requires free movement of goods, labor and capital within the EAC partner states. The EAC partner states are working towards a single currency regime in the region.

The average GDP of the EAC region grew by 5.6% in 2010 compared to 5.2% in 2009⁷. All countries apart from Tanzania and Uganda experienced a higher growth rate in 2010 compared with 2009 as shown in the chart below.



Source: IMF and NISR

⁷IMF, World Economic Outlook Database, April 2011; National Institute of Statistics of Rwanda (NISR)

COUNTRY OVERVIEW

Export earnings are expected to rise in line with growing regional demand as the East Africa region grows at a fast pace and members of the EAC benefit from lower costs resulting from the introduction of the common market in mid-2010.

The Business Environment

In order to boost business in the country, the Government has proposed a number of reforms including establishment of one stop border posts to facilitate quick clearance of cargo and passengers, establishment of credit reference bureau to assist banks with credit risk management. Other reforms are in areas of starting a business, construction permits, registering property, access to credit, trading across borders, paying taxes, and legal frameworks.

As a result of these reforms, Rwanda was ranked the world's top reformer for doing business jumping 76 positions in the World Bank report of 2010. It rose to position 67 from 143, out of the 183 countries that were surveyed. Rwanda compares favorably to other EAC countries with Kenya ranked 95, Uganda 112, Tanzania at 131 and Burundi at 176. A measure of cumulative change in doing business indicators for 2006 and 2011 ranks Rwanda No. 2 in the world⁸.

To attract foreign direct investments, trade registration for new companies and businesses in Rwanda can now be done online and completed in a single day. Rwanda also emerged the top African country in terms of removing red tape for businesses in 2009 according to research done by the International Finance Corporation. According to the report, Rwanda had introduced ambitious reforms in the construction, legal and transport sectors.

⁸World Bank

PART FIVE FINANCIAL MARKETS OVERVIEW

Introduction

The BNR is the principal regulatory agency of the financial markets in Rwanda. The BNR is responsible for formulating and implementing monetary policy and fostering the liquidity, solvency and proper functioning of the financial system. The BNR publishes information on Rwanda's commercial banks and non-banking financial institutions, interest rates and other publications and guidelines.

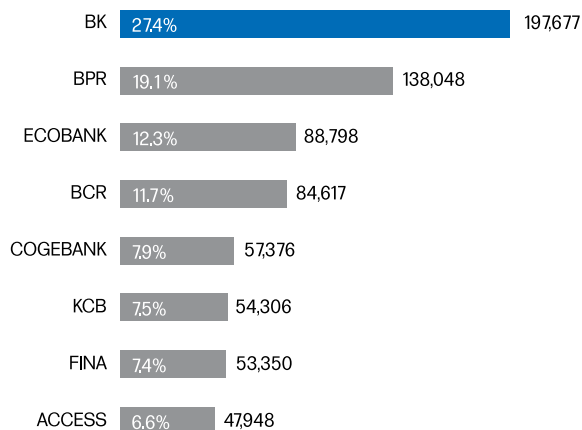
Banking Industry

Structure of the Banking Sector

As of 31 December 2010, there were eight commercial banks, one development bank, one housing bank, 103 MFIs and 416 SACCOs. The commercial banking sector in Rwanda is relatively small and currently serves an estimated 14% of the bankable population with 33% of the population served by SACCOs and MFIs and therefore leaving approximately 53% of the population unbanked⁹.

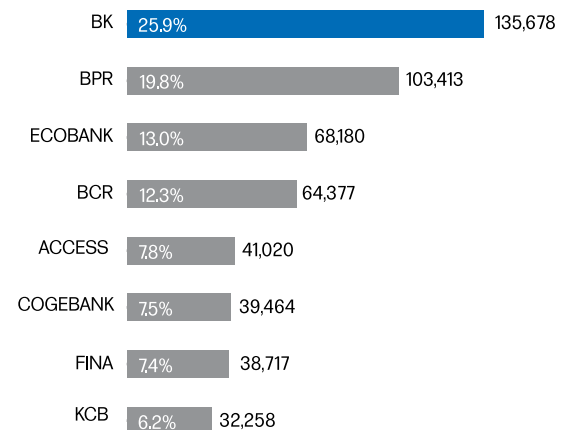
The graph below shows the commercial banks in Rwanda by total assets and total deposits as at 31 December 2010.

Total Assets - 2010 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

Total Deposit - 2010 (RwF Millions)



Source: Published Financial Statements Financial Year 2010

In recent years, the Rwanda financial industry has witnessed the entry of regional banks into the market including:

- Fina Bank - 2004;
- Ecobank - 2007;
- Kenya Commercial Bank - 2007;
- Rabobank - 2008; and
- Access Bank - 2009.

The Recent Liquidity Crisis and BNR's Response

The global financial crisis had a limited impact on Rwanda due to the country's low level of integration with the global financial markets. However, the banking sector faced a liquidity crisis in the last quarter of 2008 and in 2009 when a number of commercial banks recorded liquidity ratios of less than 100%. The liquidity crisis was precipitated by large withdrawals of deposits by some large depositors as they chose to invest in alternative investments. In response to the crisis, BNR announced several initiatives to boost liquidity and support commercial banks including:

- The reduction of the Reserve Requirement Ratio from 8% to 5%;
- Suspension of rolling over of Government treasury bills that matured in 2009;
- Establishment of central bank refinancing and deposits facilities to help banks maintain lending to the economy; and
- Revision of BNR Monetary Policy Committee policy interest rate - the key repo rate, downward from 7.5% to 7% effective April 2010 and to 6% in November 2010.

In 2010 the situation improved significantly with all the banks reporting liquidity ratios above 100%.

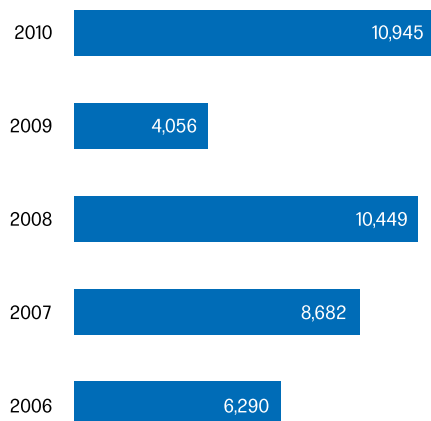
⁹Finscope Survey -2008

FINANCIAL MARKETS OVERVIEW

Recent Performance

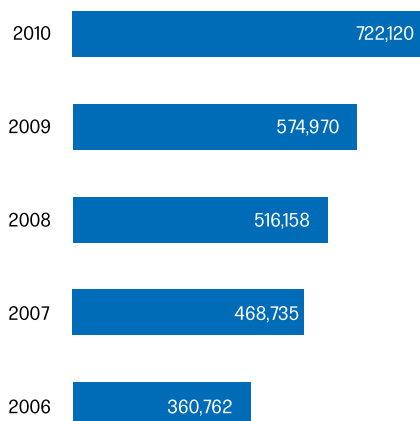
The Rwandan financial industry has experienced substantial growth during recent years in tandem with GDP growth. This has had a direct impact on the overall real income of the population and as a consequence, on the increase in the penetration of banking products and services in Rwanda. The tables below show the growth in total assets, total deposits, loans and bank profitability between 2006 and 2010 for the entire banking industry.

Industry Profitability (RwF Millions)



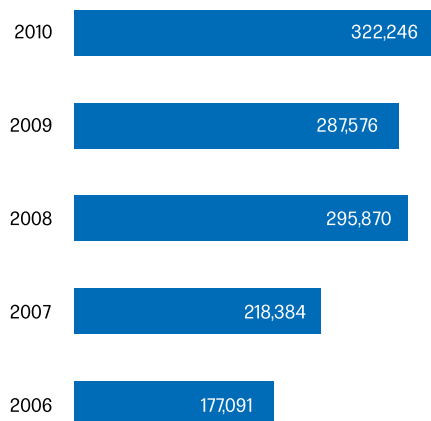
Source: Published financial statements

Total Assets (RwF Millions)



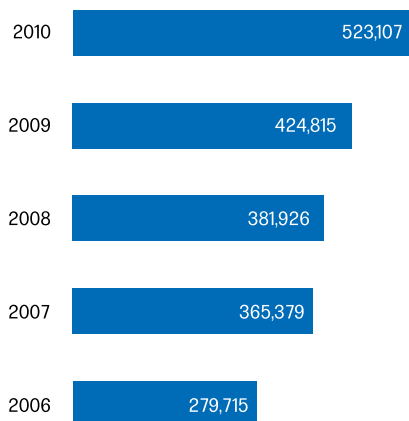
Source: Published financial statements

Total Loans (RwF Millions)



Source: Published financial statements

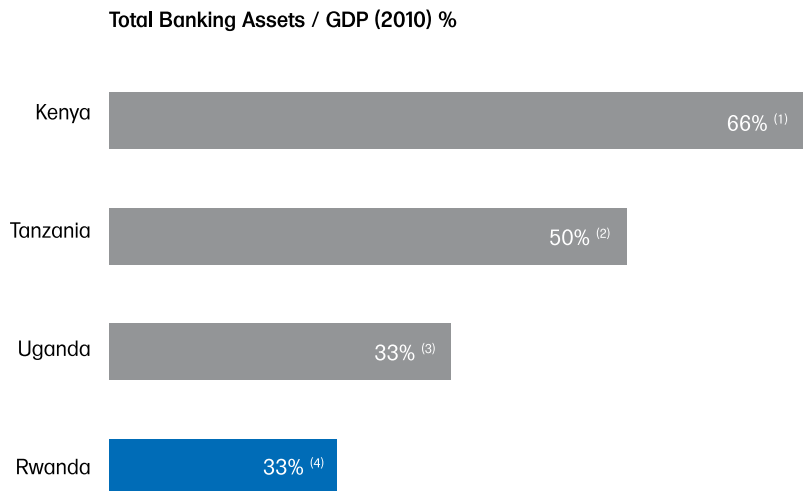
Total Deposits (RwF Millions)



Source: Published financial statements

Banking Penetration in Rwanda

Despite the steady increase in the growth of banking products and services in Rwanda in recent years, the Rwandan banking sector still presents a relatively lower banking penetration compared to other countries in East Africa as illustrated by the chart below. This represents a significant growth opportunity for the bank.



1) Source: Central Bank of Kenya and Economic Survey 2011

2) Source: IMF and Tanzania Banking Survey 2011 (Serengeti Advisers)

3) Source: IMF and Bank of Uganda Joint Annual Supervision & Financial Stability Report December 2010

4) Source: IMF and published financial statements.

Outlook of the Banking Sector

The Rwandan banking sector is expected to sustain the growth trajectory recorded in 2010 underpinned by robust economic growth, regional economic integration and supportive monetary policy from the BNR.

Competition in the sector is expected to increase as banks launch new products and increase their capital bases. In addition, the Rwandan banking sector is expected to attract new entrants interested in capturing the large unbanked population.

Micro-Finance and SACCO Sub-sector

As at 31 December 2010 there were 103 licensed MFIs in Rwanda with total assets of RwF 45,275 million and loans and deposits of RwF 33,608 million and RwF 23,898 million respectively.

As at 31 December 2010 there were 416 SACCOs serving 695,095 members.

Insurance Industry

The Rwandan insurance sector is comprised of nine insurance companies, four licensed insurance brokers and 120 insurance agents. The charts below show the insurance industry penetration in Rwanda for 2006 - 2010.

Insurance Premiums/GDP and Insurance Assets/GDP (in RwF Billions)

	2006	2007	2008	2009	2010
Gross Premium	19.8	27.6	35.9	47.9	53
Gross Premium / GDP	1.2%	1.3%	1.4%	1.6%	2.6%
Insurance Assets	44.3	61.7	80.1	102.9	119
Insurance Assets / GDP	2.6%	3%	3.1%	3.1%	3.6%
GDP nominal	1,716	2,049	2,565	2,991	3,302

Source: BNR

FINANCIAL MARKETS OVERVIEW

Rwanda Capital Markets

The Capital Market Advisory Council (CMAC) was established by the Prime Minister's Order of 28 March 2007 to initially guide the development of a Capital Market in Rwanda. CMAC operates as the capital markets regulator (pending the creation of the CMA as envisaged under the draft law establishing the CMA) has licensed the RSE as a stock exchange. CMAC has approved the following seven members of the RSE namely: African Alliance Rwanda, BRD Advisory Services Limited (BAS), CFC Stanbic Financial Services, Continental Discount House, Core Securities Rwanda, Dallas Securities Brokerage, Dyer & Blair Rwanda, Faida Securities Rwanda Limited, MBEA Brokerage Services, MBEA Financial Services Rwanda and Renaissance Capital (Rwanda) Limited.

The Rwanda Over the Counter Market (ROTC) was established by CMAC in January 2008. Trading operations on the ROTC commenced in January 2008 with the launch of the bonds market. The ROTC secondary market operations are conducted through a dual process. Members trade over the counter and through open-outcry trading. The bond market has five listed treasury bonds and one corporate bond. Since inception the ROTC has raised Rwf 25 billion through the issue of bonds. The secondary bond market has transacted a total turnover of Rwf 654 million, mainly in Treasury Bonds.

The equity market was activated in June 2009 with the cross listing of the shares of Kenya Commercial Bank Limited (KCB). KCB is a commercial bank with its primary listing on the Nairobi Stock Exchange (NSE). It is also cross-listed on the Uganda Securities Exchange (USE) and the Dar es Salaam Stock Exchange (DSE).

In November 2010, the Nation Media Group Limited (NMG) cross listed on the ROTC. NMG is the largest media house in East Africa and is listed on the NSE and cross-listed on the USE. In January 2011, Brasseries et Limonaderies du Rwanda (BRALIRWA) was listed in the first ever IPO in the Rwandan capital markets. BRALIRWA is the country's largest brewer and producer of soft drinks.

Other recent developments in Rwanda's capital market include:

- Development of a capital market legal framework in which three proposed new laws were adopted by the Chamber of Deputies in November 2010. The three laws passed by the Chamber of Deputies were the law establishing the Capital Markets Authority (CMA), the law regulating the capital markets, and the law regulating collective investment vehicles. The law regulating the capital markets (Law No. 01/2011 of 10/02/2011 Regulating Capital Market in Rwanda) received Presidential Assent, and was gazetted on 28 March 2011. The two other laws are expected to be assented to by the President and gazetted soon;
- The law governing the holding and circulation of Securities (Central Depository) was gazetted in May 2010;
- New fiscal incentives were gazetted in May 2010;
- A national public education program was launched in October 2010;
- Steps to integrate the East African capital markets, including Rwanda, are currently being undertaken; and
- CMAC is a member of the East Africa Securities Regulators Association (EASRA) and also a member of East Africa Securities Exchanges Association (EASEA).

Capital Markets Authority (CMA)

On 2 November 2010, the draft Capital Markets Law establishing a proposed CMA was passed by the Chamber of Deputies. The proposed CMA will be governed by a non-executive board, answerable to the Minister of Finance and Economic Planning. The proposed CMA is mandated with regulating the capital markets in Rwanda, including the licensing and approval of all its players.

RSE

The RSE was incorporated on 7 October 2005 and became operational on 31 January 2011, taking over from the ROTC Market upon the listing of BRALIRWA. The RSE continues to operate trading on the over-the-counter (OTC) System and open-outcry trading.

Secondary Market Trading¹⁰

The RSE has three listed stocks – Kenya Commercial Bank Group (KCB), Nation Media Group (NMG) and BRALIRWA. As at 27 May 2011, BRALIRWA has had a total turnover of Rwf 6,203 million representing 34.7 million shares traded in 488 deals since listing. The IPO was priced at Rwf 136 and the stock has traded at a high of Rwf 235 and a low of Rwf 170. As of 27 May 2011, BRALIRWA traded at Rwf 230.

¹⁰ RSE

No Restrictions on Foreign Ownership

There are no restrictions on the number or percentage of shares that may be held by foreign investors in companies on the RSE

RSE Charges

Trading in equities on the RSE will attract the following charges of the value of equities traded:

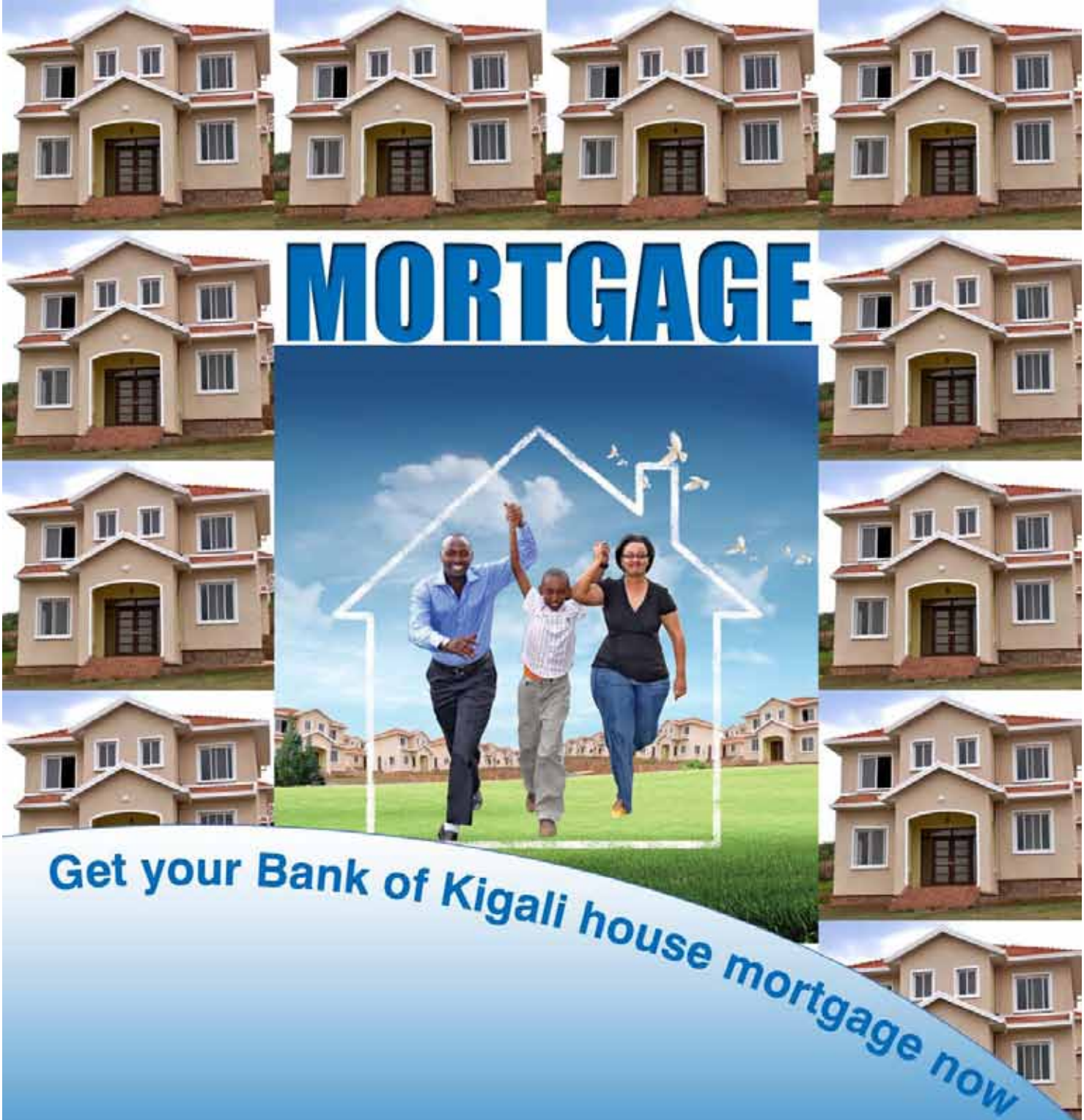
- Brokerage Commission - 1.5%
- Transaction Fee - 0.14%
- Investor Compensation Fee - 0.02%
- CDS Settlement Transaction Levy - 0.05%

Taxes

No stamp duty is payable on transfers of shares listed on the RSE. The following are the gazetted tax incentives applicable in Rwanda:

- **Income tax exemption** – income accruing to registered collective investment schemes and employees' shares scheme are exempted from income tax;
- **Capital gains tax** – capital gains on secondary market transaction on listed securities are exempted from capital gains tax; and
- **Corporate income tax** – newly listed companies on capital market shall be taxed for a period of five years on the following rates:
 - a) 20% if those companies they sell at least 40% of their shares to the public;
 - b) 25% if those companies sell at least 30% of their shares to the public; and
 - c) 28% if those companies sell at least 20% of their shares to the public.
- **Venture capital** – venture capital companies registered with the CMA in Rwanda benefit from a corporate income tax of zero percent (0%) for a period of five years;
- **Withholding tax on dividends and interest** – withholding tax on dividends and interest income on securities listed on capital markets and interest arising from investments in listed bonds with a maturity of three years and above have been reduced to 5% for residents of Rwanda or the EAC;
- **Value-added tax (VAT)** – the following are exempted from VAT:
 - a) Transfer of shares; and
 - b) Capital market transactions for listed securities.

The above information does not constitute tax advice in any way and no person should rely on the same to make their investment decision.



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PART SIX
REGULATORY OVERVIEW

Introduction

The regulatory regime that governs the Bank includes the following pieces of legislation:

- Law No. 55/2007 of 30/11/2007 Governing the Central Bank of Rwanda;
- Law No. 007/2008 of 08/04/2008 Concerning Organization of Banking;
- Law No. 07/2009 of 27/04/2009 Relating to Companies;
- Instructions of the Registrar General No. 01/2010/ORG of 12/04/ 2010 Relating to the Form and Content of a Prospectus; and
- Law Regulating Capital Market in Rwanda 01/2011 of 10/02/2011.

Principal Regulatory Agencies

The Rwandan financial system is composed of the following regulatory and inspection bodies:

- BNR;
- CMA; and
- Office of the Registrar General.

BNR Regulation

The BNR has been given the mandate to license and supervise banks under Law No. 55/2007 of 30/11/2007 governing The Central Bank of Rwanda specifically in articles 53, 56, 57 and 58. The legal and regulatory framework for licensing and supervision of financial institutions is detailed in the Law No. 007/2008 of 08/04/2008 Concerning Organization of Banking. BNR supervises banks in accordance with the Core Principles for Effective Banking Supervision (BCP's) issued by the Basel Committee on Banking Supervision.

One of BNR's primary responsibilities is to maintain a sound banking system and to supervise all financial institutions licensed under the banking laws and other relevant laws. It has the power to ensure that financial institutions are adequately capitalized and properly managed, and that they satisfy appropriate reserve and liquidity requirements.

In the exercise of powers conferred to it by its statutes, the Law Relating to the Organization of Banking and other legal provisions, and in order, to preserve depositors' and other creditors' interests, BNR is empowered to enact regulations, to issue instructions, and take decisions that banks, insurance companies, and other financial institutions are bound to comply with.

REGULATORY OVERVIEW

Prudential Regulation

Pursuant to its mandate, BNR has issued prudential regulations to be complied with by the licensed financial institutions including the Bank. The prudential regulations include the following:

REGULATION	REQUIREMENT	COMPLIANCE
BNR Reg. 11/2009 Capital Adequacy	- Total Capital of 15% of total risk weighted assets - Core Capital of 10% of total risk weighted assets	Total Capital to Risk weighted assets was 23.1% as of 31 March 2011
BNR Reg. 06/2008 Corporate Governance	Establishes the roles of the Shareholders, Directors, Management, Internal Audit and Compliance functions in the governance of the Bank as well the mandate and terms of reference of the Board Committees	The Bank's Corporate Governance is in line with BNR Guidelines and all the necessary Board Committees are in place. The Risk and Compliance and Internal Audit function are independent and report to the Board of Directors
BNR Reg. 05/2008 Credit Concentration and Large Exposure	- Large exposures are exposures exceeding 10% of Net Worth - Aggregate large exposures not exceeding 8 times Net Worth - Single obligor limit of 25% of Net Worth	Fully compliant with the limit on single obligor as of 31 May 2011
Instruction No 1/2009 Reserve Requirements	5% of total deposits	- The Bank has always fully complied with the BNR reserve requirement of 5% of total deposits. - Compliance is monitored on a daily basis by the ALCO management committee
BNR Reg. 06/2008 External Auditors	Term of office of external auditors shall be three years	Ernst & Young's term of office was extended with the approval from BNR
Instruction No 4/2005 Lending in Foreign Currency	Lending in foreign currency is restricted to exporters and approval must be granted by the BNR	Bank lending is restricted to exporters which is subject to BNR approval.
Law No 07/2008 Change in shareholding structure	Approval from BNR must be sought before a natural person or legal entity acquires more than 5% of the shareholding of the Bank	This has not been applicable to date.
BNR Reg. 04/2008 Insider Lending	- Lending to a single insider shall not exceed 5% of its Net Worth - Aggregate loans and commitments to insiders shall not exceed 25% of its net worth - Aggregate loans and commitments to Employees of the Bank shall not exceed 15% of its net worth	As of 31 March 2011, the Bank's aggregate insider lending amounted to 6% of its Net Worth
BNR Reg. 10/2009¹¹ Liquidity Ratio	Maintain minimum liquid assets / deposits of 20% denominated in local and foreign currencies on a weekly average basis	The Bank's liquidity ratio was 44.6% as of 31 March 2011
Law No 47/2008 Money Laundering and Financing Terrorism	Prohibits money laundering and financing of terrorism	The Bank has implemented an AML and KYC policies and procedures and compliance is carefully monitored by Management
BNR Reg. 10/2009 Credit Classification and Provisioning	Classifies loans into the following classes and requires provision on the gross amounts net of collateral as follows: - Standard (31 – 60 days) – 0% - Watch (61 – 90 days) – 0% - Substandard (91 -180 days) – 20% - Doubtful (181 – 360 days) – 50% - Loss (over 360 days) – 100% The provision is 100% tax deductible if compliant with BNR requirements.	The Bank complies with BNR's classification and provisioning policy

¹¹ Effective 10/1/2011

The Law Relating to the Organization of Banking and Related Laws

- Article 4 provides that no person may engage in banking activities in Rwanda without being licensed by the Central Bank. Banks are required to be public limited company corporations;
- Article 12 which stipulates the minimum equity capital of banks in Rwanda;
- Article 14 which requires the amount of paid-up capital of the Bank to appear on all official documents of the Bank;
- Article 18 which requires the Bank to inform the BNR before any acquisition or disposal of a qualified shareholding (5%) in the Bank. Further, Article 19 provides that any modifications of qualifying shareholdings so that the proportion held is 10%, 25%, 33% and 50% shareholding in the Bank, requires prior approval from BNR. The BNR may decline to approve any increase, acquisition, or alienation of shares that would compromise the quality of the Bank's management or financial soundness, jeopardize the interests of the bank's depositors or hinder effective supervision of the bank. Shares acquired by a person without the prior permission required automatically leads to loss of right to receive dividends;
- Article 29 which provides that the Board members and managers of a bank must be approved by BNR prior to the performance of their duties. BNR sets conditions required for Board members and managers (fit and proper criteria);
- Article 48 provides that Banks must maintain their accounts in accordance with accounting principles and rules set by the BNR regulation. The financial year of banks ends on December 31 of each year. The following documents must be submitted to BNR by 30th June of the following year:
 - the balance sheet and off-balance sheet liabilities;
 - the income statement;
 - any other documents required by the BNR;
 - any subsequent correction or modification of these documents.
- Article 63 establishes the Depositors guarantee fund to indemnify depositors in the event of the liquidation of a bank. All banks are required deposit monies into the fund;
- Article 67 provides that the licence of Bank may be withdrawn through removal from the list of banks by the BNR and publication of the decision on the Official Gazette of Rwanda. This may be done as a result of non-compliance with the law;
- Article 73 provides that the BNR may appoint a special commissioner for a bank if it is established that the bank is violating the law and relevant regulations. A special commissioner has powers to investigate, manage or reorganize a bank;
- Regulation No. 06/2008 on corporate governance issued by BNR requires at Article 5 that banks apply to BNR for approval to transfer shareholding in excess of 5% of an Institution's share capital. Further, it provides that banks should have a minimum of 5 directors. It provides that the responsibilities of the chairman of the Board should be clearly separated from that of the head of management. The Board of the Bank is required to set up committees in key areas of the bank including a Board Audit Committee, Board Credit Committee, Board Asset and Liability Committee, Risk Management Committee and Executive Committee; and
- Regulation No. 11/2009 on capital adequacy requirements provides that the minimum capital funds unimpaired by losses of a bank must at all times be not less than RwF 5 Billion. Unless a higher minimum ratio is set by the Central Bank, every bank is required to maintain a total capital of 15% of its risk weighted assets of which 10% consist of core capital.

"Core capital" (Tier 1) means permanent shareholders' equity in the form of issued and fully paid-up shares plus all disclosed reserves, less goodwill and any intangible assets. The core capital of a bank is equivalent to at least the minimum capital funds set out in the law and shall be reduced by goodwill and similar intangible assets, investments in unconsolidated financial subsidiaries and future income tax benefits.

"Supplementary capital" (Tier 2) includes 25% of revaluation reserves on banking premises which have received prior BNR's approval, subordinated debts, permanent debt instruments and any other form of capital as may be determined from time to time by the Central Bank.

In meeting the core capital requirements, a bank may include 50% of their year-to-date net profits and a bank wishing to include elements of supplementary capital, which in the aggregate should not exceed 100% of core capital, must apply to the BNR for inclusion of any revaluation reserves on fixed assets, hybrid capital instruments and subordinated term debts.

Where a bank is deemed to be undercapitalized, it risks being liquidated under orders of the BNR.

Law Relating to Companies

This law relates to companies, their registration and consequential matters. The Bank is a company governed by this law and the Offer must be carried out in conformity to its provisions. The Company has a certificate of incorporation which is conclusive evidence of the incorporation of the Company and compliance with establishment requirements under it (Article 17). A company in Rwanda is governed by its Memorandum and Articles of Association.

The law limits the number of shareholders of a private company to 100 and limits transferability of shares (Article 6). Since the

REGULATORY OVERVIEW

Bank is a public company, there are no restrictions on transferability of shares.

Article 32 provides that any recognized company shall have full capacity to carry on or undertake any business or activity and therefore the Bank is, by law, entitled to carry on banking business, subject to licensing requirements under the Banking laws discussed above.

More specific to the Offer, Article 63 compels the Bank to issue a prospectus to accompany any form of application for the shares. Such prospectus must have been lodged with the Registrar General of companies and must be in the form and contain the content prescribed.

The Bank will be under an obligation to give notice to the Registrar General of the number of shares issued and amount for which such shares will have been issued.

Article 69 provides that every prospectus shall comply with the form and content prescribed by instruction of the Registrar General or of any person who may be appointed by a law for regulating the capital market.

Pursuant to this Article, the Registrar General issued instructions No 01/2010/Org of 12/04/2010 relating to the Form and Content of a Prospectus. These instructions provide, in detail, the form and content of any prospectus issued by a company.

Instructions No 01/2010/Org of 12/04/2010 relating to the Form and Content of a Prospectus

As noted above, these were made pursuant to Law No. 07/2009 of 27/04/2009 relating to companies, especially in Article 69. The instructions prescribe that various details should be included in a prospectus. The prospectus must be deposited with the Registrar together with an application letter, proof of payment, letter of approval from the capital market regulatory authority, letter of approval from any other relevant authority, original copies of all letters of consent, certified copy of all material contracts and original written authority by the directors to sign the prospectus.

Law No. 01/2011 of 10/02/2011 Regulating Capital Market in Rwanda and Other Related Laws

This law was gazetted in March 2011 and sets the stage for the establishment of a proper capital markets regime in Rwanda. The law requires licensing for all persons engaged in the capital market business including brokers, dealers, sponsors, investment bankers and securities exchanges. Licensing is to be done by the “Authority” established by the Law No 11/2011 of 18/05/2011 gazetted on 9th June 2011 which is defined as the public institution responsible for regulating the capital markets in Rwanda. For the time being, this is the Capital Markets Advisory Council (CMAC) established by Prime Minister’s Order No. 01/03 of 28/03/2007. CMAC is under the supervision of the Ministry of Finance and Economic Planning and is responsible for the development of guidelines for the issuance and trading of debt and equity securities in Rwanda. The Law regulating capital markets in Rwanda contains the laws governing the Rwanda Stock Exchange. The law also prohibits insider trading. Insider dealing is defined as using insider information to deal in capital market instruments which can influence the prices on the capital market.

Article 53 and 54 provide that the Prospectus shall comply with the laws relating to issuance of capital market instruments to the public and must be approved by Capital Markets Authority. We further note that Article 53 is subject to the provisions of the law relating to companies and therefore the provisions noted above will continue to apply.

The law proposes the establishment of a compensation scheme to compensate investors where acts by persons who have been approved or licensed under the law cause them bankruptcy.

CMAC has issued a blue print relating to the capital markets which contains Listing Rules. The Listing Rules are not exhaustive and additional requirements may be imposed by CMAC. These rules outline the application procedures and requirements for listing. It also outlines the continuing obligations of listed companies including requirements for adequate corporate disclosures affecting the market to CMAC, submission of annual accounts and consultations with CMAC on any reorganizations of capital.

Law No. 26/2010 of 28/05/2010 governs the holding and circulation of Securities and Law No 18/2010 of 12/05/2010 is the law relating to electronic messages, electronic signatures and Electronic transactions. Together, they provide a basis for the shares to be purchased and awarded electronically in a dematerialized form.

There are certain incentives provided to players in the capital markets. These were contained in Laws No 24/2010 of 28/05/2010 on direct income taxes on income and Law No 25/2010 of 28/05/2010 modifying and complementing Law no 06/2001 of 20/01/2001 published in the special official gazette on 28 May 2010. They are summarized in Part 4 of this Prospectus:

Regulatory Reforms in Access to Credit

In order to improve access to credit in Rwanda and at the same time reducing the incidence of default experienced by banks and other financial institutions, the Government has undertaken the following reforms between 2008 and 2010.

- **Enactment of Law no 10/2009 of 14/05/2009 on Mortgages and Law No. 13/2010 of 07/05/2010** – In 2009 the Law was enacted in order to give the necessary rights to lenders to foreclose on default by customers. Prior to the enactment of this law, there was no requirement for the registration of mortgages. Pursuant to Article 4 of the Law on Mortgages, mortgages are considered to be valid only when recorded in the mortgage register at the Office of the Registrar General. Article 25 provides that “the Registrar General shall determine modalities for registration of mortgage and keeping of mortgage certificate”. Article 26 indicates that “All mortgage contracts entered into prior to commencement of this Law shall remain valid for a period of two years.” It was not clear if this was to allow for the registration of any unregistered mortgages particularly because Article 26 set a finite period of validity without giving the option of registering prior mortgages. The period of validity of such mortgage contracts would lapse on 14 May 2011. However, Law No. 13/2010 modified the validity provision by providing that “all mortgage contracts entered into prior to the commencement of this law shall remain valid until their expiration”. This law came into effect on 7 May 2010. Accordingly, mortgages not registered by 14 May 2011 would remain valid until they expire but the amendment law still requires that the contracts be submitted to the Registrar General for registration within a year of its gazettment without clarifying the fate of such contracts if they were not registered (See Part Seven on Risk Factors). While registration of new mortgages has been fast tracked with the effect it can take as few as 2 business days to register the same, registration of old mortgages remains an ongoing process particularly due to lack of long term title documents where completion of property development is a pre-condition for the issuance of long-term title documents. Registration of mortgages has enabled mortgagees to realize their security in the event of default.
- **Establishment of Commercial Courts** – Among the judicial reforms was the establishment of commercial courts dealing solely in commercial disputes. In addition, the reforms included extensive training of judges inside and outside the country. These reforms have seen a drastic reduction of the backlog of commercial disputes and fast tracking of cases brought to the courts.
- **Reorganization of Land Centre** – The Land Centre was reorganized, with records and operations being computerized. The reorganization is intended to ensure that property titles are obtained on a timely basis. However, to the extent that issuance of title is conditioned upon completion of developments, such issuance is still taking substantial time to occur.
- **Reorganization of the Office of Registrar General** – In order to enhance and fast track registration of mortgages and provide fast services on foreclosures; and
- **Establishment of Credit Reference Bureau** – In 2010, Credit Reference Bureau Africa was established in order to enhance information sharing among banks and other financial institutions regarding borrowers in the market. The establishment of the credit bureau has also enabled banks and other financial institutions to have credit history of borrowers thereby assisting in the credit risk assessment.

Continuing Obligations

Upon Listing, the Bank will be subject to the continuing obligations set by CMAC and the RSE. CMAC has published a Blueprint which contains issuers continuing obligations. It is expected that these regulations will become the regulations once the capital markets law is enacted and also under the law regulating capital markets in Rwanda. For the time being, the Bank will be expected to comply with them. The following is a summary of the continuing listing obligation:

1. Payment of listing fees;
2. Disclosure obligations whereby the Bank will be required to keep CMAC and the public informed of:
 - Any information necessary to enable the capital market and the public to appraise the financial position of the Bank;
 - Any information necessary to avoid the establishment of a false market for the Bank's Shares;
 - Any information which would have material effect on the price or the value of the Bank's Shares;
 - Closure of the register of members which must be done at least 10 days before the closure;
 - Notice of any general meeting of the Bank; and
 - All other disclosable events and actions set out in Appendix I of the Blueprint;
3. Provision of a copy of the Bank's annual accounts including the accompanying information prescribed; and
4. To make interim reports and announcements.



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PART SEVEN
RISK FACTORS

Bank of Kigali is subject to various risks in its operations. Prior to making an investment decision, prospective investors should carefully consider the risks factors set out below together with other information set out in this Prospectus.

Although the Bank believes that the risks and uncertainties described below are risk factors that are specific to it and to its industry, and are material considerations in making a decision to invest in the Bank, they are not the only risks that it faces. All these factors are contingencies which may or may not occur. Additional risks and uncertainties not presently known to the Bank or that the Bank deems immaterial, may have a material adverse effect on the Bank's business, results of operation or its financial condition.

Prospective investors should review the entire document and form their own views before making an investment decision. They should also consult their own financial, legal and tax advisors to carefully review the risks associated in investing in the Bank.

Risks Relating to Investments in Emerging Markets

Investors in emerging markets such as Rwanda should be aware that these markets are subject to greater risk than more developed markets, including in some cases significant political, economic and legal risks.

In addition, international investors' reactions to events occurring in one emerging market country or region sometimes appear to demonstrate a "contagion" effect, in which an entire region or class of investment is disfavored by such investors. If such a "contagion" effect occurs, Rwanda could be adversely affected by negative economic or financial developments in other emerging market countries.

Prospective investors should also note that emerging economies such as Rwanda's are subject to rapid change and that the information set out in this Prospectus may become outdated relatively quickly. Accordingly, prospective investors should exercise particular care in evaluating the risks involved and must decide for themselves whether, in light of those risks, their investment is appropriate. Generally, investment in emerging markets is suitable only for sophisticated investors who fully appreciate the significance of the risks involved. Prospective investors are urged to consult with their own legal and financial advisors before making an investment decision.

Global Financial Crisis

The global financial crisis, which commenced in 2007, has severely affected global markets. Financial markets in the United States, Europe, Asia, Africa and elsewhere experienced, and in some cases continue to experience, a period of unprecedented turmoil and upheaval characterised by extreme volatility and declines in security prices, severely diminished liquidity and credit availability, inability to access capital markets, the bankruptcy, default, failure, collapse or sale of various financial institutions and an unprecedented level of intervention from the United States federal government and other governments. Unemployment has risen while business, economic activity and consumer confidence have declined, resulting in a severe global recession. In addition to the global financial crisis, the need for many governments to finance large and growing budget deficits and other factors have negatively affected the financial standing and the credit ratings of other sovereign and quasi-sovereign issuers, particularly in Europe and the Persian Gulf region.

Country and Industry Specific Risks

Currency Risks

The Rwandan Franc remained relatively stable against the US Dollar in 2009 and 2010 with the average annual exchange rate depreciating by 3.9% in 2009 and 2.6% in 2010. Although the BNR is committed to maintaining the RwF exchange rate fundamentally market driven, there can be no certainty that the RwF will not depreciate against the US Dollar again and that such depreciation may adversely affect the Bank's business, results of operations or its financial condition.

Statistical Information

The Prospectus contains statistical and financial data from industry publications and other third party sources. Although the Bank believes the information to be correct, it has not independently verified such data and therefore it cannot assure that they are complete or reliable. In addition, such data may also be produced on different bases from those used in other countries.

Therefore, discussions of matters relating to Rwanda, different markets within the EAC, their respective economies and the banking industry in the Prospectus are subject to the caveat that the statistical and other data upon which such discussions are based may be incomplete or unreliable.

RISK FACTORS

Developing Legal System

There is rapid legal development currently happening in Rwanda including change of legal system to being more common law based, rapid enactment of various new laws and amendment of existing laws. This will also have an impact on the judicial system and the interpretation of the law including the impact of decided cases. Changes have happened recently in various relevant areas including but not restricted to:

- Capital Markets;
- Companies;
- Banking;
- Licensing; and
- Mortgages.

The investor should also be aware that the investment in the Bank's shares is in a legally dynamic environment. Some of the enactment of the law may not always be well synchronized or consistently implemented.

Increasing Competition

The commercial banking sector in Rwanda comprises eight banks with the three largest banks controlling 58.8% of total assets and 58.7% of total deposits as of 31 December 2010 according to data from the BNR. In recent years new players have entered the Rwandan banking sector through acquisitions and greenfield operations.

The Bank expects the Rwandan banking market to become more competitive as a result of the entry of new players into the market.

Intense competition in the Rwandan financial services market has led, among other things, to sharing of blue chip corporate customers and pressure on spreads, affecting the banks' profitability, thereby negatively affecting the business, profitability and financial condition of the banks, including the Bank.

Economic and Political Environment

The Bank's business is also affected by general financial, economic and external events beyond the Bank's control. Unfavorable economic and external conditions may impact negatively on the Bank's operations. In particular, demand for its products and services would decrease significantly as a result of such unfavorable conditions. Performance of Rwanda's economy is dependent on economic reforms and if the reforms slow down or stop then this may adversely affect economic growth.

The Bank's market position and the demand for its products are dependent upon the overall political, social and economic situation in Rwanda. Deterioration in any of these external factors could have an adverse effect on the Bank's business, results of operation or its financial condition.

Regulatory Risk

Rwanda's regulatory environment is dynamic with various statutory changes having been made in the last few years and numerous other statutory changes being considered. Additionally, the Bank operates in a highly regulated environment with BNR empowered to impose guidelines on banks in Rwanda. Further, upon Listing, the Bank shall be regulated by the relevant authority engaged in the supervision of capital markets in Rwanda. Any change in the regulatory environment which imposes onerous obligations on the Bank may adversely affect the Bank's business, results of operations or its financial condition.

Evolving Nature of the Rwandan Tax System

The taxation system in Rwanda has evolved between 1997 and 2010. It has evolved to include six diverse phases of reform. First, the institutional reforms and capacity building, which correspond to the period beginning with the establishment of Rwanda Revenue Authority (RRA) in 1997 and the subsequent three years. Second, it has widened the tax base with VAT introduced in this phase in 2001. Third, it streamlined the tax regime and administration which was effected by widening the RRA mandate to cover non-tax revenues rationalizing the income tax rates in 2003 and 2005 respectively. Fourth, it aligned the tax system to develop policy priorities by introducing the new income tax code in 2005. Fifth, it strengthened the compliance enforcement regime and enacted Law N°25/2005 which caters for tax audits, appeals and penalties for evasion and introduces penalties for taxpayers that fail to comply with the provisions for consumption tax as of 2006. Sixth, it is trying to harmonize the tax regime and administration with that of the EAC as of 2009 and 2010.

In the process, RRA has gained a reputation as one of the most pragmatic and efficient tax authorities in the region. The Authority has spearheaded tax reform in the country which has been characterised by constant changes in tax law including but not limited to changes in tax rates, tax incidences, tax types, procedures and tax incentives. It remains a commercial risk that current tax rates, tax categories and tax incentives may change in a manner that may impact on the Bank and its income or obligations thereby affecting investment in it as the Rwanda Tax system continues to evolve. Investors are advised to take tax advice in this regard.

Bank Specific Risks

Risks Related to Growth Strategy

The Bank has experienced significant growth in recent years, particularly in the size of its overall loan portfolio, which increased by over 41% (net of provision for loan losses) from 31 December 2008 to 31 December 2010. The Bank intends to continue to concentrate on expanding its loan portfolio as part of its strategic objectives.

The ability of the Bank to grow its customer base and expand its loan portfolio will depend on, amongst other things, successful implementation of its credit policies as well as availability of cheap funding and steady capital growth in order to maintain its capital adequacy requirements. If the Bank accepts a higher degree of credit risk to achieve growth in the future, it could suffer material adverse consequences to its financial performance and results of operations.

The Bank's strategic focus has historically been on large corporations, high and middle income individuals, SMEs and NBAs. However, the limited number of high quality corporate customers in Rwanda to which the Bank may lend or otherwise provide banking services may significantly inhibit the Bank's ability to achieve its growth objectives while maintaining an acceptable level of credit risk.

Liquidity Risks

Currently, the Bank relies to a significant degree on demand deposits made by its corporate and retail customers to finance its operations. With the exception of the partially drawn EIB credit line and the undrawn AFD credit line, the Bank does not have any long-term liabilities. For the financial years ended 31 December 2010, 2009 and 2008, the Bank's cumulative liquidity gaps were negative for assets and liabilities expiring within one month from the reporting date. Negative liquidity gap for the periods indicated was RwF 35,690 million or 112% of the Bank's total equity as at 31 December 2010, compared to RwF 23,340 million or 110% as at 31 December 2009, RwF 22,971 million or 144% as at 31 December 2008.

Demand deposits may be withdrawn by depositors at any time. There can be no assurance that if unexpected withdrawals of deposits by the Bank's customers result in liquidity gaps, the Bank will be able to cover such gaps.

The matching and/or controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Bank. An unmatched position potentially enhances profitability, but can also increase the risk of losses. The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest-bearing liabilities as they mature, are important factors in assessing the liquidity of the Bank and its exposure to changes in interest and exchange rates.

In the event of any downturn in confidence in the Bank or the Rwandan banking sector there is a risk that the Bank would not have the necessary funds to meet its liabilities as they fall due which will have a material adverse effect on its business, results of operations, financial condition and prospects.

Deposit Concentration

As at 31 December 2010, the Bank had 9 depositors with total balances above 5% of shareholders' equity. The aggregate balance of these customers was RwF 34,666 million, or 26% of total customer deposits. As at 31 December 2009, the Company had 15 depositors with total balances above 5% of shareholders' equity. The aggregate balance of these customers was RwF 32,212 million, or 29% of total customer deposits. As at 31 December 2008, the Company had 20 depositors with total balances above 5% of shareholders' equity. The aggregate balance of these customers was RwF 32,208 million, or 34% of total customer deposits.

Any economic difficulties that affect the ability of the Bank's depositors to meet liquidity needs could cause such customers to withdraw their funds from the Bank. If such withdrawals were to occur within a relatively short period of time, they could cause liquidity difficulties for the Bank together with the loss of a significant source of funding, which could have a material adverse effect on the Bank's financial condition, results of operations and prospects.

Loan Concentration by Borrower

The Bank's corporate loan portfolio has fairly high single borrower concentration. As at 31 December 2010, the Bank had 26 borrowers with aggregated loan amounts of RwF 32,724 million, or 31% of the gross loan portfolio. Impairment in the ability of one or more of these borrowers to service or repay their loans could have a material adverse effect on the Bank's business, results of operations and financial condition.

In addition, as of 31 December 2010, the Bank had an exposure of RwF 11,568 million or 11% of its net loan portfolio, to a single group of related companies in contravention of BNR regulations. Deterioration in the financial condition of this entity may affect its subsidiaries' ability to service their loans and could potentially have a material adverse effect on the Bank's financial condition.

RISK FACTORS

and results of operations. As of 30 April 2011, the balance owed to this group of related companies had been repaid and reduced to RwF 5,558 million or 5% of its net loan portfolio which is in compliance with BNR regulations.

Loan Concentration by Sector

Primarily due to the currently low diversification of the Rwandan economy, Bank of Kigali has a considerable concentration of its loan portfolio in certain sectors. As of 31 December 2010, commerce, restaurants and hotels and construction accounted for 46% and 29% of the loan portfolio respectively. Some of the largest exposures of the Bank relate to financing the construction of large commercial and residential properties with the underlying properties provided as collateral. In the event the borrower defaults, the Bank may experience difficulty in realizing this collateral thereby adversely affecting its business, results of operations and financial condition.

Even where the Bank is successful in foreclosing on collateral it may be difficult in finding buyers for certain collateral or the collateral may be sold for significantly less than its appraised value. Failure to recover the expected value of collateral may expose the Bank to losses which may have an adverse effect on the Bank's financial position and results of operations.

Scarcity of Qualified Personnel

The Bank is dependent on its senior management for the implementation of its strategy and the operation of its day-to-day activities. While the Bank has entered into employment contracts with key members of its management, no assurance can be given that the current members of the Bank's management will continue to make their services available to the Bank on a long-term basis.

The Bank depends on highly qualified and experienced personnel to fill key positions which are essential to its banking operations and the success of its expansion plans.

There are a low number of sufficiently qualified individuals in the Rwandan labor market. This could lead to difficulties in recruiting qualified and experienced employees, and/or the Bank taking a greater amount of time to identify and recruit such employees.

Failure by the Bank to recruit and/or retain sufficiently qualified personnel or successfully manage its personnel needs could have a material adverse effect on its business, financial condition, results of operations and prospects.

Market Risks

The Bank is exposed to market risks, including currency exchange rate risk and interest rate risk. Although the Bank sets limits and performs certain other measures aimed at reducing currency exchange rate risk, currency exchange rate fluctuations may adversely affect the Bank.

The Bank is exposed to risks resulting from mismatches between the interest rates on its interest-bearing liabilities and interest-earning assets. While the Bank monitors interest rates with respect to its assets and liabilities, and generally matches its interest rate positions, interest rate movements may adversely affect the Bank's financial position. The Bank's results of operations largely depend on its net interest income. There can be no assurance that the Bank's strategies will protect it from the negative effect of a future decrease of interest rates. Interest rates are highly sensitive to a number of factors beyond the Bank's control, including the BNR's reserve policy and domestic and international economic and political conditions. A significant decrease in market interest rates could reduce the Bank's net interest income and adversely affect the Bank's business, financial condition and results of operations. If the Bank's risk management procedures and limits do not minimise the impact of market risks on the Bank, its business, financial condition and results of operations may be adversely affected.

Operational Risks

The Bank is exposed to many types of operational risks, including the risk of fraud by employees or outsiders, unauthorised transactions by employees or operational errors, including clerical or record keeping errors or errors resulting from faulty computer or telecommunications systems. Given the Bank's high transaction volume, errors may be repeated or compounded before they are discovered and rectified.

The Bank maintains a system of controls designed to keep operational risk at appropriate levels. However, there can be no assurance that the Bank will not suffer losses from failure of these controls to detect or contain operational risk in the future.

Enforcement of Collateral

The Bank takes mortgages, pledges over goods and collateral and enters into guarantee arrangements in the context of its corporate and retail lending procedures. Where a client who has defaulted on his loan challenges the Bank's right to foreclose on the

collateral, the Bank may incur losses which may have an adverse effect on the Bank's business, financial condition and results of operations.

Licenses

All banking and various related operations in Rwanda require a general banking license from the BNR. Although the Bank has such a license, there is no assurance that the Bank will be able to maintain such license or obtain a new license if necessary in the future. Applying for a BNR license may be a burdensome and time-consuming process. The BNR may, in its discretion, impose additional requirements or deny the Bank's request for a license, which would harm the Bank's business and results of operations. The loss or suspension of a BNR license, a breach of the terms of a BNR license by the Bank or the failure to obtain a BNR license in the future would result in cash-flow difficulties and penalties such as fines imposed by the BNR on the Bank, which may, in turn, affect the Bank's ability to fulfil its payment obligations, and would have a material adverse effect on its business, financial condition, results of operations and prospects. If the Bank loses its general banking license, this will result in its inability to perform any banking operations.

Achievability of Financial Projections

The Prospectus contains the Bank's financial projections for 2011. There is a possibility that the Bank may not achieve the projections as stated herein. Prospective investors when referring to the projections should be aware of this possibility and not base their investment decision purely on the projections or give undue consideration on the projections.

Risks Relating to Internal Controls over Financial Reporting

In common with other banks in Rwanda and other African countries, the Bank's current system of internal control over financial reporting was not originally designed for the preparation of IFRS-based financial statements, leading to potential inaccuracies in the production of financial statements under IFRS.

The main weakness of the Bank's current system is that the preparation of the Bank's IFRS-based financial statements is a manual process which involves the transformation and reclassification of the Bank's statutory financial statements into IFRS through accounting adjustments, and requires an ongoing review and update of applicable IFRS and related pronouncements that should be applied to the underlying Rwandan accounting principles transactions. This process is complicated, time-consuming and requires significant attention and time of the Bank's senior accounting personnel.

Management is taking several steps to improve internal controls. These steps include, but are not limited to, hiring additional qualified personnel, increasing training for current personnel, implementing additional information system capabilities to support the IFRS reporting requirements, and attempting to better harmonise the sometimes conflicting requirements of Rwandan regulatory reporting, tax reporting and financial reporting under IFRS.

While management of the Bank believes that the Bank's operational and control systems are sufficient to deal with financial reporting, if the Bank fails to continue its policy to develop its internal control and financial reporting in line with its business growth, it might not be able to accurately and timely report its financial results in the future.

Technological Risks

The Bank's financial performance and its ability to meet its strategic objectives will depend to a significant extent upon the functionality of its information technology systems and the ability of those systems to keep pace with the rapid expansion of the Bank's business operations. Any disruption to the functionality of the Bank's information technology systems, or delays in increasing the capacity of those systems, may lead to delays in the Bank's decision-making processes and risk management procedures or a disruption in the Bank's business activities, any of which could have a material adverse effect on the business, financial condition, results of operations and prospects. Furthermore, the expansion of the Bank's operations and the introduction of new technologies result in correspondingly greater technological risks, as the financial consequences of any failure of equipment, networks or software become more severe.

Risks Related to Money Laundering and /or Terrorist Financing

Although the Bank has implemented a comprehensive anti-money laundering ("AML") and "know-your-customer" ("KYC") policy, monitored by its Compliance Department, and has adhered to all measures required under Rwandan Law No 47/2008 and relevant international legislation aimed at preventing it being used as a vehicle for money laundering, there can be no assurance that these measures will be completely effective. If the Bank in the future fails to comply with timely reporting requirements or other AML regulations and/or is associated with money laundering and/or terrorist financing, its reputation and financial performance may be adversely affected. In addition, involvement in such activities may carry criminal or regulatory fines and sanctions.

RISK FACTORS

Restrictive Covenants

The Bank is party to a number of loan agreements that contain covenants imposing significant operating and financial restrictions on the Bank. These restrictions require the Bank to comply with specified financial ratios and significantly limit, and in some cases prohibit, among other things, the ability of the Bank to incur additional indebtedness, create liens on assets, undertake corporate reorganizations and enter into business combinations. A failure by the Bank to comply with the covenants in its loan agreements would constitute a default under the relevant agreements and could trigger a cross-default under other agreements to which the Bank is a party. In the event of such a default, the Bank's obligations under one or more of these agreements could, under certain circumstances, become immediately due and payable, which would have a material adverse effect on the Bank's business, financial condition, results of operations or prospects.

Unregistered Collateral Risk

Law No. 10/2009 relating to mortgages was enacted on 14 May 2009 repealing the Decree of 15 May 1922 on mortgages as well as all prior legal provisions contrary to it. By this law, there was introduced a requirement to register mortgages in order to confer validity thereof (Article 4). Recognising that prior the law did not require mortgage registration to confer validity, this law provided a period of 2 years for the continued validity of all prior mortgage contracts (Article 26). It however did not specifically provide for the registration of such mortgages. By Law No. 13/2010 Article 26 was modified by Article 4 which provided that all mortgage contracts entered into prior to the commencement of the new law would remain valid until their expiration. It clearly provided for such contracts to be submitted for registration within a year of its enactment. It is however not clear what would happen to such contracts if they do not get registered within the 1 year period which expired on 7 May 2011.

There is lack of clarity on the relationship of such prior mortgages being valid until their expiration and the requirement to have them registered within a year and the question of whether upon such failure they become invalid.

The Bank holds a substantial number of mortgage contracts which have not yet been registered and continues its best efforts to get them registered as quickly as possible. Registration is hampered by various reasons including the unavailability of long-term title documents for properties under development. As such, the collateral of the Bank is at risk should it be determined that failure to register within 1 year would invalidate it. There is also the risk of borrowers in respect of whose borrowing mortgages have not been registered registering prior or equal ranking mortgages which would dilute the collateral value of the Bank even when registered.

The amount of loan lent against collateral which is not registered as of 31 March 2011 constitutes 36.7% percent of the total collateralized loans.

It should be noted however that even where collateral is not given or registered, there remains a contractual obligation to pay.

Risks Associated with the Shares

Equity Investment Risk

Investments in shares held in capital markets are always subject to price fluctuations. There can be no guarantee that the price of the Shares will not fluctuate either upwards or downwards. Furthermore, there can be no guarantee of constant trading in Bank of Kigali Shares. Any future issue of Shares, if made, could also have a material adverse effect on the price of the Shares.

Any changes in withholding or capital gains taxes on dividends may affect the return to the investor.

Settlement of the Offer Shares May Take Longer Than Expected

Applications for Offer Shares will be processed on a manual and semi-automated basis and this process may take longer than expected due to high subscription rates, limited order processing capacity, mechanical breakdown, and delays in opening brokerage accounts and delays in opening CSD accounts and/or clerical error in relation to the foregoing. Accordingly, while the settlement period is expected to be no more 19 days from the date of the close of the Offer, the actual settlement period may be longer.

In the event there will be refunds to Applicants the refunds will be made three weeks after the close of the Offer in the foreign currency specified by the respective applicants. Between the close of the Offer and the time of making the refunds, the Applicants are exposed to fluctuations in foreign currency.

There is no Existing Market for the Bank's Shares and it is Uncertain Whether One Will Develop to Provide Shareholders with Adequate Liquidity

Prior to this Offer, there has not been a public market for Bank of Kigali's Shares. Neither the Bank nor GoR can predict whether investor interest in Bank of Kigali will lead to the development of an active trading market on the RSE or otherwise or how liquid any market that does develop might be. The Offer price for the Bank's Shares has been determined by the Bank after consulting the Lead Transaction Advisor and may not be indicative of prices that will prevail in the secondary market following this Offer.

The Bank May not Pay Dividends in Future

Dividend payments are not guaranteed and the Board of Directors may decide, in its absolute discretion, at any time and for any reason, not to pay dividends or pay dividends at a lower amount than anticipated by Shareholders. The dividends paid by the Bank should not be taken as an indication of future payments.

If the Bank is unable to fulfil its dividend policy, or pay dividends at levels anticipated by potential Shareholders, the market price of the Shares may be negatively affected and the value of any investment in Shares by a shareholder may be reduced.

BANK OF KIGALI

Sit back & relax with
BK SMS banking



From now on, with our SMS banking system, you can:

- Check your account balance
- Request a bank statement
- Request a cheque book
- Transfer funds
- Request electricity voucher (cash power)



Your Trusted Partner in Wealth Creation

PART EIGHT
STATUTORY AND GENERAL INFORMATION

Incorporation and Share Capital

The Bank was incorporated on 22 December 1966 in Kigali, Rwanda. The Bank is registered as a public company.

As of the date of this Prospectus the Bank's Authorised Share Capital is RwF 7,024,600,000 divided into 702,460,000 Shares of a par value of RwF 10.00 each of which the issued share capital is RwF 5,005,000,000 divided into 500,500,000 Shares of a par value of RwF10.00 each.

Shareholders Holding more than 5% of the Issued Shares

Shareholder	Number of Shares	% of Issued Shares	Description of Shareholder
Government of Rwanda	332,002,000	66.33	Government of the Republic of Rwanda
Caisse sociale du Rwanda	168,443,000	33.65	Social Security Fund of Rwanda
TOTAL	500,445,000	99.98	

Source: Bank of Kigali

Properties or Principal Establishments / Land & Fixed Assets

The Bank owns the property on which its head office is situated being Plot No. 6112 in Kigali. It has 33 branches, including full-service flagship branches, service centres and smaller-scale sales outlets around the country with additional four branches which are not yet operational although premises have been acquired. Five additional premises have been acquired for establishment of new branches and agencies.

The properties on which these branches and agencies are situated are either owned by the Bank or leased. The Bank also owns four residential properties in Kigali.

The following are the nine properties owned by the Bank:

No.	Location	Owned Premises
1	Head Quarters & Western Union Desk	Plot No 6112 Kigali
2	Ruhengeri	Plot No 66 Ruhengeri
3	Gisenyi	Plot No 264 Gisenyi
4	Rwamagana	Plot No 56 Rutonde/Kibungo
5	Butare	Plot No 12 Ngoma/Butare
6	Cyangugu Town	Plot No 99 Kamembe/Cyangugu
7	Nyamata (Bugesera)	Plot No 333 Nyamata
8	Kabarore	Plot No 299 Kabarore/Gatsibo
9	Gakenke	Plot No 0097 Gakenke

Source: Bank of Kigali

The following are the 24 premises rented by the Bank:

No.	Location	Rented Premises
1	Kayanza	Plot No. 056/01 Rwamagana/ 5 yr lease/104 sq meters/Rwf 648,648 per month
2	Muhanga (Gitarama)	Plot No. 225 Gitarama/ 3 months advance notice must be given before termination/Rwf 1,000,000 per month. Currently building new premises on Plot No. 70 Village: Rutenga Cell: Gahogo Sector: Nyamabuye District: Muhanga The Bank to occupy new property effective January 2012
3	Nyagatare	Plot No. 1346 Nyagatare/5 yr lease/Rwf 1,500,000 per month
4	Byumba (Gicumbi)	Plot No. 914 Byumba, Gicumbi District/5 yr Lease/Rwf 900,000 per month
5	Kabarondo	Plot No. 2849 Kabarondo-Kayanza/ 5 yr lease/172 sq meters/Rwf 300,000 per month
6	Kabuga	Plot No. 122 Kabuga/5 yr Lease /102 sq meters/ Rwf 695,000 per month
7	Kacyiru (Prester House)	Plot 922 Boulevard de l'Umuganda/5 yr Lease/147 sq meters/US\$1,764 per month
8	Kibungo	Plot 36 Kibungo/5 yr lease/ 91.8 sq meters /Rwf 300,000 per month
9	Kicukiro	Kicukiro Insurance Plaza/ 5 yr Lease /230 sq meters/US\$ 3,450 per month
10	Kimironko	Plot No. 10892/5 yr lease/Rwf 1,400,000 per month
11	Kirehe	Plot No. 36 Kirehe/ 5 yr lease/112.8 sq meters/Rwf 200,000 per month

STATUTORY AND GENERAL INFORMATION

No.	Location	Rented Premises
12	Nyabugogo	Plot No. 5428 Kimisagara, Nyabugogo/ 3 yr Lease /151 sq meters/Rwf 975,000 per month /period elapsed 1 May 2011/Lease Agreement being renewed
13	Town Branch (Nyarugenge)	Plot No. 6197, Nyarugenge/ 5 yr Lease/125 sq meters/Rwf 687,150 per month
14	Remera	Plot No. 4233 Remera/ 7 yr Lease/126.5 sq meters/Rwf 2,596,000 per month
15	Gatuna	3 yr Lease/ the Bank occupies RRA premises at the Rwanda-Uganda Border post/No Rent/ the Bank collects, safeguards, reports and remits Government Fiscal Revenues to RRA treasury Accounts in BNR/ Lease expired on 04/05/2011/lease agreement being renewed
16	Nyamirambo	Plot No. 112 Nyamirambo/ 5 yr Lease/145.3 sq meters/10 USD per sq meter/ US\$1,450 per month
17	Rusumo (Border Post, TZ)	Understanding with the Rwanda Revenue Authority (RRA) on Renting Premises.
18	Musanze Town	Plot No. 496 Musanze/5 yr lease/24 sq meters/Rwf 180,000 per month
19	Rubavu Town (former Gisenyi town)	Plot No. 141/96/GIS, Rubavu/ 5 yr Lease/82 sq meters/Rwf 649,000 per month
20	School of Public Finance (SFB)	7 yr Contract/No Rent. The Bank pays for its electricity & Rent/the Bank provides banking & Financial services to SFB
21	Rwanda Development Board (RDB)	3 yr Contract/12USD per Sq meter per month/62.7 sq meters /US\$ 752.4 per month
22	Hotel des Milles Collines	Permanent the Bank Office Teller at Brussels Airlines at Milles des Mille Collines/the Bank offers cash management services (cashier) to their customer Brussels Airlines/ Agreement signed on 24th/05/2010
23	The Manor (Hotel)	5 yr Lease/71 Sq Meters/ US\$ 15 per Sq meter/ US\$ 1,065 per month
24	Kigali International Airport Kanombe	1 yr Lease/12 sq meters/ US\$ 30/ US\$ 360 per month

Source: Bank of Kigali

A summary of the descriptions of all the properties leased by the Bank is available at the Bank's registered offices for viewing during the Offer Period and has also been deposited with the Registrar General and filed along with a copy of this Prospectus.

Material Contracts and Related Party Transactions

	Name	Date of Contract	Description of the Contract
1.	National Bank of Rwanda	31/12/2009	Master Repurchase Agreement of Securities
2.	BNP Paribas/ Fortis	22/02/2010	Cash Pledge agreement in relation to existing and future trade finance related transactions
3.	Credit Reference Bureau Africa Ltd	3/04/2010	Credit Referencing Services eg credit reports
4.	AFD Credit Facility	04/05/2011	Extension of long term senior loan to the Bank support its medium and long term credit portfolio
5.	African Development Bank	14/08/2010	Mandate Letter relating to provision of line of credit
6.	European Investment Bank	05/10/2009	Sub loan Agreement
7.	Orinux Rwanda SARL	03/03/2010	Technical Support Agreement
8.	Pivot Access	22/07/2009	Maintenance of SMS Banking System
9.	Delta-Bank Maintenance and Technical Support Agreement	01/01/2010	Software Maintenance and Technical Support Agreement
10.	Societe De Interbancaire de Monetique et Tele-compensation Au Rwanda (SIMTEL) S.A	06/10/2010	Certain Services relating to electronic payments systems
11.	Mediterranean Smart Cards Company	27/09/2009	Visa cards, ATMs and POS
12.	ZIPP International Plc	26/03/2010	Issuer License and Service Provider Agreement
13.	S1 Global Limited	16/09/2010	Licence Agreement for Postillion
14.	EFT Corporation Limited	16/09/2010	Work with S1 Global in marketing, implementing and supporting the Switching System implementation for the Bank

Source: Bank of Kigali

Major Lending by the Bank

The Bank has granted loans totalling RwF 105,527 million as at 31 December 2010. Of this RwF 23,039 million is owed by 12 borrowers who each have an outstanding amount of RwF 1 billion and above. Due to the Bank's customer confidentiality obligation, the particulars of these borrowers cannot be included in a public document. However, the list and particulars of these borrowers is available for review and inspection on request and upon signing of a standard non-disclosure agreement.

Loans & Advances as at 31 December 2010

	Number of Customers	Amount RwF millions	%
Over 1 Billion	12	23,039	21.8%
500 Million less 1 billion	14	9,685	9.2%
100 Million less than 500 Million	151	31,019	29.4%
50 Million less than 100 Million	179	12,182	11.5%
0.5 Million less than 50 Million	5,791	28,810	27.3%
Less than 0.5 Million	17,894	792	0.8%
Total	24,041	105,527	100.0%

Loans & Advances as at 31 March 2011

	Number of Customers	Amount RwF millions	%
Over 1 Billion	13	26,963	24.3%
500 Million less 1 billion	22	14,121	12.7%
100 Million less than 500 Million	152	31,514	28.4%
50 Million less than 100 Million	140	9,955	9.0%
0.5 Million less than 50 Million	5,571	26,586	23.9%
Less than 0.5 Million	22,606	1,875	1.7%
Total	28,504	111,014	100.0%

Related Party Transactions

1. The Bank had transactions with shareholders for a total of RwF 11,798 million made up of time and demand deposits as of 31 December 2010 as shown in the table below.

Shareholder	Amount (RwF Millions)
Office National des Postes	273
Caisse Sociale du Rwanda	2,965
RAMA	8,509
Central Government	51
TOTAL	11,798

2. Loans to directors and employees – RwF 1,954 million
3. Loans to shareholders – Nil

Investments by the Bank

As of 31 December 2010, the Bank had invested in the following unquoted securities:

Name	Cost of Investment (RwF Millions)
Banque Rwandaise de Developpement S.A.	22
Banque de l'Habitat du Rwanda S.A.	75
Banque de Développement des Etats de Grands Lacs S.A	5
Magasins Generaux de Rwanda S.A.	5
Société des Transports Internationaux	20
King Faycal Hospital	47
Société de Interbancaire de Monétique et de Telecompensation	166
TOTAL	340

STATUTORY AND GENERAL INFORMATION

Material Litigation & Claims

The Bank is party to various legal proceedings. It has been sued in a total of 28 cases in the last one year. Seven of these have been concluded with five being determined in the Bank's favour. 13 of the suits are employment related claims by former employees who were dismissed; and nine of them were filed by the spouses of loan beneficiaries who oppose the auction of their joint matrimonial property. The remaining seven are liability claims. The employment related claims are estimated at RwF 152 million calculated in accordance with article 33 of the Labour Code which provides maximum damages in case of illegal dismissal being the employee's last salary multiplied by nine. It is estimated that all the cases against the Bank represent a contingent liability of RwF 238 million to the Bank. The Directors do not deem this to be a substantial risk to the financial position of the Bank.

Suits Filed Against the Bank as at April 2011

No.	Names	Court	Nature	Observation
1	MWEMA G François	TGI Nyge	Employment	BK lost but compensation occurred
2	MURABAYIRE NTETE C.	TGI Nyge	Employment	Pending
3	MUSONI wa RWIHIMBA	TGI Nyge	Employment	Pending
4	KANYANDEKWE Cisco	TGI Nyge	Employment	Pending
5	CYUMA Yvonne	TGI Nyge	Employment	Pending
6	BAYINGANA Tharcisse	01/03/11; 14/06/11	Employment	Pending
7	NYIRANDORA	01/03/11; 14/06/11	Employment	Pending
8	MUDENGE	01/03/11; 14/06/11	Employment	Pending
9	BIGIRIMANA	01/03/11; 14/06/11	Employment	Pending
10	UMULISA	01/03/11; 14/06/11	Employment	Pending
11	BUREGEYA	01/03/11; 14/06/11	Employment	Pending
12	SAFARI Jacques	01/03/11; 14/06/11	Liability	Pending
13	GATABAZI Manzi		Liability	Pending
14	MURASAMPONGO Joseph	TC, 25/01/11; 04/02/11; 18/03/11; 19/04/11	Liability	Pending
15	UMUTONI R. Clarisse	TGIMUH	Opposing auction	BK won the case
16	EMBALLAGE Rwanda	TCNYGE	Liability	Pending
17	NYIRABASABOSE Emellienne	TGIMUH	Opposing auction	BK won the case
18	SOFERWA	TCNYGE	Liability	BK won the case
19	MUGANGA Juvenal		Liability	BK won the case
20	MUREKEYISONI Gloriose		Liability	BK won the case
21	NYIRIGIRA Nadia		Opposing auction	Pending
22	Cooperative COAEBU	TGIMUS	Illegal seizure of money	18/01/11; 25/01/11; 25/02/11; BK lost & fined 2.5M Appealed.
23	Gahongayire Winifride	TC	Opposing auction	10/03/11; 24/03/11; 04/04/11; Mortgage contracts nullified
24	Karangwa Martin	TGI/NYGE	Illegal seizure	Ongoing
25	NKAKA Innocent	TGI/NYGE, 16/03/11; 22/06/11	Employment	Pending
26	MUZEYIMANA Melchior	TGI/NYGE 16/03/11; 22/06/11	Employment	Pending
27	MUKAMITALI Chantal		Opposing auction	Pending
28	HANEZERWABAKE Christophe		Opposing auction	Pending

Suits Filed By the Bank as at 30 April 2011

The Bank has filed 144 suits in court in relation to defaulting customers for a total of RwF 6,064 million. The lawyers pursuing the matters on behalf of the Bank report that the case are progressing well and have good prospects.

Lawyer	No. of Files	Total Value RwF Millions	Prospects
Jean Bosco RUSANGANWA	19	773	Good
Emmanuel RUKANGIRA	25	2,644	Good
Leopold MUNDERERE	19	564	Good
Francois Xavier NKURUNZIZA	16	696	Good
Alain NDIBWAMI	15	620	Good

Lawyer	No. of Files	Total Value RwF Millions	Prospects
Athanase RUTABINGWA	11	328	Good
RWABUHIHI Godefroid	7	34	Good
NKUSI Eric	7	91	Good
TWAHIRWA Stephen	8	33	Good
BISERUKA Frank	17	281	Good
Total	144	6,064	Good

Advisors Consents

All the Advisors to the Offer (Lead Transaction Advisor, Legal Advisors, Reporting Accountants, Lead Sponsoring Broker, Co-Sponsoring Broker, Receiving Bank, Share Registrar and Communication Advisors) have given and have not, prior to registration, withdrawn their written consents to act in the capacities stated, and to their names being stated in this Prospectus.

The Reporting Accountants, Ernst & Young (Rwanda) SARL, whose report is included in this Prospectus, have given and have not, prior to registration, withdrawn their written consent to the inclusion of their opinion in the form and context in which it appears.

The Legal Advisors, Mboya and Wangong'u Advocates and RR Associates & Co Advocates whose report is included in this Prospectus, have given and have not, prior to registration, withdrawn their written consent to the inclusion of their opinion in the form and context in which it appears.

Declarations

Except as otherwise disclosed in the Prospectus:

1. No share of the Bank is under option or agreed conditionally or unconditionally to be put under option;
2. No options to purchase any securities of the bank have been granted to or exercised by a Director of the Bank within the year preceding the date of this Prospectus;
3. As at the date of this Prospectus, no payment has been made to any Director of Bank of Kigali in the two years preceding the date of this Prospectus to induce him or qualify him to become a Director or is intended to be paid or given to any promoter;
4. None of the Directors of Bank of Kigali had or have any direct or indirect beneficial interest in the promotion of Bank of Kigali, nor in any property acquired by Bank of Kigali during the two years preceding the date of this Prospectus;
5. There are no material service agreements between the bank or any of its Directors and Employees other than in the ordinary course of business;
6. There are no long term service agreements between the Bank or any of its Directors and Employees other than in the ordinary course of business; and,
7. No Director of the Company has had any interest, direct or indirect, in any property purchased or proposed to be purchased by the Company in the five years prior to the date of this Prospectus.

Further Declarations / Information in respect of Shareholders / Key Management Staff

It is further declared that to the best of the knowledge of the Directors, as of the Prospects date:

1. None of the Directors or key Employees is under any bankruptcy or insolvency proceedings in any courts of law;
2. None of the Directors or key Employees has been convicted in any criminal proceeding; and,
3. None of the Directors or key Employees is the subject of any order, judgment or ruling of any court of competent jurisdiction or regulatory body relating to fraud or dishonesty.

Documents Delivered to the Registrar General

The following documents have been delivered to the Registrar General:

- An application letter to the Registrar General for deposit of the prospectus;
- Proof of payment for deposit of prospectus;
- A letter of approval from the capital market regulatory authority;
- A copy of letter of approval from any other relevant authorities;
- Original copies of all letters of consent;
- A summary of all material contracts disclosed in the Prospectus; and
- Original written authority by directors appointing any agents to sign the prospectus on their behalf.

STATUTORY AND GENERAL INFORMATION

Documents Available for Inspection

Throughout the validity period of this Prospectus, the following documents will be available for inspection by prospective investors without charge at the registered office of the Bank:

- i) A summary of each material contract disclosed in the Prospectus; and
- ii) True copies of all consents required from any person named in the Prospectus.

**PART NINE
PROCEDURES FOR, AND TERMS AND CONDITIONS
OF, APPLICATION AND ALLOTMENT INFORMATION
AND SECONDARY MARKET TRADING PROCEDURES**

Application Procedures

- Persons wishing to apply for the Offer Shares must complete the appropriate Application Form and, if they do not have a CSD account, the CSD 1R form. Such forms must be completed in accordance with the provisions contained in this Prospectus and the instructions set out on the Application Form and physically returned to one of the ASAs listed in Appendix IX of this Prospectus.
- Applications may be made only on the relevant Application Form attached to this Prospectus (whether or not printed as a separate document). Each Application Form must be accompanied by cash, or an Authorised Cheque in RwF, for the full amount payable for the shares applied for. Payment in the prescribed form should be made in favour of any of the banks listed below:

AUTHORISED SELLING AGENTS	ACCOUNT No.
Bank of Kigali Limited	BANK OF KIGALI – IPO Account number: 040-9900735-75
Ecobank Limited	BANK OF KIGALI – IPO Account number: 001 006 38087297 01
KCB	Bank of Kigali Limited –IPO Account Account number: 4400633640
FINA Bank	BK IPO Collection Account Account Number: 2600101054 (Rwanda) Account Number: 1195500024 (Uganda) Account Number: 1164000297 (Kenya)
BCR	BK IPO Payables Account Number: 8888884-16-94
African Alliance Rwanda Limited	African Alliance Rwanda IPO Account Number: 040-0350607-80
Dyer and Blair Investment Bank	Dyer and Blair Client IPO Account Account Number: 040-0352912-59

- The completed Application Form, together with the necessary cash or Authorised Cheque should be submitted to any of the ASAs by 5:00pm on 29 July 2011.
- The ASAs will present all payments in the prescribed forms to the Receiving Bank. Due completion and delivery of an Application Form accompanied by an Authorised Cheque will constitute a warranty that the Authorised Cheque will be honoured on the first presentation. If any Authorised Cheque accompanying an application is dishonoured or not paid on first presentation and the application has already been accepted in whole or part, such acceptance may be rescinded or disqualified, and the Offer Shares comprised therein may be transferred to another Applicant upon such terms and conditions as the Lead Transaction Advisor, and the Issuer and the Vendor see fit. The original Applicant shall be responsible for losses and all costs incurred.
- In the event of a rejection for any of the reasons set out in the rejections policy below, the Application Forms and accompanying cheques shall be returned to the ASA to which the Application Form was submitted for collection by the relevant Applicant.
- Copies of this Prospectus, with the accompanying Application Form and CSD 1R Form, may be obtained from the ASAs.
- Shares must be applied for in multiples of 100 Shares with a minimum of 100 Shares.
- Save in the case of negligence or wilful default on the part of the Issuer or the Vendor, their Advisors or any of the ASAs, neither the Issuer, the Vendor, nor any of the Advisors nor any of the ASAs shall be liable whatsoever should an Application Form, CSD 1R form, and CSD 5R form not be received by the Closing Date by the Receiving Bank.
- Joint applications may be made by individuals but not by other persons.
- Presentation of cheques for payment or receipt of funds transferred shall not amount to the acceptance of any application.
- All alterations on the Application Form, other than the deletion of alternatives, must be authenticated by the full signature of the Applicant or an ASA.
- GoR will not be directly receiving any applications or payments. The Receiving Bank will issue a stamped acknowledgement of any money paid to it.
- Applications sent by any means other than the methods stipulated in this Prospectus will not be accepted.
- Applications once submitted are irrevocable and may not be withdrawn.
- By signing an Application Form, each Applicant:
 - agrees that having had the opportunity to read this Prospectus, it shall be deemed to have had notice of all information and representations concerning the Bank contained herein;
 - confirms that in making such application it is not relying on any information or representation in relation to the Bank other than those contained in this Prospectus and it accordingly agrees that no person responsible solely or jointly for this Prospectus or any part thereof shall have any liability for such other information or representation; and,
 - Authorizes a director of the Bank to sign on behalf of the Applicant any share transfer form required to be signed by a transferee in respect of any Offer Shares that shall have been allocated to the Applicant.
- QIIs and Foreign Investors applying for Offer Shares will be allowed to make payment after allotment of the Offer Shares.

PROCEDURES

The last date of payment for allotted Shares for such Applicants shall be the second day following the announcement of the allotment results.

17. By presenting an Application, each Foreign Investor and QII binds itself to the Issuer and the Vendor to make payment for the Offer Shares allotted to it.
18. If such payment is not made, then the Issuer and the Vendor may allot the Offer Shares to any other Applicant.
19. The ASA receiving cash or an Authorised Cheque will issue the Applicant with a receipt in respect of the same. Receipts which are counterfoils torn from the bottom of the Application Forms will be issued to Applicants.
20. The ASAs and the Receiving Bank are entitled to ask for sufficient identification to verify that the person(s) making the application has authority or capacity to duly complete and sign the Application Form. The ASAs are expected to undertake all Know your Client procedures and activities on nominee accounts as required by law. The Lead Transaction Advisor, the Issuer and the Vendor have the right to demand and be provided with the details of the nominee accounts held by the ASAs to ascertain the eligibility of the Applicant. In default, the Issuer and the Vendor may at its sole discretion treat an application as invalid where the eligibility of the Applicant to apply for the Shares has not been ascertained.
21. Applicants are strongly advised to seek professional advice from either their stock broker or banker before securing any form of financing to participate in this Offer.
22. All bank charges incurred in submitting an Application Form, together with requisite funds, are to be borne by the Applicant.
23. The Issuer and Vendor reserves the right to present all cheques for payment on receipt, to reject any application not in all respects duly completed, and to accept or reject or scale down any application in whole or in part.
24. Companies and/or corporate investors, must state the citizenship of the beneficial shareholders and the total percentage of shareholding attributable to citizens of each country.
25. Every Applicant is required to tick the appropriate box on the Application Form as regards his/her residency and or citizenship status, where applicable.
26. In the case of Employees and Directors, the Application Forms together with the accompanying banker's cheque must be delivered to the human resources department of the Bank for clearance. The Application Forms will subsequently be forwarded to the Receiving Bank.
27. The allocated Offer Shares will be credited directly into the Applicants respective CSD accounts.
28. By signing an Application Form, an Applicant agrees to the transfer of such number of Offer Shares (not exceeding the number applied for) as shall be transferred to the Applicant upon the terms and conditions of this Prospectus and subject to the Bank's Articles of Association, and agrees that the Bank may enter the Applicant's name in the register of members of the Bank.
29. If an Applicant is tax exempt, they will be required to provide a certified copy of the Tax Exemption Certificate.
30. No interest will be paid on monies received in respect of applications for Offer Shares, nor will interest be paid by the Issuer or Vendor on any amounts deposited at the time of application and refunded prior to the Listing date.
31. Applicants will not be charged any commission for the value of Shares applied for by them.
32. In the event of a discrepancy between the number of shares applied for and the value thereof, the Lead Transaction Advisor, the Issuer and the Vendor may, in their discretion, adjust the number of shares to correspond with the value of the Application.

CSD Account

33. CSD Account Opening Procedures during the Offer Period (for Applicants who do not have CSD accounts)
 - a) The Applicants will submit duly completed and signed CSD 1R Form together with a copy of his/its identification document to the ASA. In addition, the Applicant, if an individual, will be required to submit to the ASA two recent color passport size photographs of himself. Where the Applicant is a corporate body, association or other entity, the passport size photographs required will be of all the signatories or directors or officers authorized to give any instructions on the account. The photographs should at no time be more than 5 years old.
 - b) The ASA shall ensure full disclosure of Applicant's relevant information; verify the accuracy thereof and witness the client's signature.
 - c) The ASA will enter its CSD identification code on the CSD 1R Form.
 - d) The ASA will ensure that the duly filled and signed application form is attached to the CSD 1R Form accompanied by a copy of the Applicant's identification document and the photograph (see a) above) before submitting the application documents to the Receiving Bank.
 - e) The Receiving Bank will ensure conformity to the above requirements before accepting any application for processing.
 - f) The ASA will retain copies of identification documents to assist it identify its clients. ASAs must also ensure the safe custody of specimen signatures and the passport size photographs of their Applicants.
34. In the case of joint applications, the joint Applicants should have a CSD account in the name of the joint Applicants.
35. On acceptance of any Application, the Directors will, as soon as possible after the fulfillment of the conditions relating to applications and completion of Application Forms, register the allocated shares in the name of the Applicant concerned.

Application procedure where the purchase is financed by a bank

36. The Applicant visits the financing bank and completes a CSD 5R Form together with the application documents and leaves the documents with the financier for the onward submission to the Receiving Bank or ASA where the Applicant applied for the Shares. The Applicant will also be required to remit the sum of Rwf 5,000 to the financing bank being the pledge processing fee payable to CDSC Rwanda. If the CSD 5R Form is forwarded to the ASA, the ASA shall submit the CSD 5R Form to the Receiving Bank.
37. CDSC Rwanda will before commencement of trading, mark a lien on the Shares as soon as the accounts are opened and credited with Shares.
38. CDSC Rwanda will confirm to all financiers that liens have been marked on the Shares.

Rejections Policy

39. If any Authorized Cheque accompanying an Application is not paid on first presentation and the Application has already been accepted in whole or part, such acceptance may at the option of the Issuer and the Vendor be rescinded and the Offer Shares comprised therein may be transferred to another person upon such terms and conditions as the Issuer and the Vendor deems fit. The entire proceeds of such transfer shall be retained for the account of the Issuer and the Vendor, as the case may be, and the original Applicant shall be responsible for any losses and all costs incurred.
40. The Issuer and the Vendor shall not be under any liability whatsoever should any Application Form fail to be received by an ASA by 5:00pm on 29 July 2011.
41. Applications can be rejected if full value has not been received.
42. Applications may be rejected for the following reasons:
 - a. Missing or illegible name of primary or joint Applicant in any Application Form;
 - b. Missing or incorrect CSD account number;
 - c. Missing or illegible identification number, including corporation registration number, or in the case of Rwandan residents, missing or illegible alien registration number;
 - d. Missing or illegible address (either postal or street address);
 - e. Missing residence and citizenship indicators (for primary Applicant in the case of an individual) or missing residency for tax purposes for corporate investors;
 - f. Insufficient documentation is forwarded including missing tax exemption certificate copies for companies that claim to be tax exempt;
 - g. In the case of nominee applications, incomplete information or lack of declaration from the agent submitting the application;
 - h. Missing or inappropriately signed Application Form including (for manual application only):
 - Primary signature missing from Signature Box 1;
 - Joint signature missing from Signature Box 2 (if applicable);
 - Two directors or a director and company secretary have not signed in the case of a corporate application;
 - i. Number of Offer shares does not comply with the rules as set out in Prospectus;
 - j. Amount as payment for number of Offer Shares Applied for is less than the correct calculated amount;
 - k. Authorised cheque has unauthenticated alterations;
 - l. Cheque is not signed or dated or if amount in figures and words does not tally.

Allotment Policy

43. Responsibility for allotting the Offer Shares lies with Issuer, Vendor and the Lead Transaction Advisor.
44. The allotment policy will be designed according to the pools allocated between the different categories of Domestic and Foreign Investors as follows:
 - a) 27.6% – Retail East Africans;
 - b) 2.4% – Employees and Directors;
 - c) 15% – QII East Africa
 - d) 15% – QII Rwanda
 - e) 40% – International Investors.
45. The Vendor and the Issuer reserve the right to accept or refuse any application in their sole discretion, either in whole or in part, or to accept some applications in full and others in part, or to abate any or all applications in such manner as they may determine. All irregular, incomplete or suspected multiple applications may be rejected.
46. Where valid Applications for Offer Shares received in any pool or sub-pool are equal to or less than the Offer Shares reserved for that pool or sub-pool respectively, the Applicants will be allotted in full the number of the Offer Shares applied for by them. In the event of an under-subscription in the Domestic Pool, the Offer Shares not subscribed for in the Domestic Pool will be

PROCEDURES

allocated to the International Pool and vice versa.

47. If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the Retail East Africans sub-pool, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the sub-pool are fully exhausted. Provided however that Rwandan citizens will be given priority in allotment for up to 60% of the Offer Shares reserved under the Retail East Africans sub-pool.
48. If the total number of Offer Shares applied for is more than the total number of Offer Shares reserved for the QII Rwanda and QII EAC sub-pools, Applicants will be allotted 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 Offer Shares, until all Offer Shares in the particular sub-pool are fully exhausted.
49. Applications in the International Pool will be submitted to the Bookrunner by the Authorized Selling and the Bookrunner will subsequently enter each Application into the institutional book of demand.

The Bookrunner will seek to build a book of demand consisting of a mix of investors who are likely to be long term holders of the securities or providers of liquidity. Some or all the following factors will determine the allocations to each investor:

- investor's price limit, and the level;
- the size of the investor's expressed interest (both absolute and relative to the investor's portfolio or assets under management);
- the behaviour of the investor in, and following, past offerings, if any;
- the investor's interest in, and past dealings in other issuers in the banking industry in emerging markets;
- the extent to which the investor's expressed interest and the size of the allocation requested appears consistent with the investor's expressed investment strategy and objectives and purchasing capacity;
- the timeliness of the investor's indication of interest;
- the nature and level of interest shown by the investor in the issuer and the offering, for example its involvement in roadshows, meetings and valuation discussions and other contact with the issuer;
- the category or description into which the investor falls (e.g. retail fund, tracker fund, emerging markets specialist, industry specialist fund);
- the geographic spread of investors in the book of demand;
- the need to comply with applicable selling restrictions or other relevant legal or regulatory restrictions in each jurisdiction where potential investors are located;
- based on experience, the investor's likely long-term interest in the issuer (whether in the market or potential future offerings);
- any indication or reasonable belief that an investor has exaggerated its indication of interest in anticipation of being scaled back; and
- the desirability of avoiding allocations in inconvenient or uneconomic amounts.

The Bookrunner will prepare an allocation recommendation for the International Pool, in order to create an optimal international shareholder base and promote a favourable aftermarket in the stock. The final decision on allocation of the International Pool will rest with the Issuer and the Vendor.

In the event of an over-subscription in the International Pool and additional Shares not subscribed for in the Domestic Pool are allocated to the International Pool, Applicants in the International Pool will be allotted such increased number of Offer Shares based on their respective initial expressed interest in the bookbuilding (described above).

50. If the results of the subscription for the Offer Shares make the above allotment policy impractical, then an amendment to the allotment policy shall be made with the approval of CMAC, the Issuer and the Vendor, and such amendment will be announced within 24 hours of the grant of such approval.
51. The Vendor and the Issuer reserve the right to accept or refuse any application in their sole discretion, either in whole or in part, or to accept some applications in full and others in part, or to abate any or all applications in such manner as they may determine. Any irregular, incomplete or suspected multiple applications may be rejected.
52. The Lead Transaction Advisor will notify CMAC of the allotment results as approved by the Issuer and the Vendor and announce the same by advertisement in the press within 21 days of the Closing Date.

Refunds Policy

53. In the event of an oversubscription, all Applicants that have not been allotted in full the number of Offer Shares applied for by them will be refunded an amount equivalent to the value of the Offer Shares not allotted. Refunds will be made available to Applicants no later than 14 working days after the announcement of allotment results by way of EFT to the bank account specified in the Application form.
54. Any refunds to East Africans outside of Rwanda and, with the exception of QIIs, will be made by way of EFT in the foreign currency specified by the Applicant on the Application Form, at the cost of the respective Applicant and at the prevailing exchange rate specified by the Receiving Bank at the time of refund.

Foreign Investors

1. The GoR foreign investment policy does not limit or restrict any foreign investor from applying for the shares on Offer. In addition, there are currently no foreign exchange restrictions in Rwanda. There are no restrictions on the number or percentage of shares that may be held by foreign investors in a Company listed on the RSE. Any foreign investor who wishes to apply for shares should obtain guidance from any of the ASAs listed in Appendix IX of this Prospectus, before completion and lodging an Application Form.
2. Foreign investors wishing to buy the Offer Shares may be exposed to foreign exchange risk that may arise from the conversion of a foreign currency into local currency at the prevailing market rate.
3. The distribution of this Prospectus and the making of the Offer in certain jurisdictions is restricted by law. Persons into whose possession this Prospectus may come are required by the GoR, and the Directors, the Bank and the Lead Transaction Advisor to use the information herein purely for the purposes of this Offer. This Prospectus may not be used for or in connection with any offer to, or solicitation by, anyone in any jurisdiction or in any circumstances where such offer or solicitation is not authorized or is unlawful.

Governing Law

This Prospectus and any contract resulting from acceptance of an application to purchase shares of Bank of Kigali shall be governed by and constructed in accordance with Rwandan law and it shall be a term of each such contract that the parties submit to the exclusive jurisdiction of the courts of Rwanda.

Ownership Transfers

Seller

1. All shareholders of the company will have a right to transfer part or all of their Shares to any party by way of selling or authorized private transfers.
2. All private transfers of ownership of shares must be approved by the RSE. All other transfers of ownership of shares must be done through the RSE.
3. All shareholders shall receive a depository statement from the CSD as proof of ownership of shares after allotment by the registrar of the company.
4. A shareholder who intends to sell any of his shares through the RSE must produce proof of identity and proof of ownership to their stockbroker or custodian bank and sign a Sale Order Form.
5. Upon verification of the authenticity of ownership and sufficiency of securities free of any encumbrances, the selling broker offers the shares for sale on the RSE.

Buyer

6. An investor who intends to buy shares on the secondary market shall open a CDS account and make payment for the intended purchase and sign a Purchase Order Form.

The Stock Exchange

7. The RSE has adopted an open outcry method of posting and matching bids and offers for shares.
8. Upon matching of a trade, the trade is captured at the RSE and posted into the CSD system.

The CSD

9. Electronic delivery and settlement will be effected by the CSD on the settlement date (currently on the 5th day after trade).
10. The CSD will issue monthly statements for accounts with activity during the relevant month.

BANK OF KIGALI

Bweb



Home Banking



Your Trusted Partner in Wealth Creation

PART TEN
DIRECTORS' REPORT

We, the Directors of Bank of Kigali, whose names appear on Page 29 of this Prospectus accept responsibility for the information contained in this document and confirm after due enquiry by us that in the period from 31 March 2011, when the last audited accounts of the Bank have been made up, to date:

- a) That the business of the Bank has, in our opinion been satisfactorily maintained;
- b) That in our opinion, no circumstances have arisen since the last audited accounts of the Bank which have materially adversely affected the trading or the value of the assets of the Bank;
- c) That the current assets of the Bank appear in the books at values which are believed to be realisable in the ordinary course of business;
- d) That, other than disclosed herein, there are no material contingent liabilities by reason of any guarantees or indemnities given by the Bank; and
- e) That there have been no material changes since the last audited accounts of the Bank in the published results or any unusual factors adversely affected the performance of the Bank.

Yours faithfully,



CHAIRMAN
Date: 30 June 2011



DIRECTOR
Date: 30 June 2011

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APPENDICES

APPENDIX I
LEGAL OPINION



30 June 2011

The Board of Directors
Bank of Kigali Limited
Avenue de la Paix
P.O. Box 175
Kigali
Rwanda

The Permanent Secretary and Secretary to the Treasury
Ministry of Finance and Economic Planning
Kigali
Rwanda

Dear Sirs,

RE: PUBLIC OFFERING OF 300,304,400 ORDINARY SHARES OF Rwf 10.00 EACH IN BANK OF KIGALI LIMITED BEING OFFER FOR SALE OF 133,467,400 ORDINARY SHARES OF RWANDAN FRANCS TEN (Rwf 10.00) EACH HELD BY THE GOVERNMENT OF RWANDA AND ISSUE OF 166,837,000 NEW SHARES OF RWANDAN FRANCS TEN (Rwf 10.00) EACH IN THE SHARE CAPITAL OF BANK OF KIGALI LIMITED

We, the undersigned, have been instructed to act as legal advisors to Bank of Kigali Limited (**“the Bank”**) and the Government of Rwanda (**GoR**) in relation to the offer for the sale to the public of a total of 300,304,400 ordinary shares in the Bank consisting of 166,837,000 new ordinary shares (**the “New Shares”**) and 133,467,400 (**the “Sale Shares”**), together hereinafter called the **Offer Shares** forming a total of 45% of the issued share capital of the Bank at the price of Rwandan Francs 125.00 each (hereinafter the **“Offer”**) and the subsequent listing of the entire issued share capital of the Bank on the Rwanda Stock Exchange (**“RSE”**).

The legal advisory consortium consisting of the law firms of RR Associates & Co Advocates of Kigali, Rwanda and Mboya & Wangong'u Advocates of Nairobi, Kenya and being firms of advocates of the High Court of Rwanda and the High Court of Kenya respectively, practicing and qualified as such to practice in Rwanda and Kenya respectively and to advise upon the Laws of Rwanda.

Unless otherwise stated or the context otherwise requires, words and terms defined in the Prospectus (**the “Prospectus”**) dated 30 June 2011 and issued in relation to the Offer and to which this Opinion is annexed shall bear the same meaning in this Opinion.

Documents and Records Examined

1. In providing this Opinion for the purposes of the Prospectus we have examined originals or copies of the Certificate of Incorporation of Bank, its Articles of Association in force as at the date of the Prospectus, documents evidencing title to material assets of the Company, material contracts and such other records and documents provided by the Bank as we have considered necessary and appropriate for the purposes of this Opinion. Where applicable, we have also carried out verification searches at public registries.
2. With respect to matters of fact, we have relied on the representations of Bank and its officers and other advisors. For the purposes of this Opinion, we have assumed the following:
 - a) all written information supplied to us by Bank, its officers and advisors is true, accurate and up to date;
 - b) the authenticity of documents submitted as originals, the conformity with the original documents of all documents submitted as copies and the authenticity of the originals of such latter documents;
 - c) the authenticity of all signatures on all documents provided; and
 - d) all licenses, agreements and other relevant documents have been duly authorized, executed and delivered by the parties to those documents other than the Bank.

Opinion

3. In our opinion, based on the information made available to us by Bank and subject to

- a. the foregoing;
- b. paragraph 4 of this Opinion;
- c. any matters set out in the Prospectus;
- d. the reservations set out below; and
- e. any matters not disclosed to us:
 - i. The Bank is a public company limited by shares, duly incorporated in Rwanda and has complied in material respects with the incorporation requirements of the Law No. 07/2009 of 27/04/2009 relating to Companies (the “Companies Law”), with power to execute, deliver and exercise its rights and perform its obligations pursuant to the Offer, and such execution, delivery and performance have been duly authorized by appropriate corporate action;
 - ii. the existing share capital of the Bank has been authorized and (where issued) issued in conformity with all applicable laws and has received all necessary authorizations;
 - iii. the rights and obligations of the Bank, and the GoR as issuer and Vendor of the New Shares and the Sale Shares respectively, as contemplated in the Offer and set out in the Prospectus constitute valid and binding rights and obligations enforceable according to their terms;
 - iv. the transactions contemplated by the Offer and the performance by GoR and the Bank of their respective obligations thereunder will not violate any laws of Rwanda;
 - v. all authorizations, approvals, consents, licenses, exemptions, filings, registrations and notifications with governmental or public bodies or authorities of or in Rwanda required in connection with the Offer have been obtained and given in proper form and are in full force and effect;
 - vi. the Bank has obtained and maintains in proper standing the requisite licenses to operate as a bank in Rwanda;
 - vii. the Bank maintain its statutory books at its registered office;
 - viii. the Bank owns the immovable properties set out in the Prospectus as owned by it and leases for its use the immovable properties stated in the Prospectus as leased by it;
 - ix. save for the contracts specifically disclosed in the Prospectus, the Bank has not entered into any material contracts (within the meaning of Article 29 of the Prospectus Instructions i.e. contracts not entered into in the ordinary course of business carried on by Bank of Kigali) and there is no other agreement or arrangement concerning the Offer other than the contracts for services with the various advisors in the Offer;
 - x. there is no material litigation or arbitration, prosecution or other civil or criminal legal action other than those disclosed in the Prospectus in which the Bank or its Directors as Directors of the Bank are involved which are likely to have a material effect on the Bank and its business; and
 - xi. there are no other material items not mentioned in the Prospectus of which we are aware with regard to the legal status of the Bank and the Offer.

Further Opinion

4. Based upon and subject as aforesaid, and without prejudice to the generality of the foregoing, we are also of the opinion that:
 - a) the Prospectus has been dated in accordance with Article 8 of the Prospectus Instructions;
 - b) a copy of the Prospectus together with the documents required under Article 32 of the Prospectus Instructions have been delivered to the Registrar of Companies for registration, duly signed by every person named in the Prospectus as a Director of the Bank or by his agent duly authorized in writing, and a statement to such effect appears on the face of the Prospectus in accordance with Article 8 of the Prospectus Instructions;
 - c) the Prospectus contains statements made by Ernst & Young (“E&Y”) Certified Public Accountants and by ourselves, all of whom are experts for the purposes of Articles 10 of the Prospectus Instructions. In accordance with Article 25 of the Prospectus Instructions, E&Y and our firms as reporting accountants and the legal advisors respectively, have given and have not before the delivery of this Prospectus for registration, withdrawn our consent to the issue of the Prospectus with the statements by us included in the form and context in which they are included;
 - d) the New Shares shall rank *pari passu* in all respects with the existing Ordinary Shares (including the Sale Shares) in the issued share capital of the Bank, including the right to participate in full in all dividends and/or other distributions declared in respect of such capital;
 - e) application has been duly made to, and permission duly granted by, the Capital Markets Advisory Council in respect of the Offer in accordance with the law;
 - f) in addition to the information required to be included in the Companies Law, the Prospectus includes such information as investors would reasonably require and reasonably expect to find therein for the purpose of making an informed assessment of:-



- i. the assets and liabilities, financial position, profits and losses, and prospects of the issuer of the Offer Shares; and
- ii. the rights attaching to the Offer Shares.

Based on the foregoing, we are of the opinion that the Offer is in material conformity with all applicable laws and has received all necessary authorizations.

Reservations

5. This letter and the opinions given in it are governed by Rwandan law and relate only to Rwandan law as applied by the Rwandan Courts as at today's date. We express no opinion in this letter on the laws of any other jurisdiction.

We as the Legal Advisors confirm that we have given and have not, prior to the date of the Prospectus, withdrawn our written consent to the inclusion in the Prospectus of the legal opinion in the form and context in which it appears.

Yours faithfully,

RR ASSOCIATES & CO ADVOCATES

ARTHUR RUGANGO
PARTNER

MBOYA & WANGONG'U ADVOCATES

PETER M. WAIYAKI
PARTNER

APPENDIX II
REPORTING ACCOUNTANTS' REPORT

30 June 2011

The Directors,
Bank of Kigali Limited
P. O. Box 175
Kigali-Rwanda.

Ladies and Gentlemen,

Reporting Accountants' Report for the Bank of Kigali Initial Public Offer

We report on the financial information set out on pages 101 to 104 which comprises of statements of financial position, income statements, statements of comprehensive income, statements of changes in equity and statements of cash flows for the three years ended 31 December 2008, 2009 and 2010. This financial information has been prepared for inclusion in the prospectus dated 30 June 2011 for the Bank of Kigali Initial Public Offer on the basis of the accounting policies set out on pages 105 to 145. This report is required by Article 28 of the instructions of the Registrar General No. 01/2010/Org of 12/04/ 2010 and is given for the purpose of complying with that item and for no other purpose.

Save for any responsibility arising under the instructions of the Registrar General No. 01/2010/Org of 12/04/ 2010 relating to the form and content of a prospectus to any person as and to the extent there provided, to the fullest extent permitted by law we do not assume any responsibility and will not accept any liability to any other person for any loss suffered by any such other person as a result of, arising out of, or in connection with this report or our statement, required by and given solely for the purposes of complying with Articles 25 and 28 of the instructions of the Registrar General No. 01/2010/Org of 12/04/ 2010 relating to the form and content of a prospectus and is given for the purpose of complying with that item and for no other purpose, consenting to its inclusion in the prospectus.

Responsibilities

The directors of the Bank of Kigali are responsible for preparing financial information in accordance with International Financial Reporting Standards and for the financial statements and information to which this Accountants Report relates and from which it has been prepared. The directors and promoters of the company are responsible for the information contained in the prospectus to be issued on or about 30 June 2011.

Our responsibility is to compile the Accountants Report and carry out certain review procedures on the audited financial statements and state whether anything came to our attention that causes us to believe that the financial statements do not give a true and fair view in accordance with International Financial Reporting Standards.

Our work has not been carried out in accordance with auditing or other standards and practices generally accepted in other jurisdictions and accordingly should not be relied upon as if it had been carried out in accordance with those standards and practices.

Financial Information

The information required under Article 28 of the Instructions of the Registrar General No. 01/2010/Org of 12/04/ 2010 relating to the form and content of a prospectus is set out on pages 101 to 145 of this report. The information has been compiled in accordance with International Standard on Related Services 4410, Engagements to Compile Financial Statements ("ISRS 4410"), from the audited financial statements of Bank of Kigali for the three years ended 31 December 2008, 2009 and 2010. As required by ISRS 4410, we have made inquiries of management about the operations of the Bank and its accounting principles and practices, and have applied that knowledge in compiling the financial statements. We have also applied knowledge obtained from carrying out review procedures on the financial statements, the scope and results of which are reported in the following section.

All the financial statements from which the financial information in this report was compiled received an unqualified audit opinion.

Ernst & Young audited financial statements for the three years ended 31 December 2008, 2009 and 2010.

Review Procedures

We have conducted a review of the audited financial statements of Bank of Kigali Limited for the three years ended 31 December 2008, 2009, and 2010. We conducted our review in accordance with the International Standard on Review Engagements 2400, Engagements to review Financial Statements ("ISRE 2400"). The objective of the review engagement is to enable us state whether, on the basis of the procedures which do not provide all the evidence that would be required in an audit, anything has come to our attention that causes us to believe that the financial statements are not prepared, in all material respects, in accordance with International Financial Reporting Standards. This Standard requires that we plan and perform the review with an attitude of professional scepticism, and to obtain sufficient evidence primarily through inquiry and analytical procedures to be able to draw conclusions.

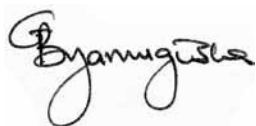
Our review procedures were limited primarily to inquiries of the Bank of Kigali's auditors that we considered necessary, a review of the Bank's accounting policies, analytical procedures applied to financial data and review of other documentation that we considered necessary.

Conclusion

A review carried out in accordance with ISRE 2400 is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion. However, based on our review, nothing has come to our attention that causes us to believe that the audited financial statements of Bank of Kigali Limited for the three years ended 31 December 2010 do not give a true and fair view in accordance with International Financial Reporting Standards.

Consent

We consent to the inclusion of this report in the Bank of Kigali Limited's Prospectus for the Initial Public Offer to be issued on or about 30 June 2011 in the form and context in which it appears.

A handwritten signature in black ink, appearing to read 'Byamugisha', positioned above a horizontal line.

Ernst & Young (Rwanda) Sarl
Certified Public Accountants
Kigali, Rwanda

BANK OF KIGALI LIMITED
STATEMENTS OF FINANCIAL POSITION
FOR THE THREE YEARS ENDED 31 DECEMBER 2008 – 2010

		As at 31 December		
		2010	2009	2008
	Note	RwF'000	RwF'000	RwF'000
Assets				
Cash in hand	3	6,881,845	4,623,520	3,817,445
Cash and balances with central banks	4	22,562,505	19,099,158	6,183,850
Due from banks	5	38,452,178	28,754,599	25,050,666
Loans and advances to customers	6	101,402,657	77,095,866	72,094,224
Financial Instruments-available-for sale	7	268,375	315,108	315,108
Financial investments – held-to-maturity	8	5,224,395	12,312,906	4,494,583
Other assets	9	4,390,670	3,277,799	3,218,892
Intangible assets	10	180,604	16,892	13,069
Property and equipment	11	18,313,417	6,375,155	5,558,552
Total assets		197,676,646	151,871,003	120,746,389
Liabilities and equity				
Customer deposits	12	135,677,746	109,482,804	93,838,479
Due to banks	13	18,920,636	15,103,987	7,299,453
Tax payable	24 (a)	496,815	1,036,637	1,032,867
Other payables	14	6,822,397	4,369,863	2,104,379
Provisions	15	18,728	18,728	18,728
Deferred tax liabilities	25	3,870,437	674,739	555,201
Total liabilities		165,806,759	130,686,758	104,849,107
Equity attributable to equity holders				
Share capital	16 (a)	5,005,000	5,005,000	5,005,000
Revaluation reserve	16 (b)	7,150,542	-	-
Other capital reserve	16 (c)	13,535,763	10,892,282	5,237,925
Retained earnings	16 (d)	6,178,582	5,286,963	5,654,357
		31,869,887	21,184,245	15,897,282
Total liabilities and equity		197,676,646	151,871,003	120,746,389

BANK OF KIGALI LIMITED

INCOME STATEMENTS FOR THREE YEARS ENDED 31 DECEMBER 2008 - 2010

		As at 31 December		
		2010	2009	2008
	Note	RwF'000	RwF'000	RwF'000
Interest and similar income	17	16,393,351	13,606,856	11,037,966
Interest and similar expense	18	(4,182,666)	(3,409,474)	(1,859,931)
Net interest income		12,210,685	10,197,382	9,178,035
Fee and commissions	19	2,997,420	1,869,133	1,590,139
Foreign exchange gain	20	5,247,543	3,335,299	2,584,758
Other income	21	691,381	598,649	821,076
Total operating income		21,147,029	16,000,463	14,174,008
Impairment losses on financial assets	6 (d)	(2,376,281)	(1,500,046)	(255,147)
Impairment losses on available for sale investments	8 (b)	(46,733)	-	-
Net operating income		18,724,015	14,500,417	13,918,861
Personnel expenses	22	(5,038,341)	(3,055,815)	(2,501,087)
Depreciation of property and equipment	11 (c)	(1,357,181)	(886,506)	(736,434)
Amortisation of intangible assets	10	(180,602)	(16,892)	(13,069)
Other operating expenses	23	(3,466,499)	(3,099,306)	(2,422,738)
Total operating expenses		(10,042,623)	(7,058,519)	(5,673,328)
Profit before tax		8,681,392	7,441,898	8,245,533
Income tax expense	24 (b)	(2,502,810)	(2,154,935)	(2,591,176)
Profit for the year		6,178,582	5,286,963	5,654,357
Earnings per share	27			
Basic earnings per share		135.79	116.19	124.27
Diluted earnings per share		135.79	116.19	124.27

BANK OF KIGALI LIMITED

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE THREE YEARS ENDED 31 DECEMBER 2008 - 2010

		As at 31 December		
		2010	2009	2008
	Note	RwF'000	RwF'000	RwF'000
Profit for the year		6,178,582	5,286,963	5,654,357
Other comprehensive income net of taxes	26	7,150,542	-	-
Total comprehensive income for the year net of tax		13,329,124	5,286,963	5,654,357

BANK OF KIGALI LIMITED
STATEMENTS OF CHANGES IN EQUITY
FOR THE THREE YEARS ENDED 31 DECEMBER 2008 - 2010

	Share Capital	Legal reserves	Special reserves	Retained earnings	Others reserves	Revaluation surplus	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
At 1 January 2010	5,005,000	2,272,254	2,357,488	5,286,963	6,262,540	-	21,184,245
Appropriation of retained profits	-	528,636	528,636	(2,643,481)	1,586,209		
Total comprehensive income:							
Other comprehensive income	-	-	-	-	-	7,150,542	7,150,542
Profit for the year	-	-	-	6,178,582	-		6,178,582
Dividends paid (Note 28)	-	-	-	(2,643,482)	-	-	(2,643,482)
At 31 December 2010	5,005,000	2,800,890	2,886,124	6,178,582	7,848,749	7,150,542	31,869,887
At 1 January 2009	5,005,000	1,706,854	1,792,088	5,654,357	1,738,983		15,897,282
Appropriation of retained profits	-	565,400	565,400	(5,654,357)	4,523,557	-	-
Total comprehensive income:							
Other comprehensive income	-	-	-	-	-	-	-
Profit for the year	-	-	-	5,286,963	-	-	5,286,963
At 31 December 2009	5,005,000	2,272,254	2,357,488	5,286,963	6,262,540	-	21,184,245
At 1 January 2008	5,005,000	1,279,854	1,365,088	4,266,248	886,474	-	12,802,664
Appropriation of retained profits	-	427,000	427,000	(1,706,509)	852,509	-	-
Total comprehensive income	-	-	-	-	-	-	-
Other comprehensive income	-	-	-	-	-	-	-
Profit for the year	-	-	-	5,654,357	-	-	5,654,357
Dividends paid (Note 28)	-	-	-	(2,559,739)	-	-	(2,559,739)
At 31 December 2008	5,005,000	1,706,854	1,792,088	5,654,357	1,738,983	-	15,897,282

BANK OF KIGALI LIMITED
STATEMENTS OF CASH FLOWS
FOR THE THREE YEARS ENDED 31 DECEMBER 2008 - 2010

		Year ended 31 December		
	Note	2010	2009	2008
		RwF'000	RwF'000	RwF'000
Operating activities				
Profit before tax		8,681,392	7,441,898	8,245,533
Adjustment for:				
Depreciation	11	1,357,181	886,506	736,434
Amortisation of intangible assets		180,602	16,892	13,069
Dividends received	21	(10,477)	-	(48,576)
Reversal of impairment on equity investment		-	-	(166,400)
Provision on available for sale investments	8 (b)	46,733	-	-
Cash flows generated from operating activities before working capital changes		10,255,431	8,345,296	8,780,060
Loans and advances to customers		(24,306,791)	(5,001,642)	(23,435,456)
Other assets		(1,112,872)	(58,907)	(100,943)
Customer deposits		26,194,942	15,644,325	(8,014,183)
Other accounts payable		2,452,534	2,265,484	1,020,948
Cash flows generated from operating activities		13,483,244	21,194,556	(21,749,574)
Income taxes paid	24	(2,911,452)	(2,031,627)	(2,211,019)
Net cash flows generated from operating activities		10,571,792	19,162,929	(23,960,593)
Investing activities				
Purchase of property and equipment		(3,080,383)	(1,703,109)	(1,059,962)
Purchase of intangible assets		(344,313)	(20,715)	(8,084)
Sale/(purchase) of held-to-maturity investments		7,088,511	(7,818,323)	21,584,442
Dividends received	21	10,477	-	48,576
Net cash flows from/(used in) investing activities		3,674,292	(9,542,147)	20,564,972
Financing activities				
Dividends paid	28	(2,643,482)	-	(2,559,739)
Net cash flows from/(used in) financing activities		(2,643,482)	-	(2,559,739)
Net increase in cash and cash equivalents		11,602,602	9,620,782	(5,955,360)
Cash and cash equivalents at 1 January		37,373,290	27,752,508	33,707,868
Cash and cash equivalents at 31 December	29	48,975,892	37,373,290	27,752,508

1. General information

Bank of Kigali is a financial institution licensed to provide corporate and retail banking services to corporate, small and medium size enterprises and retail customers in various parts of Rwanda. The principal activities of the bank are:

- Retail banking – Individual customers’ deposits and consumer loans, overdrafts, and funds transfer facilities.
- Corporate banking – Loans and other credit facilities and deposit and current accounts for corporate and institutional customers.

The Bank is a limited liability company incorporated and domiciled in Rwanda. The Bank’s registered office is Bank of Kigali, Avenue de la Paix, Kigali – Rwanda.

2. Accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of Preparation

The financial statements have been prepared on a historical cost basis, except for certain financial instruments (for available-for-sale investments, other financial assets and liabilities held for trading, financial assets and liabilities designated at fair value through profit or loss) that have been measured at fair value. The financial statements are presented in Rwandan Francs (RwF) and all values are rounded to the nearest thousand (RwF ‘000) except when otherwise indicated.

Statement of compliance

The financial statements of the Bank have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB).

Presentation of financial statements

The bank presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the statement of financial position date (current) and more than 12 months after the statement of financial position date (non- current) is presented in Note 34.

2.2 Significant accounting judgments, estimates and assumptions

In the process of applying the Bank’s accounting policies, management has exercised judgment and estimates in determining the amounts recognised in the financial statements. The most significant uses of judgment and estimates are as follows:

Going concern

The Bank’s management has made an assessment of the Bank’s ability to continue as a going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the Bank’s ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but where observable market data are not available, judgment is required to establish fair values. The judgments include considerations of liquidity and model inputs such as volatility for longer dated derivatives and discount rates, prepayment rates and default rate assumptions for asset backed securities.

The valuation of financial instruments is described in more detail in Note 2.4 (f)

Impairment losses on loans and advances

The Bank reviews its individually significant loans and advances at each statement of financial position date to assess whether an impairment loss should be recorded in profit or loss. In particular, judgment by management is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. In estimating these cash flows, the Bank makes judgments about the borrower’s financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence but whose effects are not yet evident. The collective assessment takes account of data from the loan portfolio (such as credit quality, levels of arrears, credit utilisation, loan to collateral ratios etc.), concentrations of risks and economic data (including levels of unemployment, real estate prices indices, country risk and the performance of different individual groups).

In addition to the measurement of impairment losses on loans and advances in accordance with International Financial Reporting Standards as set out above, the Bank is also required by the National Bank of Rwanda (BNR) Instruction No. 03/2000 to estimate losses on loans and advances as follows:

- i. A specific provision for those loans and advances considered to be non-performing based on criteria and classification of such loans and advances established by the National Bank of Rwanda.

The Bank has made provisions for impairment in accordance with the National Bank of Rwanda Instruction No. 03/2000 as follows:

Class	Minimum provisions required
Normal (between 31-60 days)	0%
Watch list (between 61- 90 days)	0%
Substandard (between 90-180 days)	20%
Doubtful (between 180-360 days)	50%
Loss (over 360 days)	100%

In addition to the arrears period, banks must follow subjective criteria in arriving at the classification attributable to the assets.

Impairment of available-for-sale investments

The Bank reviews its debt securities classified as available-for-sale investments at each reporting date to assess whether they are impaired. This requires similar judgment as applied to the individual assessment of loans and advances.

The Bank also records impairment charges on available-for-sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Bank evaluates, among other factors, historical share price movements and duration and extent to which the fair value of an investment is less than its cost.

Impairment loss on loans and advances is disclosed in more detail in Note 6.

Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

2.3 Changes in accounting policies and disclosures

New and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial years.

Amendments resulting from Improvements to IFRSs to the following standards did not have any impact on the accounting policies, financial position or performance of the Bank.

- IFRS 2 Share-based payment: Group Cash-settled Share-based Payment transactions effective 1 January 2010
- IFRS 3 Business Combinations (Revised) and IAS 27 Consolidated and Separate Financial Statements (Amended) effective 1 July 2009, including consequential amendments to IFRS 2, IFRS 5, IFRS 7, IAS 7, IAS 21, IAS 28, IAS 31 and IAS 39.
- IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedged Items effective 1 July 2009
- IFRIC 17 Distribution of Non – Cash Assets to Owners effective 1 July 2009
- IFRIC 18, 'Transfers of assets from customers'

- Improvements to IFRSs - Issued in May 2008
- Improvements to IFRSs - Issued in April 2009

The adoption of the standards or interpretations is described below:

IFRS 2 Share-based Payment (Revised)

The IASB issued an amendment to IFRS 2 that clarified the scope and the accounting for Bank cash-settled share-based payment transactions. The standard is not relevant to the Bank and did not impact on the financial position or performance of the Bank.

IFRS 3 Business Combinations (Revised) and IAS 27 Consolidated and Separate Financial Statements (Amended)

IFRS 3 (Revised) introduces significant changes in the accounting for business combinations occurring after becoming effective. Changes affect the valuation of non-controlling interest, the accounting for transaction costs, the initial recognition and subsequent measurement of a contingent consideration and business combinations achieved in stages. These changes will impact the amount of goodwill recognised, the reported results in the period that an acquisition occurs and future reported results.

IAS 27 (Amended) requires that a change in the ownership interest of a subsidiary (without loss of control) is accounted for as a transaction with owners in their capacity as owners. Therefore, such transactions will no longer give rise to goodwill, nor will it give rise to a gain or loss. Furthermore, the amended standard changes the accounting for losses incurred by the subsidiary as well as the loss of control of a subsidiary. The changes by IFRS 3 (Revised) and IAS 27 (Amended) affect acquisitions or loss of control of subsidiaries and transactions with non-controlling interests after 1 January 2010.

IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedged Items

The amendment clarifies that an entity is permitted to designate a portion of the fair value changes or cash flow variability of a financial instrument as a hedged item. This also covers the designation of inflation as a hedged risk or portion in particular situations. The Bank has concluded that the amendment did not have any impact on the financial position or performance of the Bank, as the Bank has not entered into any such hedges.

IFRIC 17 Distribution of Non-cash Assets to Owners

This interpretation provides guidance on accounting for arrangements whereby an entity distributes non-cash assets to shareholders either as a distribution of reserves or as dividends. The interpretation has no effect on either, the financial position nor the performance of the Bank.

IFRIC 18, ‘Transfers of assets from customers’

IFRIC 18 was issued in January 2009. It clarifies how to account for transfers of items of property, plant and equipment by entities that receive such transfers from their customers. The interpretation also applies to agreements in which an entity receives cash from a customer when that amount of cash must be used only to construct or acquire an item of property, plant and equipment, and the entity must then use that item to provide the customer with ongoing access to supply of goods and/or services. The Bank is not impacted by applying IFRIC 18.

Improvements to IFRSs

In May 2008 and April 2009, the IASB issued omnibus of amendments to its standards, primarily with a view to removing inconsistencies and clarifying wording. There are separate transitional provisions for each standard. The adoption of the following amendments where relevant resulted in changes to accounting policies but did not have any impact on the financial position or performance of the Bank.

Issued in May 2008

- IFRS 5 Non-current Assets Held for Sale and Discontinued Operations: clarifies that when a subsidiary is classified as held for sale, all its assets and liabilities are classified as held for sale, even when the entity remains a non-controlling interest after the sale transaction. The amendment is applied prospectively and has no impact on the financial position nor financial performance of the Bank.

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Issued in April 2009

- IFRS 5 Non-current Assets Held for Sale and Discontinued Operations: clarifies that the disclosures required in respect of non-current assets and groups classified as held for sale or discontinued operations are only those set out in IFRS 5. The disclosure requirements of other IFRSs only apply if specifically required for such non-current assets or discontinued operations. The standard is not relevant to the Bank and did not impact on the financial position or performance of the Bank.
- IFRS 8 Operating Segments: clarifies that segment assets and liabilities need only be reported when those assets and liabilities are included in measures that are used by the chief operating decision maker. The standard is not relevant to the Bank as the Bank has not identified reportable operating segments.
- IAS 7 Statement of Cash Flows: States that only expenditure that results in recognising an asset can be classified as a cash flow from investing activities. This amendment will impact amongst others, the presentation in the statement of cash flows of the contingent consideration on the business combination completed in 2010 upon cash settlement.
- IAS 36 Impairment of Assets: The amendment clarifies that the largest unit permitted for allocating goodwill, acquired in a business combination, is the operating segment as defined in IFRS 8 before aggregation for reporting purposes. The amendment has no impact on the Bank as the annual impairment test is performed before aggregation.

Other amendments resulting from Improvements to IFRSs to the following standards did not have any impact on the accounting policies, financial position or performance of the Bank:

- IFRS 2 Share-based Payment
- IAS 1 Presentation of Financial Statements
- IAS 17 Leases
- IAS 34 Interim Financial Reporting
- IAS 38 Intangible Assets
- IAS 39 Financial Instruments: Recognition and Measurement
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 16 Hedge of a Net Investment in a Foreign Operation

Standards issued but not yet effective

The following standards have been issued but are not yet effective up to issuance of the Bank's financial statements. The Bank intends to adopt them when they become effective.

IAS 24 Related Party Disclosures (Amendment)

The amended standard is effective for annual periods beginning on or after 1 January 2011. It clarified the definition of a related party to simplify the identification of such relationships and to eliminate inconsistencies in its application. The revised standard introduces a partial exemption of disclosure requirements for government related entities. The Bank does not expect any impact on its financial position or performance.

IAS 32 Financial Instruments: Presentation – Classification of rights issues

The amendment to IAS 32 is effective for annual periods beginning on or after 1 February 2010 and amended the definition of a financial liability in order to classify rights issues (and certain options or warrants) as equity instruments in cases where such rights are given pro rata to all the existing owners of the same class of an entity's non derivative equity instruments or to acquire a fixed number of the entity's own equity instruments for a fixed amount in any currency. This amendment will have no impact on the Bank after initial application.

IFRS 9 Financial instruments: Classification and measurement

IFRS 9 as issued reflects the first phase of the IASBs work on the replacement of IAS 39 and applies to classification and measurement of financial assets and liabilities as defined in IAS 39. The standard is effective for annual periods beginning on or after 1 January 2013. In subsequent phases, the Board will address impairment and hedge accounting. The completion of this project is expected to complete in mid 2011. The adoption of the first phase of IFRS 9 will primarily have an effect on the classification and measurement of the Bank's financial assets. The Bank is currently assessing the impact of adopting IFRS 9, however, the impact of adoption depends on the assets held by the Bank at the date of adoption, and it is not practical to quantify the effect.

IFRIC 14 Prepayments of minimum funding requirements (amendment)

The amendment to IFRIC 14 is effective for annual periods beginning on or after 1 January 2011 with retrospective application. The amendment provides guidance on assessing the recoverable amount of a net pension asset. The amendment permits an entity to treat the prepayment of a minimum funding requirement as an asset. The amendment is expected to have no impact on the financial statements of the Bank.

IFRIC 19 Extinguishing Financial Liabilities with Equity instruments

IFRIC 19 is effective for annual periods beginning on or after 1 July 2010. The interpretation clarifies that equity instruments issued to a creator to extinguish a financial liability qualify as consideration period. The equity instruments issued are measured at their fair value. In case this cannot be reliably measured, they are measured at the fair value of the liability extinguished. Any gain or loss is recognised immediately in profit or loss. The adoption of this interpretation will have no effect on the financial statements of the Bank.

Improvements to IFRS (Issued in May 2010)

The IASB issued improvements to IFRSs, an omnibus of amendments to its IFRS standards. The amendments have not been adopted as they became effective for annual periods beginning on or after either 1 July 2010 or 1 January 2011.

The amendments are listed below.

- IFRS 3 Business Combinations
- IFRS 7 Financial Instruments: Disclosures
- IAS 1 Presentation of Financial Statements
- IAS 27 Consolidated and Separate Financial Statements
- IFRIC 13 Customer Loyalty Programmes

The Bank, however, expects no impact from the adoption of the amendments on its financial position or performance.

2.4 Summary of Significant Accounting Policies

a) Foreign currency translation

The financial statements are presented in Rwandan Franc (RwF).

Transactions in foreign currencies are initially recorded at the functional currency rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange at the reporting date. All differences arising on non-trading activities are taken to 'Other operating income' in the statement of other comprehensive income, with the exception of differences on foreign currency borrowings that provide an effective hedge against a net investment in a foreign entity. These differences are taken directly to equity until the disposal of the net investment, at which time they are recognised in profit or loss. Tax charges and credits attributable to exchange differences on those borrowings are also recorded in equity.

b) Financial instruments – initial recognition and subsequent measurement

(i) Date of recognition

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Bank becomes a party to the contractual provisions of the instrument. This includes "regular way trades": purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on the purpose and the management's intention for which the financial instruments were acquired and their characteristics. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

(iii) Derivatives recorded at fair value through profit or loss

The Bank uses derivatives such as interest rate swaps and futures, credit default swaps, cross currency swaps, forward foreign exchange contracts and options on interest rates, foreign currencies and equities.

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Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. Changes in the fair value of derivatives are included in profit or loss.

Derivatives embedded in other financial instruments, such as the conversion option in an acquired convertible bond, are treated as separate derivatives and recorded at fair value if their economic characteristics and risks are not closely related to those of the host contract, and the host contract is not itself held-for-trading or designated at fair value through profit or loss. The embedded derivatives separated from the host are carried at fair value in the trading portfolio with changes in fair value recognised in profit or loss.

The Bank did not have derivatives recorded at fair values through profit or loss for the three years (2008 to 2010).

(iv) Financial assets or financial liabilities held-for-trading

Financial assets or financial liabilities held-for-trading are recorded in the statement of financial position at fair value. Changes in fair value are recognised in other operating income. Interest and dividend income or expense is recorded in net operating income according to the terms of the contract, or when the right to the payment has been established.

Included in this classification are debt securities, equities and short positions and customer loans which have been acquired principally for the purpose of selling or repurchasing in the near term.

The Bank had no financial assets and liabilities held-for-trading for the three years (2008 to 2010).

(v) Financial assets and financial liabilities designated at fair value through profit or loss

Financial assets and financial liabilities classified in this category are those that have been designated by management on initial recognition. Management may only designate an instrument at fair value through profit or loss upon initial recognition when the following criteria are met, and designation is determined on an instrument by instrument basis:

- The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis; or
- The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; or
- The financial instrument contains one or more embedded derivatives which significantly modify the cash flows that otherwise would be required by the contract.

Financial assets and financial liabilities at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit or loss. Interest earned or incurred is accrued in 'Interest and similar income' or 'Interest and similar expense', respectively, using the effective interest rate (EIR), while dividend income is recorded in 'Other income' when the right to the payment has been established.

Included in this classification are loans and advances to customers which are economically hedged by credit derivatives and do not qualify for hedge accounting, as well as notes issued which are managed on a fair value basis.

(vi) Available-for-sale financial investments

Available-for-sale investments include equity and debt securities. Equity investments classified as available-for sale are those which are neither classified as held-for-trading nor designated at fair value through profit or loss.

Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value. Unrealised gains and losses are recognised directly in other comprehensive Income and accumulated in equity. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recognised through other comprehensive income into profit or loss in 'Other income'. Where the Bank holds more than one investment in the same security they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available-for-sale financial investments is reported as interest income using the EIR. Dividends earned whilst holding available-for sale financial investments are recognised in profit or loss as 'Other income' when the right of the payment has been established. The losses arising from impairment of such investments are recognised in profit or loss in 'Impairment loss on financial assets and removed from the 'Available-for-sale reserve'. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognized directly in other comprehensive income.

The Bank's available for sale investments for the three years (2006 to 2010) are disclosed in note 8.

(vii) Held-to-maturity financial investments

Held-to-maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the Bank has the intention and ability to hold to maturity. After initial measurement, held-to-maturity financial investments are subsequently measured at amortised cost using the EIR, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest and similar income' in profit and loss. The losses arising from impairment of such investments are recognised in profit or loss line 'Impairment loss on financial assets'.

If the Bank were to sell or reclassify more than an insignificant amount of held-to-maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available-for-sale. Furthermore, the Bank would be prohibited from classifying any financial asset as held to maturity during the following two years.

The Bank's held to maturity financial investments for the three years (2008 to 2010) are disclosed in Note 7.

(viii) Due from banks and loans and advances to customers

Due from banks include 'Cash balances with the National Bank of Rwanda' and 'Placements and balances with other banking institutions'. Due from banks and 'Loans and advances to customers', include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the Bank intends to sell immediately or in the near term and those that the Bank upon initial recognition designates at fair value through profit or loss;
- Those that the Bank, upon initial recognition, designates as available-for-sale; or
- Those for which the Bank may not recover substantially all of its initial investment, other than because of credit deterioration.

After initial measurement, amounts due from banks and 'Loans and advances to customers' are subsequently measured at amortised cost using the EIR, less allowance for impairment.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR.

The amortisation is included in 'Interest and similar income' in profit or loss. The losses arising from impairment are recognised in profit or loss in 'Impairment loss on financial assets'.

Due from banks and loans and advances to customers

The Bank may enter into certain lending commitments where the loan, on drawdown, is expected to be classified as held-for-trading because the intent is to sell the loans in the short term. These commitments to lend are recorded as derivatives and measured at fair value through profit or loss.

Where the loan, on drawdown, is expected to be retained by the Bank, and not sold in the short term, the commitment is recorded only when the commitment is an onerous contract and it is likely to give rise to a loss (for example, due to a counterparty credit event).

(ix) Customer deposits and deposits and balances with other banks and financial institutions

Financial instruments or their components issued by the Bank, which are not designated at fair value through profit or loss, are classified as liabilities under 'Customer deposits' and 'deposits and balances with other banks and financial institutions', where the substance of the contractual arrangement results in the Bank having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

After initial measurement, debt issued and other borrowings are subsequently measured at amortised cost using the EIR. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR.

A compound financial instrument which contains both a liability and an equity component is separated at the issue date. A portion of the net proceeds of the instrument is allocated to the debt component on the date of issue based on its fair value (which is generally determined based on the quoted market prices for similar debt instruments). The equity component

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is assigned the residual amount after deducting from the fair value of the instrument as a whole the amount separately determined for the debt component. The value of any derivative features (such as a call option) embedded in the compound financial instrument other than the equity component is included in the debt component.

(x) Reclassification of financial assets

Effective from 1 July 2008, the Bank may reclassify, in certain circumstances, non-derivative financial assets out of the 'Held-for-trading' category and into the 'Available-for-sale', 'Loans and receivables', or 'Held-to-maturity' categories. From this date it may also reclassify, in certain circumstances, financial instruments out of the 'Available-for-sale' category and into the 'Loans and receivables' category. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost.

The Bank may reclassify a non-derivative trading asset out of the 'Held-for-trading' category and into the 'Loans and receivables' category if it meets the definition of loans and receivables and the Bank has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Bank subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

For a financial asset reclassified out of the 'Available-for-sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired then the amount recorded in equity is recycled to income statement.

Reclassification is at the election of management, and is determined on an instrument by instrument basis. The Bank does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition.

The Bank did not reclassify its financial assets during the years for the three years (2008 to 2010).

c) Derecognition of financial assets and financial liabilities

(i) Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired; or
- The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - the Bank has transferred substantially all the risks and rewards of the asset, or
 - The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

(ii) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

d) Repurchase and reverse repurchase agreements

Securities sold under agreements to repurchase at a specified future date are not derecognised from the statement

of financial position as the Bank retains substantially all the risks and rewards of ownership. The corresponding cash received is recognised in the statement of financial position as an asset with a corresponding obligation to return it, including accrued interest as a liability, reflecting the transaction's economic substance as a loan to the Bank. The difference between the sale and repurchase prices is treated as interest expense and is accrued over the life of agreement using the EIR. When the counterparty has the right to sell or repledge the securities.

Conversely, securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded in the statement of financial position, reflecting the transaction's economic substance as a loan by the Bank. The difference between the purchase and resale prices is recorded in 'Net interest income' and is accrued over the life of the agreement using the EIR.

If securities purchased under agreement to resell are subsequently sold to third parties, the obligation to return the securities is recorded as a short sale within 'Financial liabilities held-for-trading' and measured at fair value with any gains or losses included in profit or loss.

e) Securities lending and borrowing

Securities lending and borrowing transactions are usually collateralised by securities or cash. The transfer of the securities to counterparties is only reflected on the statement of financial position if the risks and rewards of ownership are also transferred. Cash advanced or received as collateral is recorded as an asset or liability.

Securities borrowed are not recognised on the statement of financial position, unless they are then sold to third parties, in which case the obligation to return the securities is recorded as a trading liability and measured at fair value with any gains or losses included in profit or loss.

f) Determination of fair value

The fair value for financial instruments traded in active markets at the statement of financial position date is based on their quoted market price or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

For all other financial instruments not traded in an active market, the fair value is determined by using appropriate valuation techniques. Valuation techniques include the discounted cash flow method, comparison to similar instruments for which market observable prices exist, options pricing models, credit models and other relevant valuation models.

g) Impairment of financial assets

The Bank assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment may include indications that the borrower or a group of borrowers are experiencing significant financial difficulty, the probability that they will enter bankruptcy or other financial reorganisation, default or delinquency in interest or principal payments and where observable data indicates that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

(i) Financial assets carried at amortised cost

For financial assets carried at amortised cost (such as placements and balances with other banking institutions, loans and advances to customers as well as held-to-maturity investments), the Bank first assesses individually whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Bank determines that no objective evidence of impairment exists for an individually assessed financial asset, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets' carrying amount and the present value of estimated future cash flows (excluding future

expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest and similar income'. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realised or has been transferred to the Bank. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a future write-off is later recovered, the recovery is credited to the 'Impairment loss on financial assets'.

The present value of the estimated future cash flows is discounted at the financial asset's original EIR. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current EIR. If the Bank has reclassified trading assets to loans and advances, the discount rate for measuring any impairment loss is the new EIR (Refer Note 2.4(b) (x) above) determined at the reclassification date. The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For the purpose of a collective evaluation of impairment, financial assets are grouped on the basis of the Bank's internal credit grading system, that considers credit risk characteristics such as asset type, industry, geographical location, collateral type, past-due status and other relevant factors.

Future cash flows on a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently. Estimates of changes in future cash flows reflect, and are directionally consistent with, changes in related observable data from year to year (such as changes in unemployment rates, property prices, commodity prices, payment status, or other factors that are indicative of incurred losses in the group and their magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

See Note 6 for an analysis of impairment allowance on loans and advances.

(ii) Available-for-sale financial investments

For available-for-sale financial investments, the Bank assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of debt instruments classified as available-for-sale, the Bank assesses individually whether there is objective evidence of impairment based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in profit or loss. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest and similar income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through profit or loss.

In the case of equity investments classified as available-for-sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. The Bank treats 'significant' generally as 20% and 'prolonged' as greater than 6 months. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in profit or loss - is removed from equity and recognised in profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in the fair value after impairment are recognised directly in other comprehensive income.

(iii) Renegotiated loans

Where possible, the Bank seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated any impairment is measured using the original EIR as calculated before the modification of terms and the loan is no longer considered past due.

Management continuously reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur.

The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

h) Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in statement of financial position.

i) Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Bank as a lessee

Leases which do not transfer to the Bank substantially all the risks and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognised as an expense in profit or loss on a straight line basis over the lease term. Contingent rental payable are recognised as an expense in the period in which they are incurred.

Bank as a lessor

Leases where the Bank does not transfer substantially all the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Contingent rents are recognised as revenue in the period in which they are earned.

j) Recognition of income and expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(i) Interest and similar income and expense

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available-for-sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the EIR, which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The carrying amount of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as 'Other income'. However, for a reclassified financial asset (see Note 2.3 (b)(x)) for which the Bank subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Fee and commission income

The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

- Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees.

Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the EIR on the loan. When it is unlikely that a loan

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will be drawn down, the loan commitment fees are recognised over the commitment period on a straight line basis.

- Fee income from providing transaction services
Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

(ii) Dividend income

Dividend income is recognised when the Bank's right to receive the payment is established.

k) Cash and cash equivalents

Cash and cash equivalents as referred to in the statement of cash flows comprises cash on hand, current accounts with National Bank of Rwanda, and amounts due from banks and government securities on demand or with an original maturity of three months or less.

l) Property and equipment

Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised after the date of the revaluation. Valuations are performed frequently to ensure that the fair value of a revalued asset does not differ materially from its carrying amount. Any revaluation surplus is recognised in other comprehensive income and accumulated in the asset revaluation reserve in equity, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss, in which case the increase is recognised in profit or loss. A revaluation deficit is recognised in profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred from the asset revaluation reserve to retained earnings.

All other property and equipment (including equipment under operating leases where the Bank is the lessor) is stated at cost excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates.

Depreciation is calculated using the reducing balance method (except buildings whose depreciation is on straight line) to write down the cost of property and equipment to their residual values over their estimated useful lives. The estimated useful lives are as follows:

Buildings	20 years
Furniture, fittings and equipment	4 years
Motor vehicles	4 years
Computer equipment	2 years

Freehold land is not depreciated as it is deemed to have an indefinite life.

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other income' in profit or loss in the year the asset is derecognised. The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end, and adjusted prospectively if appropriate.

m) Intangible Assets

The Bank's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Bank. Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category consistent with the function of the intangible asset. Amortisation is calculated using the reducing balance method to write down the cost of intangible assets to their residual values over their estimated useful lives at 2 years.

n) Impairment of non-financial assets

The Bank assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Bank estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating units (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Bank estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

Impairment losses relating to goodwill cannot be reversed in future periods.

o) Financial guarantees

In the ordinary course of business, the Bank gives financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognised in the financial statements (within 'Other payables') at fair value, being the premium received.

Subsequent to initial recognition, the Bank's liability under each guarantee is measured at the higher of the amount initially recognised less, when appropriate, cumulative amortisation recognised in profit or loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the liability relating to financial guarantees is recorded in profit or loss. The premium received is recognised in profit or loss in 'Net fees and commission income' on a straight line basis over the life of the guarantee.

p) Statutory defined contribution pension scheme

The Bank contributes to a statutory defined contribution pension scheme, the Caisse Sociale du Rwanda (CSR). Contributions are determined by local statute and are currently limited to 5% of an employee's basic salary. The Bank's CSR contributions are charged to profit or loss in the period to which they relate.

q) Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in profit or loss net of any reimbursement.

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r) Taxes

(i) Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

(ii) Deferred tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax liabilities are recognised for all taxable temporary differences, except:

Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

In respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current tax and deferred tax relating to items recognised directly in other comprehensive income or equity are also recognised in other comprehensive income or equity and not in profit or loss.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

s) Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Bank's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Bank.

Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

t) Operating Segments

The Bank's Chief operating decision maker does not review segment assets and liabilities; the Bank has not disclosed this information.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000
3. Cash in hand				
Cash in foreign currencies		4,402,749	2,917,830	2,247,497
Cash in local currency		2,479,096	1,705,690	1,569,948
Total		6,881,845	4,623,520	3,817,445

4. Due from National Bank of Rwanda				
Balances in REPOs		16,229,323	15,700,004	4,000,000
Balances in current accounts		6,333,182	3,399,154	2,183,850
Total		22,562,505	19,099,158	6,183,850
Included is the statutory requirement of BNR to deposit 8% of customers total deposits				

5. Due from banks				
Due from local banks		250,877	97,531	259,447
Due from correspondent banks		36,288,465	2,025,808	5,154,619
Short term investments in foreign banks		1,912,836	26,631,260	19,636,600
Total		38,452,178	28,754,599	25,050,666

6. Loans and advances to customers				
a) Net loans and advances				
Manufacturing		11,512,636	9,746,512	10,589,731
Construction		30,813,119	21,281,399	19,750,428
Commerce, restaurants & hotels		48,318,218	37,573,258	40,774,528
Transport & Communication		7,368,034	6,989,123	5,716,775
Others		7,514,666	5,323,615	1,979,336
		105,526,673	80,913,907	78,810,798
Less: Allowance for impairment losses (6 b)		(4,124,016)	(3,818,041)	(6,716,574)
Net loans and advances		101,402,657	77,095,866	72,094,224

b) Impairment allowance for loans and advances to customers				
Impairment allowance for loans and advances		3,198,058	2,932,503	3,791,537
Bank charges				
Interests accrued on impaired loans and advances		925,958	885,538	2,925,037
		4,124,016	3,818,041	6,716,574
Impaired loans and advances		9,003,141	6,685,247	12,137,932

Interest income is suspended for Non Performing Loans but continues to be accrued on the account balances based on the original effective interest rates.

c) Impairment allowance for loans and advances				
At January		2,932,503	3,791,537	4,509,271
Impairment allowance for loans and advances		6,074,342	4,108,897	1,999,966
Recoveries		(3,698,061)	(2,608,851)	(1,744,818)
Amounts written off		(2,110,726)	(2,359,080)	(972,882)
At December		3,198,058	2,932,503	3,791,537

d) Impairment losses of the year				
Impairment losses on loans and advances		(6,074,342)	(4,108,897)	(1,999,966)
Recoveries on non performing loans		3,698,061	2,608,851	1,744,818
Charge of the year		(2,376,281)	(1,500,046)	(255,148)

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000
7.	Financial Investments-held -to-maturity			
	Treasury Bills	1,443,672	3,647,644	4,494,583
	Treasury Bonds	3,780,723	8,665,262	-
	Total	5,224,395	12,312,906	4,494,583

Treasury bills and treasury bonds are debt securities issued by the Government of Rwanda and are classified as held - to - maturity. The bank's investments in treasury bills and government bonds are carried at amortised cost.

		2010	2009	2008
		RwF 000	RwF 000	RwF 000
8.	Available for sale investments			
	a) Net available for sale investments			
	Banque Rwandaise de Développement S.A	21,975	21,975	21,975
	Banque de l'Habitat du Rwanda S.A	75,000	75,000	75,000
	Banque de Développement d'Etats de Grands Lacs S.A	5,000	5,000	5,000
	Magasins Généraux du Rwanda (MAGERWA)	5,000	5,000	5,000
	Société des Transports Internationaux	20,000	20,000	20,000
	King Faisal Hospital	46,733	46,733	46,733
	Société Interbancaire de Monétique et de Télécommunication (SIMTEL)	166,400	166,400	166,400
		340,108	340,108	340,108
	Impairment loss (Note 8(b))	(71,733)	(25,000)	(25,000)
	Total	268,375	315,108	315,108

	b) Impairment losses for available for sale investments			
	At January	25,000	25,000	366,287
	Charge of the year	46,733	-	-
	Write back of provision on investment in SIMTEL	-	-	(166,400)
	Write-off of provision on investment in SIMTEL	-	-	(174,887)
		71,733	25,000	25,000

The available-for-sale Investment (unquoted equity) is recorded at cost since there is no active market for these investments. All the investments are between 0.87% and 12.5% and are organisations domiciled and incorporated in Rwanda.

Banque Rwandaise de Développement S.A, Banque de L'Habitat du Rwanda S.A and Banque de Développement de Etats de Grands Lacs S.A are all in the financial sector. Magasins Generaux du Rwanda (MAGERWA) is a warehousing company. Societe des Transports Internationaux is in the transport sector and King Faisal Hospital is in the health sector.

Available-for-sale financial assets are valued using models which sometimes only incorporates data observable in the market and at other time use both observable and non-observable data. The non-observable inputs to the models include assumptions regarding the future financial performance of the investee, its risk profile, and economic assumptions regarding the industry and geographical jurisdiction in which the investee operates.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000
9. Other assets				
Prepayments and other receivables		2,803,092	570,801	404,577
Clearing effects and accounts in transit		1,582,133	2,689,870	2,793,395
Staff salary advances		5,445	17,128	20,920
		4,390,670	3,277,799	3,218,892

10. Intangible assets				
Cost				
At 1 January		134,822	114,107	106,023
Additions		344,314	20,715	8,084
		479,136	134,822	114,107
Amortisation				
At 1 January		117,930	101,038	87,969
Charge of the year		180,602	16,892	13,069
At 31 December		298,532	117,930	101,038
Net Book Value		180,604	16,892	13,069

11. Property and equipment	Year ended 31 December 2010							
	Land	Building	Computer equipment	Motor vehicles	Furniture, Fittings and equipment	Work in progress	Total	
	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000
Cost or valuation								
At 1 January 2010	31,172	6,188,125	903,018	311,436	2,846,585	-	10,280,336	
Additions	-	661,106	377,565	80,850	1,571,979	388,883	3,080,383	
Revaluation	-	10,215,060	-	-	-	-	10,215,060	
At 31 December 2010	31,172	17,064,291	1,280,583	392,286	4,418,564	388,883	23,575,779	
Depreciation								
At 1 January 2010	-	1,569,593	732,337	198,968	1,404,283	-	3,905,181	
Charge for the year	-	319,041	259,248	48,329	730,563	-	1,357,181	
At 31 December 2010	-	1,888,634	991,585	247,297	2,134,846	-	5,262,362	
Net book value								
At 31 December 2010	31,172	15,175,657	288,998	144,989	2,283,718	388,883	18,313,417	

Work in Progress in 2010 relates to the expenses incurred so far in constructing a branch for the bank in Gitarama. These are payments to contractors, project managers and for Electrical and installation designs.

Valuation of the buildings was carried out by ArI-Co Sarl an approved Independent Valuer by the National Bank of Rwanda. The basis of valuation was the Open Market Value (fair value); the value at which each property might be reasonably expected to change hands assuming a willing buyer and seller. The effective date of revaluation is 30 November, 2010.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Year ended 31 December 2009	Land	Building	Computer equipment	Motor vehicles	Furniture, Fittings and equipment	Work in progress	Total
		RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000
	Cost or valuation							
	At 1 January 2009	31,172	5,724,498	682,581	311,436	1,827,540	-	8,577,227
	Additions	-	463,627	220,437	-	1,019,045	-	1,703,109
	At 31 December 2009	31,172	6,188,125	903,018	311,436	2,846,585	-	10,280,336
	Depreciation							
	At 1 January 2009	-	1,263,473	561,657	161,479	1,032,066	-	3,018,675
	Charge for the year	-	306,120	170,680	37,489	372,217	-	886,506
	At 31 December 2009	-	1,569,593	732,337	198,968	1,404,283	-	3,905,181
	Net book value							
	At 31 December 2009	31,172	4,618,532	170,681	112,468	1,442,302	-	6,375,155

Included in buildings in 2009 are fully depreciated buildings amounting to RwF 29,952, 082

	Year ended 31 December 2008	Land	Building	Computer equipment	Motor vehicles	Furniture, Fittings and equipment	Work in progress	Total
		RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000
	Cost or valuation							
	At 1 January 2008	23,537	1,294,916	570,907	164,372	1,146,277	4,317,256	7,517,265
	Additions	7,635	112,326	111,674	147,064	681,263	-	1,059,962
	Transfers /Reclassifications		4,317,256				(4,317,256)	
	At 31 December 2008	31,172	5,724,498	682,581	311,436	1,827,540	-	8,577,227
	Depreciation							
	At 1 January 2008	-	978,163	440,734	111,493	751,851	-	2,282,241
	Charge for the year	-	285,310	120,923	49,986	280,215	-	736,434
	At 31 December 2008	-	1,263,473	561,657	161,479	1,032,066	-	3,018,675
	Net book value							
	At 31 December 2008	31,172	4,461,025	120,924	149,957	795,474	-	5,558,552

Work in Progress in 2008 relates to the expenses incurred in constructing the new Bank of Kigali building (head office) on plot number 6112, Avenue de la Paix.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000

12. Customer deposits				
Demand deposits		97,436,848	76,261,072	65,019,968
Term deposits		33,179,653	29,916,046	23,732,944
Current accounts and other customer deposits		5,061,245	3,305,686	5,085,567
Total		135,677,746	109,482,804	93,838,479

13. Due to banks				
Due to local banks		9,302,163	4,543,444	1,811,364
Term deposits		9,323,670	8,060,543	5,045,000
Finance borrowings		294,803	2,500,000	443,089
Total		18,920,636	15,103,987	7,299,453

14. Other payables				
Other taxes payable (VAT, WHT and PAYE)		214,481	216,656	144,619
Social Security remittances		68,816	55,676	47,549
Other creditors		12,014	7,245	17,628
Transitory accounts		6,527,086	4,090,286	1,894,583
Total		6,822,397	4,369,863	2,104,379

15. Provisions				
Provision for litigations		18,728	18,728	18,728

Provisions for litigations with respect to ongoing court cases with SONARWA (RwF 8,900,000), BRALIRWA (RwF 9,556,000) and LWF (RwF 7,350,000).

		2010	2009	2008
		RwF 000	RwF 000	RwF 000

16. Equity				
a) Share capital				
Authorised share capital:				
45,500 ordinary shares of RwF 110,000 each		5,005,000	5,005,000	5,005,000
Issued and fully paid:				
45,500 ordinary shares of RwF 110,000 each		5,005,000	5,005,000	5,005,000

b) Revaluation				
Buildings		10,215,060	-	-
Deferred tax (Note 24(b))		(3,064,518)	-	-
		7,150,542	-	-

Revaluation reserve represents an increase in carrying value of buildings that were valued in year 2010

c) Other capital reserves				
Legal reserves		2,800,890	2,272,254	1,706,854
Special reserves		2,886,124	2,357,488	1,792,088
Other reserves		7,848,749	6,262,540	1,738,983
Total		13,535,763	10,892,282	5,237,925
Retained earnings				
Profit for the year		6,178,582	5,286,963	5,654,357

The Bank transfers 20% of its profit after tax to special reserves (10% legal reserves and 10 % special reserves). These reserves are not mandatory and neither are they distributable. Other reserves represent amounts transferred from retained earnings to reserves that may be decided by the General Assembly.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000

17.	Interest and similar income			
	Interest on ordinary accounts with banks	12,019	67,140	617,421
	Interest received from reverse repurchase agreements	920,027	555,955	204,824
	Income from transactions with other banks	24,611	26,775	19,797
	Interest on overdrawn accounts	1,966,020	2,753,111	1,796,046
	Interest on overdrafts	2,878,594	2,205,933	1,633,235
	Interest on equipment loans	891,336	630,343	509,751
	Interest on consumer loans	1,392,333	1,001,433	897,942
	Interest on mortgage loans	4,691,951	3,360,263	2,443,230
	Interest on other loans to customers	2,880,673	2,398,864	2,225,866
	Interest on assets held to maturity	735,787	607,039	689,854
	Total	16,393,351	13,606,856	11,037,966

18.	Interest and similar expense			
	Interest on transactions with other banks	307,981	141,760	63,742
	Interest on current accounts	132,834	97,982	252,596
	Interest on fixed term deposits	3,741,851	3,169,732	1,543,593
	Total	4,182,666	3,409,474	1,859,931

19.	Fees and commissions income			
	Commissions on operation of accounts	315,431	216,827	194,017
	Commissions on payment facilities	930,897	768,181	681,461
	Commissions on loan service	781,235	134,891	104,272
	Other fees from services	247,693	217,723	205,658
	Commissions received from financing commitments	181,554	193,919	404,731
	Commissions received from guarantees commitments	540,610	337,592	-
	Total	2,997,420	1,869,133	1,590,139

20.	Foreign exchange gains			
	Gain on foreign exchange dealings	5,247,543	3,335,299	2,584,758

21.	Other income			
	Other income from banking activities	203,212	225,284	224,626
	Reversal of loss provision on available-for-sale investments	-	-	166,400
	Dividend received	10,477	-	48,576
	Gain on disposal of fixed assets	271	-	-
	Rental income	212,556	202,671	219,323
	Other non banking income	264,865	170,694	162,151
	Total	691,381	598,649	821,076

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

		2010	2009	2008
		RwF 000	RwF 000	RwF 000

22. Personnel expenses				
Salaries and wages		4,412,454	2,677,626	2,164,455
Social security contribution		289,936	142,801	96,859
Other staff costs		335,951	235,388	239,773
Total		5,038,341	3,055,815	2,501,087

23. Operating expenses				
General operating expenses		3,181,084	3,028,047	2,377,533
Audit fees		45,657	31,075	32,696
Directors emoluments		239,757	40,184	12,509
Total		3,466,499	3,099,306	2,422,738

24. Corporate tax				
a) Statement of financial position:				
Balance brought forward		1,036,637	1,032,867	1,207,911
Charge for the year		2,371,630	2,171,445	2,132,729
Over provision in prior year		-	(136,048)	(96,754)
Paid during the year		(2,911,452)	(2,031,627)	(2,211,019)
Tax payable		496,815	1,036,637	1,032,867

b) Statement of comprehensive income:				
Current tax at 30% on the taxable profit for the year		2,371,630	2,171,445	2,132,729
Overprovision in prior year		-	(136,048)	(96,754)
Deferred tax expense		131,180	119,538	555,201
Income tax expense		2,502,810	2,154,935	2,591,176

Reconciliation of the total tax charge:				
Accounting profit before tax		8,681,392	7,441,898	8,245,533
At statutory income tax rate of 30% for all the three years		2,604,417	2,232,569	2,473,660
Income not subjected to tax		131,180	(346,067)	(71,501)
Tax effect on non deductible expenses		103,349	268,433	189,017
Reversal of tax overprovision		(336,136)	-	-
		2,502,810	2,154,935	2,591,176

25. Deferred tax

The following table shows deferred tax recorded on the statement of financial position in other assets and other liabilities and changes recorded in the income tax expense:

	Year ended 31 December 2010		Year ended 31 December 2009		Year ended 31 December 2008	
	Deferred tax liabilities	Income statement	Deferred tax liabilities	Income statement	Deferred tax liabilities	Income statement
	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000	RwF '000
Capital allowances	805,919	131,180	674,739	115,724	555,201	-
Revaluation of assets-property	3,064,518	--	--	--	--	--
Total	3,870,437	131,180	674,739	115,724	555,201	-

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

26.	Income tax effects relating to comprehensive income			
		2010	2009	2008
		RwF 000	RwF 000	RwF 000
	Revaluation of buildings	10,215,060	-	-
	Tax expense related to revaluation of buildings	(3,064,518)	-	-
	Total	7,150,542	-	-

27. Earnings per share

Earnings Per Share are calculated on the profit after tax and on the total number of shares in issue during the year. Basic and diluted earnings per share are the same since the Bank did not issue any potentially dilutive instruments.

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Profit for the year	6,178,582	5,286,963	5,654,357
Number of ordinary shares	45,500	45,500	45,500

Earnings Per Share:			
Basic Earnings Per Share	135.79	116.20	124.27
Diluted Earnings Per Share	135.79	116.19	124.27

28.	Dividends			
		2010	2009	2008
		RwF 000	RwF 000	RwF 000
	Dividends on ordinary shares	-	2,643,482	-
	Number of ordinary shares	45,500	45,500	45,500
	Dividends per share	-	58.10	-

Dividends are proposed and approved in the Annual General meetings and are not recognised as a liability in the period they relate.

29. Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprise of the following balance sheet accounts:

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Cash in hand	6,881,845	4,623,520	3,817,445
Due from National Bank of Rwanda	22,562,505	19,099,158	6,183,850
Due from banks	38,452,178	28,754,599	25,050,666
Due to banks	(18,920,636)	(15,103,987)	(7,299,453)
Total	48,975,892	37,373,290	27,752,508

30. Contingent liabilities

	2010	2009	2008
(a)	RwF 000	RwF 000	RwF 000
Commitments and guarantees			
Acceptances and Letters of Credit issued	8,709,523	12,266,876	18,271,347
Guarantee Commitments issued	15,360,031	12,241,776	8,403,161
Other commitments not recognised in the statement of financial position	868,072	966,416	454,312
Total	24,937,626	25,475,068	27,128,820

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

The contingent liabilities represent transactions entered into in the normal course of business and are represented by counter indemnities or cash securities from customers for the same amount.

Letters of credit, guarantee and acceptance commit the Bank to make payments on behalf of the customers in the event of a specific act, generally relating to the import and export of goods. Guarantees and letters of credit carry the same credit risk as loans.

(b) Legal cases

The Bank is also party to various legal proceedings from default customers; amounts are presented below. Having regarded the legal advice received, and in all circumstances, the management is of the opinion that these legal proceedings will not give rise to liabilities, which in aggregate, would otherwise have material effect on these financial statements.

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Legal suits	5,950,050	1,432,059	1,547,244

31. Capital commitments

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
At 31 December			220,526

32. Related party transactions

(a) Transactions with key management personnel and directors of the bank

The key management comprise of Managing Director, Chief Operations Officer and Chief Shared Services officer.

(i) Directors and key management remuneration

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Key management compensation	412,593	533,170	361,123
Directors emoluments	239,757	40,184	12,509
Total	652,350	573,354	373,632

(ii) Due to employees and directors

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Deposits by directors and shareholders	11,798,303	10,150,702	9,863,236

(iii) Due from employees and directors

Loans and advances are advanced to employees at the BNR lending rate. Loans to directors are advanced at arm's length in the ordinary course of business and are adequately secured.

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Loans and advances to employees	1,846,315	1,096,678	1,388,466
Loans and advances to directors and their associates	107,973	88,234	61,448
Total	1,954,288	1,184,912	1,449,914

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

(iv) Loans to key management personnel of the bank:

	Maximum balance during the year 2010	Balance as at 31 December 2010	Income 2010	Maximum balance during the year 2009	Balance as at 31 December 2009	Income 2009	Maximum balance during the year 2008	Balance as at 31 December 2008	Income 2008
	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000
Residential mortgages	59,093	58,093	2,860	70,301	70,301	3,178	70,301	70,301	3,178
Other loans	40,000	40,000	792	-	-	-	-	-	-

(b) Transactions with other related parties

	Interest from related parties	Interest to related parties	Amount owed by related parties	Amount owed to related parties		
	Balance as at 31	Maximum balance during the year	Balance as at 31	Maximum balance during the year		
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
December 2010	-	-	-	12,646,706	10,989,035	1,040,272
December 2009	-	-	-	9,507,157	9,507,157	518,125
December 2008	-	-	-	-	-	-

33. Capital

The Bank maintains an actively managed capital base to cover risks inherent in the business. The adequacy of the Bank's capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision (BIS rules/ratios) and adopted by the National Bank of Rwanda in supervising the Bank.

The Bank complied in full with all its externally imposed capital requirements for the three years ended 31 December 2010.

Capital Management

The primary objectives of the Bank's capital management policy are to ensure that the Bank complies with externally imposed capital requirements and that the Bank maintains strong credit ratings and healthy capital ratios in order to support its business and to maximise shareholder value.

The Bank manages its capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Bank may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities. No changes yet have been made in the objectives, policies and processes from the previous years. However, it is under constant scrutiny of the Board.

Regulatory capital:

Regulatory capital consists of Tier 1 capital, which comprises share capital, share premium, retained earnings including current year profit, foreign currency translation and non-controlling interests less accrued dividends, net long positions in own shares and goodwill. Certain adjustments are made to IFRS-based results and reserves as prescribed by the National Bank of Rwanda (BNR). The other component of regulatory capital is Tier 2 capital, which includes revaluation reserves.

The National Bank of Rwanda (BNR) sets and monitors capital requirements for the banking industry as a whole. The BNR has set among other measures, the rules and ratios to monitor adequacy of a bank's capital. A prescribed minimum percentage on Capital to total risk-weighted credit exposure is required by the BNR to all Banks operating in Rwanda.

- Capital: - this comprises of capital which is permanently and freely available to absorb losses without the bank being obliged to cease trading.
- Credit Exposures : - this is comprised of Total Risk weighted assets (to account for difference in degree of riskiness) made up of On and Off Balance sheet exposures

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

The Bank's regulatory capital is a ratio of the following components:

	2010	2009	2008
	Actual	Actual	Actual
	RwF'000	RwF'000	RwF'000
Tier 1 Capital	24,719,345	21,184,245	15,897,282
Tier 2 Capital	1,787,636	-	-
Total Capital	26,506,981	21,184,245	15,897,282
Total risk weighted assets	131,991,717	106,506,172	106,414,729
Tier 1 capital ratio	18.73%	19.89%	14.94%
Total capital ratio	20.08%	19.89%	14.94%

34. Risk Management

Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to credit risk, liquidity risk and market risk, the later being subdivided into trading and non trading risks. It is also subject to various operating risks

The independent risk control process does not include business risks such as changes in the environment, technology and industry. The Bank's policy is to monitor those business risks through the Bank's strategic planning process.

Risk Management Structure

The Board of directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. The Board has appointed the Risk Management subcommittee which has the responsibility to monitor the overall risk process within the Bank

The risk committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. The Risk committee is responsible for managing risk decisions and monitoring risk levels and reports on a weekly basis to the Risk Management subcommittee of the Board.

The risk department is responsible for implementing and maintaining risk related procedures to ensure an independent control process is maintained. The unit works closely with the risk committee to ensure that procedures are compliant with overall framework

The Risk department is responsible for monitoring compliance with risk principles and limits across the Bank. It is also responsible for the independent control of risks, including monitoring the risk of exposures against limits and the assessment of risks of new products and structured transactions. The department also ensures the complete capture of risks in measurement and reporting systems. Exceptions are reported on a daily basis, where necessary to the risk committee takes the relevant actions to address exceptions and any areas of weakness.

Bank Treasury is responsible for managing the Bank's assets and liabilities and the overall financial structure. It is also primarily responsible for the funding and liquidity risks of the Bank.

The Bank's policy is that risk management processes throughout the Bank are audited annually by the internal audit function, which examines both the adequacy of the procedures and the Bank's compliance with the procedures. Internal audit discusses the results of all assessments with management, and report its findings and recommendations to the audit committee.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects both the expected loss likely to arise in normal circumstances and unexpected losses, which are an estimate of the ultimate actual loss based on statistical models. The models make use of probabilities derived from historical experience, adjusted to reflect the economic environment. The Bank also runs worst case scenarios that would arise in the event that extreme events which are unlikely to occur do, in fact occur.

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries. In addition, the Bank's policy is to measure and monitor the overall risk bearing capacity in relation to the aggregate risk exposures across all risk types and activities.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the risk committee and the head of each business division. On a monthly basis detailed reporting of industry, consumer and geographical risks takes place. Senior management assesses the appropriateness of the allowances for credit losses on a monthly basis. The Board receives a comprehensive risk report once a quarter which is designed to provide all necessary information to assess and conclude on the risks of the Bank.

A daily briefing is given to the Managing Director and all other relevant members of the Bank on the utilisation of market limits, proprietary investments and liquidity plus any other risk developments.

Excessive Risk Concentration

Concentration arises when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographical location.

And in order to avoid excessive concentrations of risk, the Bank's policies and procedures include specific guidelines to focus on maintaining a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly. Selective hedging is used within the Bank to manage risk concentrations at both the relationship and industry levels.

(d) Credit risk

Credit risk is the risk of financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Bank's loans and advances to customers and other banks and investment securities. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure.

Risk Management Department is responsible for independently reviewing all limit applications and making recommendations to the Management Credit Committee and the Board Credit Committee, in terms of authority limits.

Management of Credit Risk

The Board Credit Committee owns the credit policy and is responsible for reviewing the policy at least once in a year, ensuring it remains current.

The Board of Directors is responsible for approving and periodically reviewing the credit risk strategy of the Bank, significant underwriting initiatives as defined in the Credit Policy Limits, and significant credit risk policies.

Executive management is responsible for implementing Credit Policy and recommending amendments to the Board Credit Committee. Management presents to the Board, on an annual basis, through Credit Committee its annual Credit Strategy outlining:

- i) Review of current portfolio, distribution, profitability and quality;
- ii) Target markets;
- iii) A review of economic environment and willingness to trade with various economic sector;
- iv) Its credit appetite;
- v) Aggregate loan for the Bank as a proportion of total assets
- vi) Financial statements budget

The Board is responsible for approving the Credit Risk Strategy.

The Risk Management Committee is responsible for monitoring credit and ensuring compliance with limits and that credit risk exposure do not expose undue threat on capital and compound risks. Internal audits are carried out annually and ensure compliance with authority limits, origination and documentary requirements, regulatory guidelines, other internal procedures and policies.

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Once exposures are booked into the statement of financial position, the following credit risk attributes are monitored by lending department in the various business lines, and independently by Risk Management Department at least monthly:

- i) Adherence to limits;
- ii) Portfolio diversification by industry sector, product type and business line;
- iii) Level of significant credit concentration and compliance to prudential lending limits;
- iv) Maturity distribution of portfolio;
- v) Past-due status and level of Non Performing Loans;
- vi) Portfolio risk grading profile;
- vii) Lending authority breaches

	2010	2009	2008
	RwF'000	RwF'000	RwF'000
Loans and advances to customers			
Carrying amount			
Non Performing Loans			
Class 3: Substandard	2,111,176	2,172,954	3,002,209
Class 4: Doubtful	2,560,639	1,218,008	576,048
Class 5: Loss	3,357,989	2,378,006	5,602,915
Interest in suspense	973,337	916,279	2,956,760
Non Performing Loan portfolio	9,003,141	6,685,247	12,137,932
Allowance for impairment	(3,198,058)	(2,932,503)	(3,791,537)
Carrying amount	5,805,083	3,752,744	8,346,395

Loans and advances classified as 3, 4 and 5 in the Banks' internal credit risk grading system are non performing. These are advances for which the Bank determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements. Specific provisions are made on these classes.

Loans and advances classified as 1 and 2 are performing loans. According to the National Bank of Rwanda guidelines, no specific provisions for these loans are required.

(b) Liquidity risk

Liquidity risk is the risk that the Bank will encounter difficulty in meeting obligations from its financial liabilities.

Management of liquidity risk

Assets and Liabilities Management Committee are charged with the responsibility of managing liquidity risk. They delegate the responsibility for daily management of funding requirements to the Head of Finance and Treasury.

Management attempts to achieve a balance between the need to provide for liquidity and achieve profitability. The bank maintains a statutory deposit with the National Bank of Rwanda equal to 5% of customer deposits.

The Bank has put in place a liquidity risk policy that, at least:

- Identifies who is responsible for measuring liquidity risk within the Bank;
- The frequency of internal reporting;
- Define how senior management monitors liquidity;
- Desired sources of liquidity and appropriate funding structure.

The Bank has adequate procedures and systems for monitoring liquidity. As such, the Bank:

- Clearly allocates responsibility for measuring and reporting liquidity;
- Assets and Liabilities Committees maintain Management Information system that can produce accurate liquidity reports promptly;
- Regularly reports on the level of liquid assets and funding requirements through appropriate reports to the Management and Board

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Exposure to liquidity risk

The key measure used by the Bank for managing liquidity risk is the ratio of net liquid assets to total liquid liabilities.

Details of the reported Bank ratio of net liquid assets to total liquid liabilities at the reporting date and during the reporting year were as follows:

	2010	2009	2008
	RwF 000	RwF 000	RwF 000
Total liquid assets	104,150,854	91,306,162	63,653,859
Total liquid liabilities	103,702,886	89,181,980	73,409,094
Liquidity ratio	100.43%	102.38%	86.71%
Minimum liquidity ratio required	100	100	100

Advances to deposits ratios

	2010	2009	2008
Year end	78.0%	74.4%	84.0%
Maximum	79.9%	91.9%	84.1%
Minimum	74.1%	71.1%	57.3%
Average	77.3%	79.1%	70.6%

The bank stresses the importance of current accounts and savings accounts as sources of funds to finance lending to customers. They are monitored using the advances to deposit ratio, which compares loans and advances to customers as a percentage of core customer current and savings accounts, together with term funding with a remaining term to maturity in excess of one year. Loans to customers that are part of reverse repurchase arrangements, and where the bank receives securities which are deemed to be liquid, are excluded from the advances to deposit ratio

	2010	2009	2008
Year end	70.4%	73.0%	60.6%
Maximum	72.3%	73.3%	73.7%
Minimum	65.5%	62.3%	59.5%
Average	69.4%	69.5%	65.9%

Net liquid assets to customer liabilities ratios

Net liquid assets are liquid assets less all funds maturing in the next 90 days from wholesale market sources and from customers who are deemed to be professional. The bank defines liquid assets for the purpose of the liquidity ratio as cash balances, short-term interbank deposits and highly rated debt securities available for immediate sale and for which a liquid market exists.

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

The maturity risk profile of the bank as at 31 December 2010 was as follows:

Assets	Up to one month	1-3 months	3-6 months	6-12 months	1-5 years	Over 5 years	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand	6,881,845	-	-	-	-	-	6,881,845
Cash balances with the National Bank of Rwanda	22,562,505	-	-	-	-	-	22,562,505
Placements and balances with other banking institutions	38,452,178	-	-	-	-	-	38,452,178
Loans and advances to customers	16,829,464	5,105,790	2,316,272	5,068,121	37,154,764	34,928,246	101,402,657
Financial investments – held-to-maturity	59,005	2,534,277	177,015	1,742,662	711,436	-	5,224,395
Financial investments – available-for-sale	-	-	-	-	-	268,375	268,375
Other assets	4,390,670	-	-	-	-	-	4,390,670
Intangible assets	-	-	-	-	-	180,604	180,604
Property and equipment	-	-	-	-	-	18,313,417	18,313,417
Total assets as at 31 December 2010	89,175,667	7,640,067	2,493,287	6,810,783	37,866,200	53,690,642	197,676,646
Liabilities							
Customer deposits	106,607,290	3,596,587	13,569,471	11,774,388	130,010	-	135,677,746
Deposits and balances with other banks	10,611,246	2,718,200	3,564,790	2,026,400	-	-	18,920,636
Tax liabilities	-	496,815	-	-	-	-	496,815
Other accounts payable	6,822,397	-	-	-	-	-	6,822,397
Provisions	18,728	-	-	-	-	-	18,728
Deferred tax	805,918	-	-	-	766,130	2,298,389	3,870,437
Total liabilities as at 31 December 2010	124,865,579	6,811,602	17,134,261	13,800,788	896,140	2,298,389	165,806,759
Owner's equity as at 31 December 2010	-	-	-	-	-	31,869,887	31,869,887
Maturity gap for 2010	(35,689,912)	828,465	(14,640,974)	(6,990,005)	36,970,060	19,522,366	-
Off statement of financial position gap 2010	Negative Gap	Negative Gap	Negative Gap	Negative Gap	Positive Gap	Positive Gap	-

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

The maturity risk profile of the bank as at 31 December 2009 was as follows:

Assets	Up to one month	1-3 months	3-6 months	6-12 months	1-5 years	Over 5 years	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand	4,623,520	-	-	-	-	-	4,623,520
Cash balances with the National Bank of Rwanda	19,099,158	-	-	-	-	-	19,099,158
Placements and balances with other banking institutions	28,754,599	-	-	-	-	-	28,754,599
Loans and advances to customers	17,411,423	2,249,739	3,243,482	6,661,809	33,099,395	14,430,018	77,095,866
Financial investments – held-to-maturity	1,633,570	4,891,122	694,088	1,328,319	3,765,807	-	12,312,906
Financial investments – available-for-sale	-	-	-	-	-	315,108	315,108
Other assets	3,277,799	-	-	-	-	-	3,277,799
Intangible assets	-	-	-	-	-	16,892	16,892
Property and equipment	-	-	-	-	-	6,375,155	6,375,155
Total assets	74,800,069	7,140,861	3,937,570	7,990,128	36,865,202	21,137,173	151,871,003
Liabilities and Equity							
Customer deposits	84,907,759	8,621,652	7,493,378	6,746,157	1,713,858	-	109,482,804
Deposits and balances from banks and other financial Institutions	8,168,986	1,005,001	2,000,000	3,930,000	-	-	15,103,987
Tax payable	-	-	1,036,637	-	-	-	1,036,637
Other payables	4,369,863	-	-	-	-	-	4,369,863
Provisions	18,728	-	-	-	-	-	18,728
Deferred tax	674,739	-	-	-	-	-	674,739
Total liabilities at 31 December 2009	98,140,075	9,626,653	10,530,015	10,676,157	1,713,858	-	130,686,758
Owners' equity at 31 December 2009	-	-	-	-	-	21,184,245	21,184,245
Maturity gap for 2009	(23,340,006)	(2,485,792)	(6,592,445)	(2,686,029)	35,151,344	(47,072)	-
Off statement of financial position gap 2009	Negative	Negative	Negative	Negative	Positive	Negative	-

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

The maturity risk profile of the bank as at 31 December 2008 was as follows:

Assets	Up to one month	1-3 months	3-6 months	6-12 months	1-5 years	Over 5 years	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand	3,817,445	-	-	-	-	-	3,817,445
Cash balances with the National Bank of Rwanda	6,183,850	-	-	-	-	-	6,183,850
Placements and balances with other banking institutions	25,050,666	-	-	-	-	-	25,050,666
Loans and advances to customers	21,158,191	608,968	1,141,630	2,135,550	23,969,642	23,080,243	72,094,224
Financial investments – held-to-maturity	-	-	-	-	4,494,583	-	4,494,583
Financial investments – available-for-sale	-	-	-	-	-	315,108	315,108
Other assets	3,218,892	-	-	-	-	-	3,218,892
Intangible assets	-	-	-	-	-	13,069	13,069
Property and equipment	-	-	-	-	-	5,558,552	5,558,552
Total assets	59,429,044	608,968	1,141,630	2,135,550	28,464,225	28,966,972	120,746,389
Liabilities and equity							
Customer deposits	76,577,281	5,004,481	5,304,019	6,952,698	-	-	93,838,479
Deposits and balances from banks and other financial Institutions	3,289,453	5,000	1,500,000	2,505,000	-	-	7,299,453
Tax payable	-	-	1,032,867	-	-	-	1,032,867
Other payables	1,959,760	-	144,619	-	-	-	2,104,379
Provisions	18,728	-	-	-	-	-	18,728
Deferred tax	555,201	-	-	-	-	-	555,201
Total liabilities at 31 December 2008	82,400,423	5,009,481	7,981,505	9,457,698	-	-	104,849,107
Owners' equity as at 31 December, 2008	-	-	-	-	-	15,897,282	15,897,282
Maturity gap for 2008	(22,971,379)	(4,400,513)	(6,839,875)	(7,322,148)	28,464,225	13,069,690	-
Off statement of financial position gap 2008	Negative Gap	Negative Gap	Negative Gap	Negative Gap	Positive Gap	Positive Gap	-

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

(c) Market risk

Market risk is the risk that fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates and equity prices.

The most common market risk factors for the Bank are interest rates and foreign exchange rates.

Movements in market risk factors may result in adverse (or favorable) changes in the market value of an asset or commitment. The market risk of both individual financial instruments and portfolios of instruments can be a function of one, several, or all of these basic factors and, in many cases, can be significantly complex.

The Bank ensures that it adequately measures, monitors, and controls the market risks involved in its activities. Market risk is managed through the Asset and Liability Committee process for interest rate and foreign exchange risk related to asset/liability management activities. On a day-to-day basis, market risk exposures are independently reviewed and measured by the Finance department and Risk department, and appropriate management reports generated

Interest risk exposure

The Bank is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. Interest margins may increase as a result of changes in the prevailing levels of market rates but may also decrease or create losses in the event that unexpected movements arise.

The Bank actively manages the interest rate sensitivity (the exposure of net interest income to interest rate movements).

Interest rate risk is measured by evaluating the potential effect on earnings of various interest rate shocks scenarios. Interest rate sensitivity is quantified by calculating the change in rate spread and net interest income between the scenarios over a 12 month holding period. The measurement of interest rate sensitivity is the percentage change in net interest income and rate spread calculated.

Asset and Liability Committee requires frequent reviews of scenarios to examine the impact of large interest rate movements. The interest sensitive risk profile of the Bank as at 31 December 2010 was as follows:

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Interest sensitivity risk profile at 31 December 2010

Assets	Up to 1 month	1 to 3 months	3 -6 months	6 -12 months	1 to 5 years	Over five years	Non interest bearing	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand	-	-	-	-	-	-	6,881,845	6,881,845
Cash balances with the National Bank of Rwanda	16,229,323	-	-	-	-	-	6,333,182	22,562,505
Placements and balances with other banking institutions	1,972,284	-	-	-	-	-	36,479,894	38,452,178
Loans and advances to customers	-	-	-	29,123,415	37,154,764	30,366,684	4,757,794	101,402,657
Financial investments – held-to-maturity	-	-	978,916	464,756	3,339,728	440,995	-	5,224,395
Financial investments – available-for-sale	-	-	-	-	-	-	268,375	268,375
Other assets	-	-	-	-	-	-	4,390,670	4,390,670
Intangible assets	-	-	-	-	-	-	180,604	180,604
Property and equipment	-	-	-	-	-	-	18,313,417	18,313,417
Sensitive assets as at 31st December 2010	18,201,607	-	978,916	29,588,171	40,494,492	30,807,679	77,605,781	197,676,646

Liabilities and Equity	Up to 1 month	1 to 3 months	3 -6 months	6 -12 months	1 to 5 years	Over five years	Non interest bearing	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Customer deposits	1,962,437	1,269,227	4,787,884	25,140,981	19,125	-	102,498,092	135,677,746
Deposits and balances from banks and other financial Institutions	2,825,542	-	-	1,250,000	6,485,000	-	8,360,094	18,920,636
Tax payable	-	-	-	-	-	-	496,815	496,815
Other payables	-	-	-	-	-	-	6,822,397	6,822,397
Provisions	-	-	-	-	-	-	18,728	18,728
Deferred tax	-	-	-	-	-	-	3,870,437	3,870,437
Sensitive liabilities as at 31st December 2010	4,787,979	1,269,227	4,787,884	26,390,981	6,504,125	-	122,066,563	165,806,759
Owners Equity as at 31st December 2010	-	-	-	-	-	-	31,869,887	31,869,887
Total liabilities and equity	4,787,979	1,269,227	4,787,884	26,390,981	6,504,125	-	153,936,450	197,676,646
Sensitive gap as at 31 December 2010	13,413,628	(1,269,227)	(3,808,968)	3,197,190	33,990,367	30,807,679	(44,460,782)	
Cumulative gap as at 31 December 2010	13,413,628	12,144,401	8,335,433	11,532,623	45,522,990	76,330,669	31,869,887	
Percentage of IS assets to IS liability	380%	0%	20%	112%	623%	100%		
Asset/liability sensitivity	Asset	Liability	Liability	Asset	Asset	Asset		

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Interest sensitivity risk profile (continued) - at 31 December 2009

Assets	Up to 1 month	1 to 3 months	3 -6months	6 -12months	1 to 5 years	Over five years	Non interest bearing	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand							4,623,520	4,623,520
Cash and balances with BNR	15,700,004	-	-	-	-	-	3,399,154	19,099,158
Financial investments – held-to-maturity	-	748,488	3,120,802	761,674	7,043,247	638,695	-	12,312,906
Placements and balances with other banks	26,688,583	-	-	-	-	-	2,066,016	28,754,599
Net advances to customers	-	-	-	28,954,353	23,838,320	24,303,193	-	77,095,866
Financial investments – available-for-sale	-	-	-	-	-	-	315,108	315,108
Other assets	-	-	-	-	-	-	3,277,799	3,277,799
Intangible assets	-	-	-	-	-	-	16,892	16,892
Property and equipments	-	-	-	-	-	-	6,375,155	6,375,155
Interest Sensitive asset as at 31 December 2009	42,388,587	748,488	3,120,802	29,716,027	30,881,567	24,941,888	20,073,644	151,871,003

Liability and equity								
Deposits and balances from other banks	2,825,542	-	-	1,250,001	6,485,000	-	4,543,444	15,103,987
Customer term deposits	3,494,312	1,683,477	5,112,677	17,908,722	1,713,858	-	79,569,758	109,482,804
Tax liabilities	-	-	-	-	-	-	1,036,637	1,036,637
Other accounts payable	-	-	-	-	-	-	4,369,863	4,369,863
Provisions	-	-	-	-	-	-	18,728	18,728
Deferred tax	-	-	-	-	-	-	674,739	674,739
Sensitive liabilities as at 31 December 2009	6,319,854	1,683,477	5,112,677	19,158,723	8,198,858	-	90,213,169	130,686,758
Owner's equity as at 31 December 2009	-	-	-	-	-	-	21,184,245	21,184,245
Total liabilities and equity	6,319,854	1,683,477	5,112,677	19,158,723	8,198,858	-	111,397,414	151,871,003
Sensitive gap as 31 December 2009	36,068,733	(934,989)	(1,991,875))	10,557,304	22,682,709	24,941,888	(70,139,525)	-
Cumulative gap	36,068,733	35,133,744	33,141,869	43,699,173	66,381,882	91,323,770	21,184,245	
% age of IS assets to IS Liabilities	671%	44%	61%	155%	377%	100%		
Asset/liability sensitivity	Asset	Liability	Liability	Asset	Asset	Asset	Asset	

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Interest sensitivity risk profile (continued) - at 31 December 2008

Assets	Up to 1 month	1 to 3 months	3 -6months	6 -12months	1 to 5 years	Over five years	Non interest bearing	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Cash in hand	-	-	-	-	-	-	3,817,445	3,817,445
Cash balances with the National Bank of Rwanda	4,000,000	-	-	-	-	-	2,183,850	6,183,850
Placements and balances with other banking institutions	19,636,600	-	-	-	-	-	5,414,066	25,050,666
Loans and advances to customers	-	-	-	27,065,338	20,348,607	24,680,279	-	72,094,224
Financial investments – held-to-maturity	-	-	-	-	3,671,981	822,602	-	4,494,583
Financial investments – available-for-sale	-	-	-	-	-	-	315,108	315,108
Other assets	-	-	-	-	-	-	3,218,892	3,218,892
Intangible assets	-	-	-	-	-	-	13,069	13,069
Property and equipment	-	-	-	-	-	-	5,558,552	5,558,552
Sensitive assets as at 31 December 2008	23,636,600	-	-	27,065,338	24,020,588	25,502,881	20,520,982	120,746,389

Liabilities and equity	Up to 1 month	1 to 3 months	3 -6months	6 -12months	1 to 5 years	Over five years	Non interest bearing	Total
	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000	RwF'000
Customer deposits	5,340,117	1,554,744	3,082,111	13,755,973	-	-	70,105,534	93,838,479
Deposits and balances from banks and other financial institutions	-	-	-	-	5,045,000	-	2,254,453	7,299,453
Tax payable	-	-	-	-	-	-	1,032,867	1,032,867
Other payables	-	-	-	-	-	-	2,104,379	2,104,379
Provisions	-	-	-	-	-	-	18,728	18,728
Deferred tax	-	-	-	-	-	-	555,201	555,201
Sensitive liabilities as at 31 December 2008	5,340,117	1,554,744	3,082,111	13,755,973	5,045,000	-	76,071,162	104,849,107
Owners equity as at 31 December 2008	-	-	-	-	-	-	15,897,282	15,897,282
Total liabilities and equity	5,340,117	1,554,744	3,082,111	13,755,973	5,045,000	-	91,968,443	120,746,389
Sensitive gap as at 31st December 2008	18,296,483	(1,554,744)	(3,082,111)	13,309,365	18,975,588	25,502,881	(55,550,180)	
Cumulative gap	18,296,483	16,741,739	13,659,628	26,968,993	45,944,581	71,447,462	15,897,282	
Percentage of IS assets to IS Liability	443%	0%	0%	197%	476%	100%		
Asset/liability sensitivity	Asset	Liability	Liability	Asset	Asset	Asset		

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, on the Bank's profit before tax (through the impact on floating rate borrowings). There is only an immaterial impact on the Bank's equity.

2010	Increase/decrease in basis points	Effect on profit before tax (RwF '000)
US\$	+/- 10	(525,064)
JPY	+/- 10	45
CHF	+/- 10	8,032
GBP	+/- 10	320,605
EURO	+/- 10	(172,637)
Others	+/- 10	4,193
2009		
US\$	+/- 10	(568,582)
JPY	+/- 10	446
CHF	+/- 10	(2,018)
GBP	+/- 10	679
EURO	+/- 10	(24,748)
Others	+/- 10	2,183
2008		
US\$	+/- 10	(256,338)
JPY	+/- 10	474
CHF	+/- 10	(23)
GBP	+/- 10	(2,124)
EURO	+/- 10	(122,359)
Others	+/- 10	3,236

Foreign currency exchange risk

The Bank records transactions in foreign currencies at the rates in effect at the date of the transaction. The Bank retranslates monetary assets and liabilities denominated in foreign currencies at the rates of exchange in effect at the statement of financial position date. All the gains or losses arising from the changes in the currency exchange rates are accounted for in profit and loss. The foreign currency sensitive risk profile of the Bank as at 31 December 2010 was as follows:

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Foreign currency risk (amount in RwF '000) at 31 December 2010

	RwF	USD	JPY	CHF	GBP	EUR	CAD	Others	Total
Cash in hand	2,479,094	3,421,751	-	65,482	81,251	815,765	18,502		6,881,845
Cash and balances with BNR	20,999,500	1,378,815	-			184,190			22,562,505
Financial investments – held-to-maturity	5,224,395	-	-	-	-	-	-	-	5,224,395
Placement and balances with other banks	116,723	26,914,867	502	139,054	3,487,220	7,739,383	54,196	233	38,452,178
Loans and advances to customers	100,962,825	432,530	-	12	2,916	4,359	15	-	101,402,657
Financial investments – available-for-sale	268,375	-	-	-	-	-	-	-	268,375
Other assets	3,555,058	434,973	-	10	106	400,513	10	-	4,390,670
Intangible assets	180,604	-	-	-	-	-	-	-	180,604
Property and equipments	18,313,417	-	-	-	-	-	-	-	18,313,417
Total assets	152,099,991	32,582,936	502	204,558	3,571,493	9,144,210	72,723	233	197,676,646
Liabilities and equity									
Deposits and balances from other banks	15,468,688	947,938	-	-	34,506	2,458,646	-	10,858	18,920,636
Customer term deposits	96,708,845	31,650,097	56	56,047	249,580	7,011,469	1,585	67	135,677,746
Tax liabilities	496,815	-	-	-	-	-	-	-	496,815
Other accounts payable	6,515,392	293,625	-	-	30	13,343	7	-	6,822,397
Provisions	18,728	-	-	-	-	-	-	-	18,728
Deferred tax	3,870,437	-	-	-	-	-	-	-	3,870,437
Total liabilities	123,078,905	32,891,660	56	56,047	284,116	9,483,458	1,592	10,925	165,806,759
Owners' equity	31,869,887	-	-	-	-	-	-	-	31,869,887
Foreign currency gap as at 31 December 2010	N/A	(308,724)	446	148,511	3,287,377	(339,248)	71,131	(10,692)	N/A

BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Foreign currency risk (amount in RwF '000) at 31 December 2009

	RwF	USD	JPY	CHF	GBP	EUR	CAD	Others	Total
Cash at hand	1,705,690	2,405,274	-	23,033	27,901	446,286	15,336	-	4,623,520
Cash and balances with BNR	17,481,741	1,617,417	-	-	-	-	-	-	19,099,158
Financial investments – held-to-maturity	12,312,906	-	-	-	-	-	-	-	12,312,906
Placement and balances with other banks	18,962	20,200,887	4,506	37,484	330,824	8,116,878	35,981	9,077	28,754,599
Loans and advances to customers	76,805,589	290,277	-	-	-	-	-	-	77,095,866
Financial investments – available-for-sale	315,108	-	-	-	-	-	-	-	315,108
Other assets	2713,426	507,800	-	8	806	55,751	8	-	3,277,799
Intangible assets	16,892	-	-	-	-	-	-	-	16,892
Property and equipments	6,375,155	-	-	-	-	-	-	-	6,375,155
Total assets	117,745,469	25,021,655	4,506	60,525	359,531	8,618,915	51,325	9,077	151,871,003

Liabilities and equity									
Deposits and balances from other banks	14,297,832	679,101	-	-	28,325	98,430	299	-	15,103,987
Customer term deposits	75,342,642	25,497,884	48	57,659	295,708	8,265,932	22,795	136	109,482,804
Tax liabilities	1,036,637	-	-	-	-	-	-	-	1,036,637
Other accounts payable	4,227,697	140,381	-	-	3	1,779	3	-	4,369,863
Provisions	18,728	-	-	-	-	-	-	-	18,728
Deferred tax	674,739	-	-	-	-	-	-	-	674,739
Total liabilities	95,598,275	26,317,366	48	57,659	324,036	8,366,141	23,097	136	130,686,758
Owners' equity	21,184,245	-	-	-	-	-	-	-	21,184,245

Foreign currency gap as at 31 December 2009	N/A	(1,295,711)	4,458	2,866	35,495	252,774	28,228	8,941	-
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BANK OF KIGALI LIMITED
NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Foreign currency risk (amount in RwF '000) at 31 December 2008

	RwF	USD	JPY	CHF	GBP	EUR	CAD	Others	Total
Cash in hand	1,569,948	1,603,665	-	44,645	66,281	523,445	9,460	-	3,817,445
Cash balances with the National Bank of Rwanda	4,778,971	1,404,879	-	-	-	-	-	-	6,183,850
Placements and balances with other banking institutions	112,895	18,842,807	4,792	84,084	216,759	5,755,745	27,293	6,291	25,050,666
Loans and advances to customers	71,672,179	422,045	-	-	-	-	-	-	72,094,224
Financial investments – held-to-maturity	4,494,583	-	-	-	-	-	-	-	4,494,583
Financial investments – available-for-sale	315,108	-	-	-	-	-	-	-	315,108
Other assets	2,516,734	420,902	-	59	1,175	279,747	-	276	3,218,892
Intangible assets	13,069	-	-	-	-	-	-	-	13,069
Property and equipment	5,558,552	-	-	-	-	-	-	-	5,558,552
Total assets	91,032,039	22,694,298	4,792	128,788	284,215	6,558,937	36,753	6,567	120,746,389
Liabilities and equity									
Customer deposits	64,971,239	21,617,569	49	84,309	224,575	6,939,514	-	1,224	93,838,479
Deposits and balances from banks and other financial institutions	7,035,548	210,664	-	-	13,419	39,822	-	-	7,299,453
Tax payable	1,032,867	-	-	-	-	-	-	-	1,032,867
Other payables	1,898,415	198,949	-	53	1,136	5,552	-	274	2,104,379
Provisions	18,728	-	-	-	-	-	-	-	18,728
Deferred tax	555,201	-	-	-	-	-	-	-	555,201
Total liabilities	75,511,998	22,027,182	49	84,362	239,130	6,984,888	-	1,498	104,849,107
Owners' equity	15,897,282	-	-	-	-	-	-	-	15,897,282
Foreign currency gap as at 31 December 2008	N/A	667,116	4,743	44,426	45,085	(425,951)	36,753	5,069	N/A

BANK OF KIGALI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

Foreign currency sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in the exchange rates for the major currencies, with all other variables held constant, on the Bank's profit before tax (due to changes in the fair value of monetary assets and liabilities) and the Bank's equity (due to changes in the fair value of forward exchange contracts and net investment hedges). There is only an immaterial impact on the Bank's equity.

2010	Increase/decrease in basis points	Effect on profit before tax (RwF '000)
US\$	+/- 10	(30,872)
JPY	+/- 10	45
CHF	+/- 10	14,851
GBP	+/- 10	328,738
EURO	+/- 10	(33,925)
Others	+/- 10	6,044

2009		
US\$	+/- 10	(129,571)
JPY	+/- 10	446
CHF	+/- 10	287
GBP	+/- 10	3,550
EURO	+/- 10	25,277
Others	+/- 10	3,717

2008		
US\$	+/- 10	66,712
JPY	+/- 10	474
CHF	+/- 10	4,443
GBP	+/- 10	4,509
EURO	+/- 10	(42,595)
Others	+/- 10	4,182

(d) Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Bank's processes, personnel, technology and infrastructure and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. Operational risks arise from all of the Bank's operations and are faced by all business units.

Risk management department is responsible for overseeing the development and implementation of policies and procedures, continuous assessments and control of operational risks, and reporting significant operational risks to Executive Management, heads of business units and staff. The department measures operational risk losses and ensure risks are consciously reduced through appropriate management interventions, policies, and functional controls.

An effective operational risk analysis involves an attempt to quantify the potential financial impact of operational risks on capital and financial performance. The risk management department has developed quantifiable means of tracking and reporting on all operational risks.

Operational risk loss data are collected regularly, and incorporated in risk management reports. Significant losses are communicated to the risk committees; significant losses comprise any loss equal or greater than RwF 10 million.

(e) Capital/Solvency risk

The solvency risk is the risk that the Bank will be unable to absorb losses with the available capital. As such, the Bank's capital level defines the amount of solvency risk in the Bank where the potential losses in all risk positions are properly measured. The role of capital is to act as a buffer against future and unidentified losses that may be incurred.

The Board of Directors is responsible for making sure that the Bank's capital is adequate for safe and sound operation. Fulfilling this responsibility entails monitoring and evaluating the capital adequacy positions on a regular basis and planning for future capital needs

The Board ensures that:

- The Bank's capital structures are appropriate for businesses;
- The adequacy of capital cushion against risks by measurement and monitoring trends in regulatory capital adequacy ratios;
- Determines capital structure and quality of capital. The capital structure may contain permanent shareholders equity and revenue reserves, supplemented by other qualifying capital in terms of the banking regulations;
- The adequacy of capital to support the level of current and anticipated business activities;
- The adequacy of reserves;
- Access to further capital.

The Bank maintains a Capital Adequacy Ratio of no less than 10% at any one time. The capital is adjusted to levels that match the valuation of risks.

(f) **Legal and compliance risk**

The compliance risk is the current and prospective risk to earnings or capital arising from violations of, or nonconformity with, laws, rules, and regulations, prescribed practices, internal policies, procedures, or ethical standards.

The Board and senior management recognise the consequences associated with non-compliance and devote sufficient resources to ensure that the Bank has an adequate compliance program, covering the legal and compliance issues associated with the Bank's operations to this end.

Management is also responsible for instilling a compliance culture throughout the Bank.

35. Comparatives

Where necessary, comparative figures have been adjusted to ensure consistent presentation for the five years.

30 June 2011

The Directors,
Bank of Kigali Limited
P. O. Box 175
Kigali - Rwanda

Ladies and Gentlemen,

Bank of Kigali - Reporting Accountants' Report

Statement of Adjustments

Our review of the financial statements for the relevant period did not reveal significant adjustments to warrant restatement of the profit and loss accounts and the balance sheets of the respective years except for reclassification of certain items in the income statement and reclassification of proposed dividend in 2009 to retained earnings in line with International Financial Reporting Standards. A summary of the adjustments is set out on page 147.

The review was for the purpose of Our Accountants' Report to be included in the Prospectus dated on or about 30 June 2011 in the Republic of Rwanda.

Yours faithfully,

A handwritten signature in black ink, appearing to read 'Byamugisha', written over a horizontal line.

Ernst & Young (Rwanda) Sarl
Certified Public Accountants
Kigali, Rwanda

BANK OF KIGALI LIMITED
STATEMENT OF ADJUSTMENTS

	2010						2009						2008					
	Income Statement			Statement of Financial Position			Income Statement			Statement of Financial Position			Income Statement			Statement of Financial Position		
	Dr	Cr	Rwf'000	Dr	Cr	Rwf'000	Dr	Cr	Rwf'000	Dr	Cr	Rwf'000	Dr	Cr	Rwf'000	Dr	Cr	Rwf'000
	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000	Rwf'000
1	Interest incomes		178,379				191,384						404,731					
	Fees and commission income				178,379			191,384						404,731				
	Being an adjustment to remove income from financing commitments from interest income to fees and commissions income																	
2	Interest income												9,148					
	Fees and commission income													9,148				
	Being an adjustment to remove other income from transactions with customers from interest income to fees and commissions income																	
3	Dividend payable								2,643,482			2,643,482						
	Retained earnings																	
	Being an adjustment for dividends declared after the reporting date for the year 2009 recognised as payable contrarily to the IAS 10 requirement for disclosure only.																	
4	Other payables			18,728		18,728				18,728					18,728			
	Provisions											18,728						18,728
	Being provision for litigation costs relating to cases against the bank by SONARWA, BRALIRWA, and LWF previously classified under other payables																	
5	Provisions: impairment equity investments														25,000			
	Available for sale investments																25,000	
	Being adjustment to remove provision on impairment from the balance sheet																	

**APPENDIX III
REPORTING ACCOUNTANTS' REPORT
ON PROFIT FORECAST**

30 June 2011

The Directors,
Bank of Kigali Limited
P. O. Box 175
Kigali - Rwanda

Ladies and Gentlemen,

Reporting Accountants' Report on the profit forecast for the Year 2011

We have examined the profit forecast of Bank of Kigali set out on page 152 for the year ending 31 December 2011 in accordance with the International Standard on Assurance Engagements applicable to the examination of prospective financial information. Management is responsible for the profit forecast information including the assumptions set out on page 152 on which it is based.

The profit forecast has been prepared for inclusion in the Prospectus for Bank of Kigali Initial Public Offer. The profit forecast has been prepared using a set of assumptions that include hypothetical assumptions about future events and management's actions that may not necessarily occur. Consequently, readers are cautioned that this profit forecast may not be appropriate for purposes other than that described above.

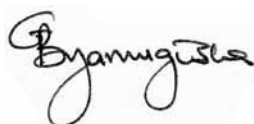
Conclusion

We have examined the forecast in accordance with the International Standard on Assurance Engagements applicable to the examination of prospective financial information. Management is responsible for the forecast including the assumptions set out on the following page on which it is based.

Based on our examination of the evidence supporting the assumptions, other than discussed in the paragraph above:

- i) nothing has come to our attention which causes us to believe that the assumptions detailed on page 152 do not provide a reasonable basis for the profit forecast.
- ii) In our opinion the profit forecast is properly prepared on the basis of the underlying assumptions and is presented in accordance with the measurement principles of International Financial Reporting Standards.

Even if the events anticipated under the hypothetical assumptions described above occur, actual results are still likely to be different from the profit forecast since other anticipated events frequently do not occur as expected and the variation may be material. We express no opinion as to how closely the actual results will correspond to those projected by management.



Ernst & Young (Rwanda) Sarl
Certified Public Accountants
Kigali, Rwanda

BANK OF KIGALI LIMITED

PROFIT FORECAST

	Year ending 31 December 2011 RwF'000
Interest and similar income	23,230,540
Interest and similar expense	(5,119,297)
Net interest income	18,111,243
Fee and commission income	3,402,000
Foreign exchange gain	5,437,000
Other operating income	1,560,000
Total operating income	28,510,243
Impairment losses on financial assets	(1,600,000)
Net operating income	26,910,243
Personnel expenses	(5,777,773)
Depreciation of property and equipment	(2,739,329)
Other operating expenses	(7,392,618)
Total operating expenses	(15,909,720)
Profit before tax	11,000,523
Income tax expense	(3,300,157)
Profit for the year	7,700,366

The assumptions below relating to various rates that impact the bank's operations have been used in the preparation of the forecasts for the year 2011.

ASSUMPTIONS TO THE PROFIT FORECAST

	2011 Forecast
Investment rates	
Interbank placements - rate	7%
Interbank placements - Foreign Currency	0.25%
Interbank borrowings	
BNR Repo rate	6%
Treasury bills rate	7%
Treasury Bonds rate	8%
Lending rates	
Retail Loans & advances	14.5%
Corporate Loans & advances	14.5%
Corporate Loans & advances - Foreign Currency	14.5%
Customer and other deposits	
Fixed deposits - Local currency	9%
Fixed deposits - Foreign Currency	0.15%
Demand deposits - Local currency	2%
Savings deposits - Local currency	4%
Long term loan - European Investment Bank	11%
Long term loan - Africa Development Bank	7%
Subordinated loan - Africa Development Bank	7%
Exchange rates (Average)	
Dollar	610
Euro	823.5
Pound	957.7
Inflation rate	7%

APPENDIX IV
INTERIM ACCOUNTS AS AT 31 MARCH 2011

BANK OF KIGALI LIMITED

STATEMENT OF DIRECTORS' RESPONSIBILITIES ON THE STATEMENT OF FINANCIAL POSITION AND STATEMENT OF COMPREHENSIVE INCOME

FOR THE FIRST QUARTER ENDED 31 MARCH 2011

Instruction Number 12/2000 of 14 September 2000, issued by the National Bank of Rwanda (BNR) requires directors to prepare a Financial Position and Statement of Comprehensive Income for each quarter of the financial year. It also requires the directors to ensure the Bank keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the first quarter Financial Position and Statement of Comprehensive Income, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates. The directors are of the opinion that the Financial Position and Statement of Comprehensive Income give a true and fair view of the state of the financial affairs of the Bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of Financial Position and Statement of Comprehensive Income, as well as adequate systems of internal financial control.

Nothing has come to the attention of directors to indicate that the Bank will not remain a going concern for at least the next twelve months from the date of this report.



Lado GURGENIDZE
Chairman
30 May 2011



Sudadi KAYITANA
Director
30 May 2011

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BANK OF KIGALI LIMITED

We have reviewed the accompanying financial information of Bank of Kigali Limited as set out on page 157 to 161, which comprise the statement of financial position as of 31 March 2011, and the related statement of comprehensive income for the three months period then ended.

Directors' Responsibility

The directors are responsible for the preparation and fair presentation of interim financial information in accordance with Instruction Number 12/2000 of 14 September 2000, issued by the National Bank of Rwanda (BNR). This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of statement of financial position and statement of comprehensive income that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express a conclusion on the interim statement of financial position and statement of comprehensive income based on our review.

Scope of Review

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity." A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial information is not prepared in all material respects, in accordance with Instruction Number 12/2000 of 14 September 2000 issued by the National Bank of Rwanda.



Ernst & Young (Rwanda) Sarl
Certified Public Accountants
Kigali, Rwanda

BANK OF KIGALI LIMITED
STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2011

	Note	31/03/2011	31/03/2010	31/12/2010
ASSETS		Rwf'000	Rwf'000	Rwf'000
Cash in hand		6,739,711	5,147,717	6,881,845
Cash and balances with central banks	1	21,568,663	16,000,048	22,562,505
Due from banks		38,139,848	30,526,153	38,452,178
Loans and advances to customers	2	104,901,666	84,509,166	101,402,657
Financial instruments – available-for-sale	4	268,375	315,108	268,375
Financial investments – held-to-maturity	3	12,211,082	8,158,134	5,224,395
Other assets		8,850,587	5,406,745	4,390,670
Intangible assets	5	158,772	24,422	180,604
Property and equipment	6	18,284,008	6,406,608	18,313,417
Total Assets		211,122,712	156,494,101	197,676,646

Liabilities and equity				
Customer deposits	7	147,666,398	113,821,576	135,677,746
Due to banks		13,637,301	11,812,232	18,920,636
Tax payable		1,383,249	1,360,775	496,815
Other payables	8	9,989,122	9,415,347	6,822,397
Provisions		18,728	18,728	18,728
Deferred tax liabilities		3,832,130	674,739	3,870,437
Subordinated debt		1,811,259	-	-
Total liabilities		178,338,187	137,103,397	165,806,759

Equity attributable to equity holders				
Share capital	10	5,005,000	5,005,000	5,005,000
Revaluation reserve		7,061,160	-	7,150,542
Other capital reserve	9	18,803,129	13,535,763	13,535,763
Retained earnings		1,915,236	849,941	6,178,582
		32,784,525	19,390,704	31,869,887
Total liabilities and equity		211,122,712	156,494,101	197,676,646

The Statement of Financial Position and Statement of Comprehensive Income were approved by the Board of Directors on 30 May 2011 and signed on its behalf by:



Lado GURGENIDZE
Chairman



Sudadi KAYITANA
Director

BANK OF KIGALI LIMITED

INCOME STATEMENT FOR THE THREE MONTHS ENDED 31 MARCH 2011

	Note	31/03/2011 (3 months)	31/03/2010 (3 months)	31/12/2010 (12 months)
ASSETS		Rwf'000	Rwf'000	Rwf'000
Interest and similar income	11	4,776,546	3,822,158	16,393,351
Interest and similar expense	12	(1,143,221)	(1,046,536)	(4,182,666)
Net interest income		3,633,325	2,775,622	12,210,685
Fees and commissions	14	814,810	627,131	2,997,420
Foreign exchange gains	15	1,706,987	1,045,519	5,247,543
Other income	16	219,860	146,842	691,381
Total operating income		6,374,982	4,595,114	21,147,029
Loan loss provision	13	(462,588)	(1,203,025)	(2,376,281)
Impairment losses on available for sale investments		-	-	(46,733)
Net operating income		5,912,394	3,392,089	18,724,015
Staff costs		1,685,596	1,253,728	5,038,341
Depreciation of property and equipment		420,249	204,096	1,357,181
Amortisation of intangible assets		22,682	3,489	180,602
Other operating expenses		944,676	690,861	3,466,499
Total operating expenses		3,073,203	2,152,174	10,042,623
Profit before tax		2,839,191	1,239,915	8,681,392
Income tax expense		(923,955)	(389,974)	(2,502,810)
Profit for the period		1,915,236	849,941	6,178,582
Earnings Per Share		42.09	20.99	135.79

BANK OF KIGALI LIMITED
NOTES TO THE INTERIM FINANCIAL STATEMENTS

		31/03/2011	31/03/2010	31/12/2010
		Rwf '000	Rwf '000	Rwf '000

1	Cash and balances with central banks			
	Balances in current accounts	8,186,912	4,430,048	6,333,182
	Short term investment with BNR	13,381,751	11,570,000	16,229,323
	Total	21,568,663	16,000,048	22,562,505

2	Loans and advances to customers			
a)	Loans and advances to customers (gross)	111,014,259	89,409,832	105,526,673
	Less: Allowance for impairment losses (2 b)	(6,112,593)	(4,900,666)	(4,124,016)
	Net loans and advances	104,901,666	84,509,166	101,402,657
b)	Provisions			
	Impairment allowance for loans and advances to customers			
	Impairment allowance for loans and advances	4,912,836	4,157,027	3,198,058
	Interest accrued on impaired loans and advances	1,199,757	743,639	925,958
	Total	6,112,593	4,900,666	4,124,016

3	Financial investments – held-to-maturity			
	Treasury bills	9,985,720	4,017,613	1,443,672
	Treasury bonds	2,225,362	4,140,521	3,780,723
	Total	12,211,082	8,158,134	5,224,395

4	Available for sale investments			
	Banque Rwandaise de Développement S.A	21,975	21,975	21,975
	Banque de l'Habitat du Rwanda S.A	75,000	75,000	75,000
	Banque de Développement des Etats de Grands Lacs S.A	0	0	0
	Magasins Généraux du Rwanda S.A	5,000	5,000	5,000
	Société des Transports Internationaux	0	0	0
	King Faycal Hospital	0	46,733	0
	Société Interbancaire de Monétique et de Télécompensation	166,400	166,400	166,400
	Total	268,375	315,108	268,375

5	Intangible assets			
	Cost			
	At 1 January	479,136	134,822	134,822
	Additions	850	11,019	344,314
	At 31 March /31 December	479,986	145,841	479,136

	Amortisation			
	At 1 January	298,532	117,930	117,930
	Charge for the Period / Year	22,682	3,489	180,602
	At 31 March /31 December	321,214	121,419	298,532
	Net book value	158,772	24,422	180,604

BANK OF KIGALI LIMITED
NOTES TO THE INTERIM FINANCIAL STATEMENTS (CONTINUED)

		31/03/2011	31/03/2010	31/12/2010
		Rwf '000	Rwf '000	Rwf '000

6	PROPERTY, PLANT AND EQUIPMENT			
	Cost			
	At 1 January	23,575,779	10,280,336	10,280,336
	Additions	390,840	235,549	3,080,383
	Revaluation			10,215,060
	At 31 March /31 December	23,966,619	10,515,885	23,575,779

	Depreciation			
	At 1 January	5,262,362	3,905,181	3,905,181
	Charge for the Period / Year	420,249	204,096	1,357,181
	At 31 March /31 December	5,682,611	4,109,277	5,262,362
	Net book value	18,284,008	6,406,608	18,313,417

7	Customer deposits			
	Demand deposits	106,287,873	80,198,516	97,436,848
	Term deposits	35,605,974	27,269,634	33,179,653
	Other current accounts	1,972,089	1,698,575	1,968,734
	Collateral deposits	2,887,548	3,586,693	2,530,936
	Payables in transit	719,975	973,273	253,028
	Interest payable	192,939	94,885	308,547
	Total	147,666,398	113,821,576	135,677,746

8	Other payables			
	Other taxes payable (VAT, WHT and PAYE)	521,299	269,450	214,481
	Social security remittances	123,310	105,243	68,816
	Other creditors	14,003	2,645,196	12,014
	Transitory accounts	9,330,510	6,395,458	6,527,086
	Total	9,989,122	9,415,347	6,822,397

9	Other capital reserve			
	Legal reserves	3,419,506	2,800,890	2,800,890
	Special reserves	3,504,740	2,886,124	2,886,124
	Other reserves	11,878,883	7,848,749	7,848,749
	Total	18,803,129	13,535,763	13,535,763

A general loan loss provision of Rwf ('000) 1,000,000 has been adjusted against other reserves in the quarter ended 31 March 2011.

10	Share capital			
	Authorized:			
	45,500 ordinary shares	5,005,000	5,005,000	5,005,000
	Issued and fully paid:			
	45,500 ordinary shares	5,005,000	5,005,000	5,005,000

BANK OF KIGALI LIMITED
NOTES TO THE INTERIM FINANCIAL STATEMENTS (CONTINUED)

		31/03/2011	31/03/2010	31/12/2010
		Rwf '000	Rwf '000	Rwf '000

11	Interest and similar income			
	Interest on ordinary accounts with banks	3,733	7,008	12,019
	Interest received from pension, borrowings and other debtors	191,441	251,308	920,027
	Income from transactions with other banks	6,316	5,998	24,611
	Interest on overdrawn accounts	687,051	342,722	1,966,020
	Interest on overdrafts	743,562	638,209	2,878,594
	Interest on equipment loans	519,297	308,352	891,336
	Interest on consumer loans	466,018	334,713	1,392,333
	Interest on mortgage loans	1,123,841	1,075,170	4,691,951
	Interest on other loans to customers	879,960	567,641	2,880,673
	Interest on assets held to maturity	155,327	291,037	735,787
	Total	4,776,546	3,822,158	16,393,351

12	Interest and similar expense			
	Interest on transactions with other banks	25,568	39,875	307,981
	Interest on current accounts	39,030	22,496	132,834
	Interest on fixed deposits	1,078,623	984,165	3,741,851
	Total	1,143,221	1,046,536	4,182,666

13	Loan loss provision			
	Specific provisions for doubtful debts	1,157,651	1,538,230	6,074,342
	Write back of provisions for doubtful debts	(550,525)	(321,645)	(3,112,362)
	Write back on irrecoverable loans	(144,538)	(13,560)	(585,699)
	Total	462,588	1,203,025	2,376,281

14	Fees and commission income			
	Commissions on operation of accounts	102,902	65,486	315,431
	Commissions on payment facilities	251,621	205,098	930,897
	Commissions on loan service	184,479	139,470	781,235
	Other fees from services	88,793	49,710	247,693
	Commissions received from financing commitment	187,015	167,367	181,554
	Commissions received from guarantees commitment	-	-	540,610
	Total	814,810	627,131	2,997,420

15	Foreign exchange gains			
	Gain of foreign exchange dealings	1,706,987	1,045,519	5,247,543

16	Other income			
	Other income from banking activities	55,700	40,569	203,212
	Dividend received	-	-	10,477
	Gain on disposal of fixed assets	-	-	271
	Rental income	83,865	55,674	212,556
	Other non banking income	80,295	50,599	264,865
	Total	219,860	146,842	691,381

APPENDIX V
EXTRACTS FROM THE ARTICLES OF ASSOCIATION

Extracts of the Memorandum of Association

1. The name of the Company is “Bank of Kigali Limited”. The Company was incorporated on 22 December 1966.
2. The Head Office of the Company will be in Kigali in the Republic of Rwanda may be transferred elsewhere when there is need upon a resolution of the Board of Directors.
3. The objects for which the Company is established are to carry out, for itself or on behalf of other parties, all types of banking operations and to carry out all operations relating directly or indirectly to its objects or of a nature to favour the attainment of its objects.
4. The Company is a public company and the liability of the Shareholders is limited by shares.
5. The capital of the Company is 7,024,600,000 RwF divided 702,460,000 Ordinary Shares of 10 RwF each with power for the Company to increase or reduce such capital and to divide any shares in the capital of the Company for the time being into several classes and to attach thereto respectively any preferential, deferred, qualified or other rights, privileges, restrictions or conditions and to issue all or any part of such original, increased or reduced capital with or subject to such preferential, deferred, qualified or other rights, privileges, restrictions or conditions.

Extract of the Articles of Association

Shares

- 1 Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares, any share in the Company may be issued with such preferred, deferred or other special rights or such restrictions, whether in regard to dividend, voting, return of capital or otherwise as the Company may from time to time by ordinary resolution determine.
- 2 The Company may by special resolution create and sanction the issue of preference shares which are, or at the option of the Company are to be, liable to be redeemed, subject to and in accordance with the provisions of the statutes. The special resolution sanctioning any such issue shall also specify by way of an addition to these Articles the terms in which and the manner in which any such preference shares shall be redeemed.
- 5 Every person whose name is entered as a shareholder in the Register shall be entitled without payment to receive one certificate in respect of each class of shares held by him, provided that where the shares of the Company are listed on a stock exchange, shares in the Company may be issued in electronic or dematerialized form in which event certificates shall not be issued.
- 7(a) Subject to the Articles and to any rights attaching to any class of shares, the Company may give financial assistance (which shall include a loan, guarantee or any other related transaction) for the acquisition of shares in the Company and may purchase its own shares (including any redeemable shares) or enter into such agreement in relation to the purchase of its own shares on such terms and in such manner as may be determined by the Board.
- (b) The company may by resolution create such share option or ownership plans or schemes for its employees or former employees as it may determine, and may further empower its directors to allocate shares to such plan or scheme and to implement such plan or scheme.
- 18 Subject to the provisions hereinafter contained and any trading and settlement rules of any stock exchange on which the shares of the Company are traded or of any settlement and clearing house at which the Shares of the Company are cleared and settled, shares in the Company shall be transferable by written instrument in any common form executed by or, on behalf of the transferor and the transferee; provided that the directors may dispense with execution by the transferee in any case in which they think fit to do so, and will do so to the extent that any shares sought to be registered are traded on any recognized stock exchange. The transferor shall be deemed to remain the holder of the share until the name of the transferee is entered in the Register in respect thereof.
- 40 The Company may from time to time, by ordinary resolution, increase the share capital by such sum, to be divided into shares of such amount, as the resolution shall direct, or, in default of such direction, as the Directors shall determine.
- 41 Subject to any direction to the contrary that may be given by the resolution sanctioning the increase of capital, all new shares shall, before issue, be offered to such persons as at the date of the offer are entitled to receive notices from the Company of general meetings in proportion, as nearly as the circumstances admit, to the amount of the existing shares to which they are entitled. The offer shall be made by notice specifying the number of shares offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and after the expiration of that time, or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the shares offered, the Directors may dispose of the same in such manner as they think most beneficial to the Company. The Directors may likewise so dispose of any new shares which, by reason of the ratio which the new shares bear to shares held by persons entitled to an offer of new shares, cannot in the opinion of the Directors, be conveniently offered under this Article. The directors may at the same time as offering the new shares to existing shareholders also make an offer to members of the public with the intention that shares not taken up by the existing shareholders may be allocated to members of the public who apply for them.

EXTRACTS OF THE MEMORANDUM OF ASSOCIATION

General Meeting

- 45 The Company shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the matter as such in the notices calling it.
- 48 The Directors may, whenever they think fit, convene an extraordinary general meeting, and extraordinary general meetings shall also be convened on such requisition, or, in default, may be convened by such requisitionists holding together at least 10% of the voting rights of the Company, or otherwise as provided by the law.
- 49 An annual general meeting and a meeting called for the passing of a special resolution shall be called by Fifteen (15) days' notice in writing at the least. The notice shall be exclusive of the day of which it is served or deemed to be served and of the day for which it is given and shall specify the place, the day and the hour of meeting and, in case of special business, the general nature of that business, and shall be given in such other manner, if any, as may be prescribed by the Company in general meeting, to such persons as are, under the regulations of the Company, entitled to receive such notices from the Company.
- 51 Notices of General Meetings of the Company may be given by post, by advertisement in the print media, by display on the Company's website or otherwise on the internet, by electronic mail or by such other means as in the opinion of the Directors it would be reasonable to expect the notice will come to the attention of the shareholders entitled to attend the meeting.
- 52 All business shall be deemed special that is transacted at an extraordinary general meeting, and also all business that is transacted at an annual general meeting, with the exception of declaring a dividend, the consideration of the accounts, balance sheets and the reports of the Directors and Auditors, the election of Directors in the place of those retiring (if any), and the appointment and the fixing of the remuneration of the Auditors and the remuneration of Directors.
- 53 No business shall be transacted at any general meeting unless a quorum of Shareholders is present at the time when the meeting proceeds to business; save as herein otherwise provided Shareholders holding Fifty percent of the issued share capital personally present shall be a quorum.
- 64 Subject to any rights or restrictions for the time being attached to any class or classes of shares, on a show of hands every Shareholder present in person shall have one vote, and on a poll every Shareholder present in person or by proxy shall have one vote for each share of which he is the holder.

Directors

- 75 Unless and until otherwise from time to time determined by an ordinary resolution of the Company, the number of the Directors (excluding Alternates) shall not be less than Five (5) nor more than Eleven (11) in number. If at any time the number of Directors falls below the minimum number fixed by or in accordance with these Articles, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose.
- 80 The Business of the Company shall be managed by the Directors who may exercise all such powers of the Company as are not, by the Act or by these Articles, required to be exercised by the Company in general meetings and the exercise of the said powers shall be subject also to the control and regulation of any general meeting of the Company, but no resolution of the Company in general meeting shall invalidate any prior act of the Directors which would have been legally binding and proper if such resolution had not been passed.
- 85 (1) The Directors shall appoint a Managing Director who shall be the Chief Executive of the Company for such period and on such terms and at such remuneration (whether by way of salary, or commission, or participation in profits, or partly in one way, and partly in another), as they may think fit and, subject to the terms of any agreement entered into in any particular case, may revoke any such appointment.
- (2) Any person appointed to be the Managing Director as aforesaid shall not, while he holds such office, be subject to retirement by rotation nor shall he be taken into account in determining the rotation in which the Directors retire. The Managing Director shall not, unless the Board so determines, be taken into account in reckoning the total number of directors for purposes of Article 75. If he is a director, he will cease to be such director if he stops being the managing director.
- 90 At the first Annual General Meeting after the adoption of these articles and at every succeeding Annual General Meeting, one third of the Directors eligible to retire by rotation or, if their number is not a multiple of three the number nearest to but not exceeding one third shall subject to the provisions of Article 96 and 98 hereof, retire from office, those retiring in every year being those who have been longest in office since their last election or appointment but as between persons who become Directors on the same day, those to retire shall unless they otherwise agree among themselves, be determined by lot.
- 106 A resolution in writing signed by all of the Directors, or of all the shareholders of a committee, shall be as valid and effectual as if it had been passed at a meeting of the Directors or of the committee (as the case may be) duly convened and held.

Secretary

- 107 The Secretary shall be appointed, on the recommendation of the Managing Director, by the Directors for such term, at such remuneration and upon such conditions as they may think fit; and any Secretary so appointed may be removed by them.

Dividends

- 110 The Company in general meeting may declare dividends.
112 No dividend shall be paid otherwise than out of profits.
121 No dividends shall bear interest against the Company.

Accounts

- 126 The Directors shall from time to time, in accordance with the Act, cause to be prepared and to be laid before the Company in general meeting such profit and loss accounts, balance sheets, group accounts (if any) and reports as are required by the Act.

Capitalization of reserves

- 128 The Company in general meeting may upon the recommendation of the Directors resolve that it is desirable to capitalise any part of the amount for the time being standing to the credit of any of the Company's reserve accounts or to the credit of the profit and loss account or otherwise available for distribution, and accordingly that such sum be set free for distribution amongst the Shareholders who would have been entitled thereto if distributed by way of dividend and in the same proportions on condition that the same be not paid in cash but be applied either in or towards paying up any amounts for the time being unpaid on any shares held by such Shareholders respectively or paying up in full unissued shares or debentures of the Company to be allotted and distributed credited as fully paid up to and amongst such Shareholders in the proportion aforesaid, or partly in the one way and partly in the other, and the Directors shall give effect to such resolution: Provided that a share premium account and a capital redemption reserve fund may for the purposes of this Article, only be applied in the paying up of unissued shares to be issued to Shareholders of the Company as fully paid bonus shares.

Auditors

- 130 Auditors shall be appointed and their duties regulated in accordance with the law.

Liquidation

- 135 If the Company shall be wound up the liquidator may, with the sanction of a special resolution of the Company and any other sanction required by the act, divide amongst the Shareholders in specie or kind the whole or any part of the assets of the Company (whether they shall consist of property of the same kind or not) and may, for such purpose set such value as he deems fair upon any property to be divided as aforesaid and may determine how such division shall be carried out as between the Shareholders or different classes of Shareholder. The liquidator may, with the like sanction, vest the whole or any part of such assets in trustees upon such trusts for the benefit of the contributories as the liquidator, with the like sanction, shall think fit, but so that no Shareholder shall be compelled to accept any shares or other securities whereon there is any liability.

Indemnity

- 136 Subject to the provisions of the Act but without prejudice to any other indemnity to which a Director, Managing Director, officer or agent may otherwise be entitled, every Director, Managing Director, Auditor, Secretary, other officer and agent for the time being of the Company shall be indemnified out of the assets of the Company against any liability incurred by him in defending any proceedings, whether civil or criminal, in which judgment is given in his favour or in which he is acquitted or in connection with any application in which relief is granted to him by a court, or in any other case where he has acted in good faith, honestly and reasonably.

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APPENDIX VI
CENTRAL SECURITIES DEPOSITORY (CSD) FORM 1R

RWANDA

Kenya: 10th Floor, Nation Center, P.O.Box 3464 00100, Nairobi, Kenya; Tel: +254 202 229406/7 ; Fax: +254 202 229405
Rwanda: Source Oil Building, 2nd Floor, Poids Round Rd, Kigali, Tel: +250 725 346 242/3/4

SECURITIES ACCOUNT OPENING / MAINTAINANCE FORM

[illegible]

Form to be Completed in Block Letters

Joint Account

Yes

No

Are You Tax Exempt?

☐ Yes

No

(If yes attach a certified copy of Tax exemption Certificate)

Primary Applicant**Joint Secondary Applicant**

Surname (Mr. /Mrs. /Dr. /Hon Other.....)		
Other Names		
Company/ Business Name (If client is a Company, Society, Or Organisation)		
Address		
Date Of Birth/ Incorporation (As Applicable)		
Mobile Telephone Number(s)		
Fax Number		
Email Address (Mandatory)		
Nationality		
Id/Passport/Reg.No. (For Company,Business,Etc.)		
Client Category (Tick As Applicable)	☐ Individual ☐ Corporate	
Dividend Disposal Preference	☐ by bank, please give the details below ☐ By Cheque Tick where applicable	
Bank Details	Bank	Branch Account No.

Declaration:

We/ I hereby:

Requested to open and maintain a Securities Account in my/our name/ change particulars in my/ our Securities Accounts as indicated above (delete as appropriate)

Affirm that all information in this form is correct.

Undertake to notify my CDA any change of particulars or information provided by me/ us in this form.

Name(s)

Signatures)

1.
2.
3.
4.

1.
2.
3.
4.

For CDAs use only

Witnessed and verified by: _____

Authorised by:

Name:

Name:

Designation:

Designation:

Date: _____

Date:

Company Stamp

--	--

Test Question & Answer (Only On Original)

(White Copy- CDA, Blue Copy - Client)

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**APPENDIX VII
CENTRAL SECURITIES DEPOSITORY (CSD) FORM 5R**

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**APPENDIX VIII
APPLICATION FORM**



BANK OF KIGALI LIMITED



IPO Application Form

Serial No.

Authorised Selling Agent Code & Stamp

Print Only Within Boxes

GOOD

 B O K

BAD

 B O K

A. APPLICATION & PAYMENT DETAILS

PLEASE COMPLETE IN CAPITAL / BLOCK LETTERS USING BLACK / BLUE INK

Number of shares applied

Amount Payable (RwF)

Multiply by price per share (RwF)

Please Tick Where Application

Cheque ☐ Cash ☐ EFT ☐

Cheque Number

Amount Paid (RwF)

Cheque Bank Name (abbreviated)

Branch Name

B. WHERE PURCHASE IS FINANCED (OPTIONAL)

☐ Tick if financed

Bank Code

 1 2 4 0

CSD 5R Form - Serial No.

Loan Account Number

Financing Bank (abbreviated)

Name of Branch

C. APPLICANT DETAILS

(i) Application Status: (Tick your status as applicable below)

Applicant Type:

East African ☐

Employees & Directors ☐

Oil Rwanda ☐

Oil E.A. ☐

International ☐

Residence:

Resident ☐

Non Resident ☐

Citizenship:

Rwandan ☐

Other East Africans ☐

International ☐

RDB Residency Number (To be filled by foreign passport holders who have attained Rwandan residency)

Consular Card Number (To be filled by Rwandans living in the Diaspora with foreign Passports)

(ii) CSD Account Number:

(iii) Primary Applicant Details:

(Name as per National ID/Passport)

Surname (Last Name)

First Name and Other Names (Leave space between names)

ID/Passport Number

Country of Issue

(iv) Joint Applicant's Details:

(Name as per National ID/Passport)

Surname (Last Name)

First Name and Other Names (Leave space between names)

ID/Passport Number

Country of Issue

RDB Residency Number (To be filled by foreign passport holders who have attained Rwandan residency)

Consular Card Number (To be filled by Rwandans living in the Diaspora with foreign Passports)

(v) Company Name / Oil Rwanda or East Africa/ Corporate (As per Certificate of Registration/Incorporation)

Surname (Last Name)

First Name and Other Names (Leave space between names)

Registration / Incorporation Number

Country of Registration / Incorporation

Date (DD/MM/YYYY) e.g. 27/06/2011

☐ Tick here if applicant is exempt from withholding tax and attach a copy of exemption certificate

For Nominee Applicants Only (Tick the status as applicable below)

Citizen of Beneficiary Shareholding	☐	Rwandan	☐	Other East African	☐	International
Nominee Account Name						
Nominee Account Number						
P.O. Box			Postal Code (Where Applicable)			
Street Address / Sector / Umurenge						
City / Town			Country			
Telephone Number (Landline) International Format			Mobile Number (International Format)			
Email Address (Personal or Agent or Custodian) Mandatory						
Fax Number (International Format)						

D. RECEIPT OF REFUND- Mandatory for all investors

All residents will receive refunds by EFT Transfer

Please provide Bank details for EFT/SWIFT Transfers

Name of Bank (abbreviated)	Bank Code	Currency eg USD, EUR
Name of Branch	Account Number	
Swift Code	Country	

E. SIGNATURES : (COMPULSORY FOR ALL APPLICANTS)

Signature 1	Signature 2	Company Seal / Stamp
Date (DD/MM/YYYY) e.g. 27/06/2011		

F. SELLING AGENTS ONLY

For Official Use only

CDA ID	Agent Code (Hand Print Only)	Sub Agent Code	
CDA or AGENT'S/SUB AGENT'S NAME			
Authorised Selling Agents Stamp		Sub Agents Stamp	

G. INVESTOR'S RECEIPT

Serial No.:	Name (Separate Names by one box)																																																																																
Number of shares applied																																									Amount Paid (RwF)																																								
Selling Agent's Name	Agents Stamp																																								Date																																								

**APPENDIX IX
DIRECTORY OF AUTHORISED SELLING AGENTS**

Receiving Bank
Bank of Kigali Limited Company Code: 100003458 6112, Avenue de la Paix P.O. Box 175 Kigali, RWANDA Tel: +250 252 593100 / +250 0788143000 Fax: +250 252 573461 / +250 252 575504 Email: bkipo@bk.rw Web: www.bk.rw (Branches – ALL)

Banks	
KCB Rwanda S.A. 0093/08/Nyarugenge Plot No. 1229 & 6404 Avenue de la Paix P.O. Box 5620 Kigali, RWANDA Tel.: +250 252 570620/21 Email: kcb Rwanda@rw.kcbbankgroup.com Web: www.kcbbankgroup.com	Banque Commercial du Rwanda S.A. Company Code: A010/KIG 11 Boulevard de la Revolution P.O. Box 354 Kigali, RWANDA Tel.: +250 252 559 052/12 Email: info@bcr.co.rw Web: www.bcr.co.rw
Ecobank Rwanda S.A Plot No. 314 Avenue de la Paix P.O. Box 61236 Kigali, RWANDA Tel.: +250 252 503580/8 Email: contact@ecobank.com Web: www.ecobank.com	FINA Bank Rwanda Limited Company Code: 100003180 20 Boulevard de la Revolution P.O. Box 331 Kigali, RWANDA Tel.: +250 252 598 600 Email: banking@finabank.co.rw Web: www.finabank.com/rw

Sponsoring Stock Brokers	
African Alliance Rwanda Limited Company Code: A5A7/07/KIG Centenary House, 6th Floor Avenue de la Paix P.O. Box 638 Kigali, RWANDA Tel.: +250 785 694490 Email: securitiesrw@africanalliance.com Web: www.africanalliance.com	Dyer & Blair Securities Rwanda Limited Company Code: 112/08/KGL 3rd Floor, Chadel Building Avenue de la Mille Collines P.O. Box 5292 Kigali, RWANDA Tel.: +250 782 498 750 Email: shares@dyerandblair.com Web: www.dyerandblair.com

DIRECTORY OF AUTHORISED SELLING AGENTS

Members of the RSE	
African Alliance (Rwanda) Limited Centenary House Building, 6th Floor P O Box 6368 KIGALI Tel.: +250 785 694 490 Email: securitiesrw@africanalliance.com Web: www.africanalliance.com	BRD Advisory Services Limited (BAS Ltd) 1 st Floor, BRD Building P.O Box 966 KIGALI Tel.: +250 788 308 401 Email: d.rumanyika@brd.com.rw Web: www.brd.com.rw
CDH Capital 5 th Floor Ecobank building P.O Box 6237 KIGALI Tel.: +250 252 570 736 Email: shehzadn@cdhrwanda.org.rw Web: www.cdhrwanda.org.rw	CFC Stanbic Financial Services Ltd. 2 nd Floor, Plot 1320, Karisimbi Road Next to Star Times Offices P.O. Box 968 KIGALI Tel.: +250 784 108 841 Email: mburuc@stanbic.com Web: www.csfs.co.ke
Core Securities C/O K- Solutions & Partners P.O Box 4062 KIGALI Tel.: +250 788 300 973 Email: eric@ksolutions-law.com	DALLAS Securities Brokerage DALLAS HOUSE P.O Box 1028 KIGALI Tel.: +250 788 302 113 Email: Immy1965@yahoo.com
Dyer and Blair (Rwanda) Limited Chadel Building Avenue des Milles Collines P.O Box 5292 KIGALI Tel.: +250 782 498 750 Email: shares@dyerandblair.com Web: www.dyerandblair.com	FAIDA Securities (Rwanda) Ltd Soras Building 3rd Floor P. O. Box: 2780 KIGALI Tel.: +250 252 570 751 Email: Cecilia@fib.co.ke Web: www.fib.co.ke
MBEA Brokerage Services (Rwanda) S.A 39 Avenue de la paix <i>(opposite C.H.K. – Centre Hospitalier Universitaire de Kigali)</i> P.O Box 92 KIGALI Tel.: +250 255 101383 / +250 255 105197 / +250 255 115389 Email: info@mbea.net Web: www.mbeagroup.net	Renaissance Capital (Rwanda) Limited C/O Trust Law Chambers Rue Akagera, Kiyovu-Kigali P.o Box 6679 KIGALI Tel.: +254 20 368 2000 Email: infokenya@rencap.com Web: www.rencap.com

